

Cliff Notes: dynamic risks

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By [Elliot Clarke](#), [Illiana Jain](#) & [Ryan Wells](#)

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Key insights from the week that was.



In an 8-1 vote, the RBA Monetary Policy Board (MPB) delivered its third consecutive rate hike, raising the cash rate by 25bps to its prior peak of 4.35%. The MPB stated that “the conflict in the Middle East has resulted in sharply higher fuel and related commodity prices” and that “this is likely to have second-round effects on prices for goods and services more broadly.” Inflation is now expected “to remain above target for some time”. The MPB are also attune to the risk of “price rises get[ting] built into longer

term inflation expectations” in the event of a longer, or more severe, conflict.

In a video update midweek, Chief Economist Luci Ellis noted that Governor Bullock’s press conference was a bit more dovish than we had anticipated, with the last three hikes framed as giving some space for the MPB to assess how the risks evolve. That said, the staff’s forecasts – which are predicated on an assumption of around one-and-a-half more rate hikes – have underlying inflation peaking at 3.8%yr in Q2 2026 and not returning to target until the end of its forecast horizon at June 2028. Inflation risks are firmly skewed towards a higher peak and potentially a slower return to target. We therefore continue to expect another two rate hikes from the RBA in coming months. But, given Governor Bullock’s somewhat more cautious tone, we admit the case for June is now more finely balanced.

Rate hikes already look to be having an effect on the housing market, with national dwelling price growth slowing from a monthly pace of 0.6% in January to 0.2% in April. Performance across the capital cities is mixed, with prices down in Sydney and Melbourne prices but still rising in Brisbane, Adelaide and Perth. While a firming uptrend for dwelling approvals bodes well for supply, cost pressures stemming from the Middle East conflict will likely cause delays and some second thoughts on projects planned but not commenced.

Trends across other parts of the economy are also starting to shift. The ABS’ nominal household spending indicator bounced 1.6% in March on account of higher fuel costs, mirroring our own consumer card activity data. Abstracting from price effects, we expect real consumption to gain 0.6% in Q1; however, outside of fuel and electricity (buoyed by the rebate roll-off), the spending pulse looks faint. This speaks to the more challenging economic outlook taking hold across the nation, particularly in non-mining states where revenue constraints and higher expenses provide less scope for fiscal support.

Before moving offshore, a final note on trade. Unlike the shocks of recent years which benefitted Australia’s net trade position, recent data revealed the nominal goods trade surplus buckled into deficit in March for the first time since 2017. Higher fuel import costs (+37.4%) and volatility in gold played important roles. But the chief culprit behind the surprise was a remarkable surge in data processing machine imports, up \$2.9bn or 300% in the month. While noisy and likely a wash for GDP – being offset by inventories or investment – this is clear evidence of the global AI investment drive reaching Australia’s shores.

Offshore, markets have been pre-occupied by developments in the Middle East. At the beginning of the week, President Trump announced Project Freedom, an initiative to provide safe passage through the Strait of Hormuz to ships stuck in the Persian Gulf. As soon as the operation commenced though, skirmishes were seen between the US and Iranian military. UAE energy infrastructure was also targeted.

The US did not retaliate, however, instead referencing an end to the offensive portion of this war. And, within two days, Project Freedom was suspended indefinitely to make way for further intermediated negotiations. Reports suggest progress has been made, albeit without detail. Iran is arguably coming under greater pressure to make a deal, with China’s Foreign Minister emphasising this week the need for a quick end to the conflict and re-opening of the Strait while meeting Iran’s Foreign Minister. The

timing of this development is not a surprise considering President Trump and President Xi are due to meet mid-month.

Data releases were uneventful this week. The ISM services index for April eased slightly to 53.6. The new orders index fell 7.1pts to 53.5, slightly below its 10-year pre-COVID average, and the employment indicator rose 4pts but remained weak versus history. The latest JOLTS job openings data and ADP private payrolls release were broadly consistent with balance between labour demand and supply. For the FOMC, this will keep the focus on inflation risks. Guidance given by FOMC members this week was consistent with this view.

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Three challenging trends and the opportunities they present for Australian women

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By Luci Ellis

Chief Economist Westpac Group, Westpac

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Three challenging trends – demographics, technology, and expectations of government – present opportunities for Australian women. How might the federal budget support them?



Thanks to the Women in Economics Network for the opportunity to speak to you today and share the stage with such accomplished professional colleagues. I am grateful for the important work WEN does. Economics is a science of human behaviour. Our endowments, our priorities and – in some circumstances – our physiology can all matter for our choices and our economic outcomes. If economics does not incorporate those diverse perspectives, it loses the ability to explain human behaviour. A profession that is more balanced across both sexes is critical to getting that diversity of perspectives.

With so much going on in the world, it is all too easy to fixate on immediate problems, ignoring the longer-term issues – and opportunities. Today I want step back and talk about those longer-term trends. I will:

- outline three big trends shaping current and future outcomes
- highlight the opportunities these trends present for Australian women – not just the downsides
- suggest some ways that the federal budget, and government more broadly, might promote those opportunities, rather than focus only on the downsides.

These three trends are:

- The ageing population
- The AI technology revolution – and it is a revolution
- Rising expectations of government – perceived or real

Ageing population, growing workforce

Many in the room will be under the impression that population ageing means a shrinking workforce. I am here to tell you that this is not true. Work with my Westpac colleague Ryan Wells back in September shows that in most Western economies, the labour force participation rate is in fact rising. In Australia it is on a five-decade up-trend, reaching historical highs in recent years.

Yes, the share of older people in the population is increasing. Population ageing happens because we are living longer, healthier lives. People will make different choices when lifespans lengthen. They will work for longer and retire later. Part of this stems from policy changes, such as higher pension eligibility ages. But much of it is the choices people make, knowing that they would otherwise need to fund very long retirements, and knowing that they do not need to retire early due to ill-health in the same numbers as previous generations did. Thus participation rates within age groups rise, especially the 55–64 age group. This can be (and for Australia, so far is) enough to offset the rising share of older people.

The reason for this counter-intuitive result is an example of first-round thinking not being enough. We need to account for people's responses changing as circumstances change. Just as Toyota taught us to ask “why” five times to get to the root cause, we must ask, “and then what?” five times to understand how a longer-term trend will play out. Changes in age mix do not happen in isolation. The “and then what” is that participation rates within age groups rise and can more than offset an ageing population

mix.

I suspect that people also missed this trend because it is not happening in the United States. US life expectancy has not really increased in the past couple of decades; premature death is much higher than in peers such as Australia and Europe. And so participation of the 55–64 age group, and even the prime-age 25–54 group, in the US lags other advanced economies. The gap is now such that overall participation in Japan is noticeably higher than in the US, despite Japan's population being much older on average.

How this is an opportunity for Australian women

Population ageing does present opportunities for women. First, some of the increase in overall participation stems from still-rising participation by women in the 25–54 age group, not just from older workers. There will always be some jobs – say, furniture removal – where male upper body strength will remain an advantage. As the workforce changes, though, job design will need to evolve to fit those changes, and the changes driven by an ageing workforce and a more female workforce are likely similar.

In addition, as lifespans and working lives lengthen, career breaks for family reasons become less of a setback in the accumulation of retirement savings. Since women are more likely to take such breaks than men, this eases a current disadvantage.

How the federal budget might support this

If government wants to realise the opportunities created by an ageing population and an expanding workforce that is older and more female, it should do everything it can to smooth the path for women to enter the workforce, re-enter the workforce after a break, and stay in the workforce as long as they feel able.

Getting the NDIS on a sustainable footing and back to its core purposes of supporting the severely disabled and reducing family members' caring burden is a singular example of what is needed. The “sandwich generation” task of caring for children and elderly parents simultaneously is a disproportionately borne by women. Well-funded support in schools, with support and training for teachers and parents alike, may support some families with children currently on the NDIS better than a system that creates more life admin by funding appointments with service providers, which parents need to attend with their children.

More broadly, designing every program with the principle of reducing life admin for families should be a red thread through all federal and state initiatives.

Tax and retirement policy could be reshaped to ensure women who took career breaks are not held back by cliff effects and complexity from accumulating the needed retirement savings.

I note also that much of Australia's economic policy apparatus has been built on the false

assumption that ageing results in a shrinking workforce. Separately, therefore, budgets, the Intergenerational Review and other policies should be revisited so forecasts and program design can be based on actual trends, not first-round thinking.

AI and the new technology wave

Turning to the AI revolution – I use that word intentionally. The scope and capability of this new general-purpose technology have expanded enormously, with a pace that defies belief. Anything you thought about this technology based on what you knew six months ago is obsolete. There is a lot we do not know about how this will play out. Still, we can think through some implications, again beyond the first round of responses.

How this is an opportunity for Australian women

I see three opportunities from the AI revolution that might specifically benefit women. Firstly, with everything being so new and moving so quickly that almost nobody knows anything, it is easier to step into a field, or back into the workforce after a pause. Seismic breaks in the landscape of work mean past career breaks in a CV should be less of a disadvantage.

Secondly, AI might weaken the hold of what Harvard economics professor Claudia Goldin termed “greedy jobs”, those where long, continual hours are expected and frenetic pace early on builds experience and skills that allow career progression later. If agents can instead carry the context and assist with some tasks, “always on” continuity becomes less of an imperative. The jobs may become greedier of cognitive skills and the ability to orchestrate all those agents. Relative to careers that demand sheer “presence” and long, frenetic hours early in your career, though, this should help level the playing field between the two sexes, provided institutional norms also change. (I recognise this is a critical assumption.)

Thirdly, granted there is still much uncertainty and debate about which jobs will remain in demand and which will be less prevalent as this technology percolates. There is, however, good reason to believe that those least prone to full automation include those in-person, so-called ‘caring’ occupations that have provided so many job opportunities for women.

I note also that Australia is well-placed more broadly to take advantage of this new technology. Contrary to the stereotype of Australia being mostly about resources and financial services, this country has a burgeoning software industry that is already taking advantage of the newest tools. Coming from almost nothing a decade ago, Australia now boasts a software licensing export industry that brought in \$9½ billion of export revenue in 2025. For perspective, this is bigger than aluminium or copper, and almost as big as last year’s wheat exports.

I would also note that concerns about unequal returns to the AI boom are less relevant in Australia. Even if all the profits accrue to a few tech firms – a debatable proposition – almost all Australians will have exposure to this upside through their superannuation funds.

How the federal budget might support this

Of course, there was no government program or special initiative to create a software export industry. And this points to what the budget, and government, can and should do in this space – don't get in the way of the good bits or think that it is the government's role to lead and guide in every realm of endeavour.

There are of course privacy, child protection and national security angles to AI tools that warrant intervention and an appropriate regulatory framework. Just don't get in the way of allowing women to lean into this future.

I note reports of government concern that AI might fuel work intensification, which would be creating "greedy jobs" by other means. Before rushing to regulate in this sphere, though, we should check that intensification is a material issue. There is reason to think the opposite might end up being true. As agents become more reliable partners to hand off work to, human cognitive contribution becomes both more important and less time-bound. Just as the assumption that population ageing would shrink the workforce turned out to be wrong, so might the idea that AI necessarily intensifies work beyond an initial period of experimentation.

Growing perception that people expect more of government

The third big trend I want to address today might or might not be real, but it is certainly a growing perception in policy circles: that people expect more of government nowadays, and that governments should therefore deliver on those expectations. We see a rising call for government support in more circumstances. The rapid growth in scope and cost of the NDIS is the canonical example in a traditional area for government involvement. Expanding industry policy shows how the scope of policy can broaden as well as deepen.

Regulation and governance now touch an increasing set of activities, and the nature of that regulation is expanding. Whether it is the number of agencies firms need to seek approval from to build something, or the number of pages in the Income Tax Assessment Act (just one of current 12 volumes has a similar page count to the 1997 version), I am reminded of that well-known feminist philosopher Avril Lavigne's lyric, "why'd you have to go and make things so complicated?" The answer is, of course, that there was always one more thing that someone with the best of intent thought should be added.

The consequences of this belief about public expectations are evident in the rising share of household income being paid in income tax, rising regulatory footprint, and, as with some of the public programs I have already mentioned, a rising life admin burden that falls disproportionately on women.

I also worry that decisions to intervene shape decisions in ways that harm future resilience. If every adverse event is met with a government intervention to cushion the blow, a kind of "learned helplessness" can emerge, for firms and industries as well as individuals.

How this is an opportunity for Australian women

The consequences of this belief are not all bad, though. An area where the footprint of government has expanded to the benefit of women has been greater scope of crisis payments, especially for women and children escaping domestic and family violence. To the extent that this means more women can escape violence in the first place, it is surely a good outcome.

In addition, as I noted earlier, the expansion of the “care economy” and the regulatory footprint more broadly has been positive for women’s employment. Especially in a relatively sex-segregated occupational job market like Australia’s, health, education and social care roles are disproportionately female-coded. Using the industry of a person’s main job to categorise, women and girls make up 48% of total employment, but more than 70% of employment in health, social care and their sub-industries. Public administration and financial services also have above-average female employment shares.

How the federal budget might address this

Still, it would be good if these benefits could be reaped without all the admin, the complexity and the cost of our current system. If there is one thing I would hope for from this and future budgets, it is to take Ms Lavigne’s words to heart and make things less complicated.

Every intervention deserves scrutiny on this front. Without advocating specific changes, I instead offer the principle that governments should hesitate and ideally refrain from policies and programs where the answer to any of the following questions is “yes”.

- Does the intervention take away choice?
- Does the intervention promote learned helplessness?
- Has the support been overcomplicated?
- Does the intervention involve re-litigation of a safety standard or an evidence base that has already been established elsewhere?

On the last of these, the axiom I have in mind is “if it is safe enough for Europeans, it should be safe enough for Australians”. There are some exceptions, such as the need to build differently in a bushfire-prone continent. But from car booster seats to bike helmet laws for adults, Australia has shown a consistent tendency to go further on perceived safety than its European counterparts. Similarly, if evidence reviews by the health authorities of enough peer European nations show that a particular medical intervention is ineffective, we do not need to redo the analysis on smaller Australian datasets to stop performing and funding that intervention here.

Conclusion

To sum up, it is an uncertain world, though nobody ever says things are less uncertain than usual. All the more reason to keep sight of the big trends that will shape our futures even when current volatility is past. The good news is that these trends present opportunities for Australian women, but only if we ensure that other priorities – real or perceived – do not prevent us from making use of these opportunities. Thank you.

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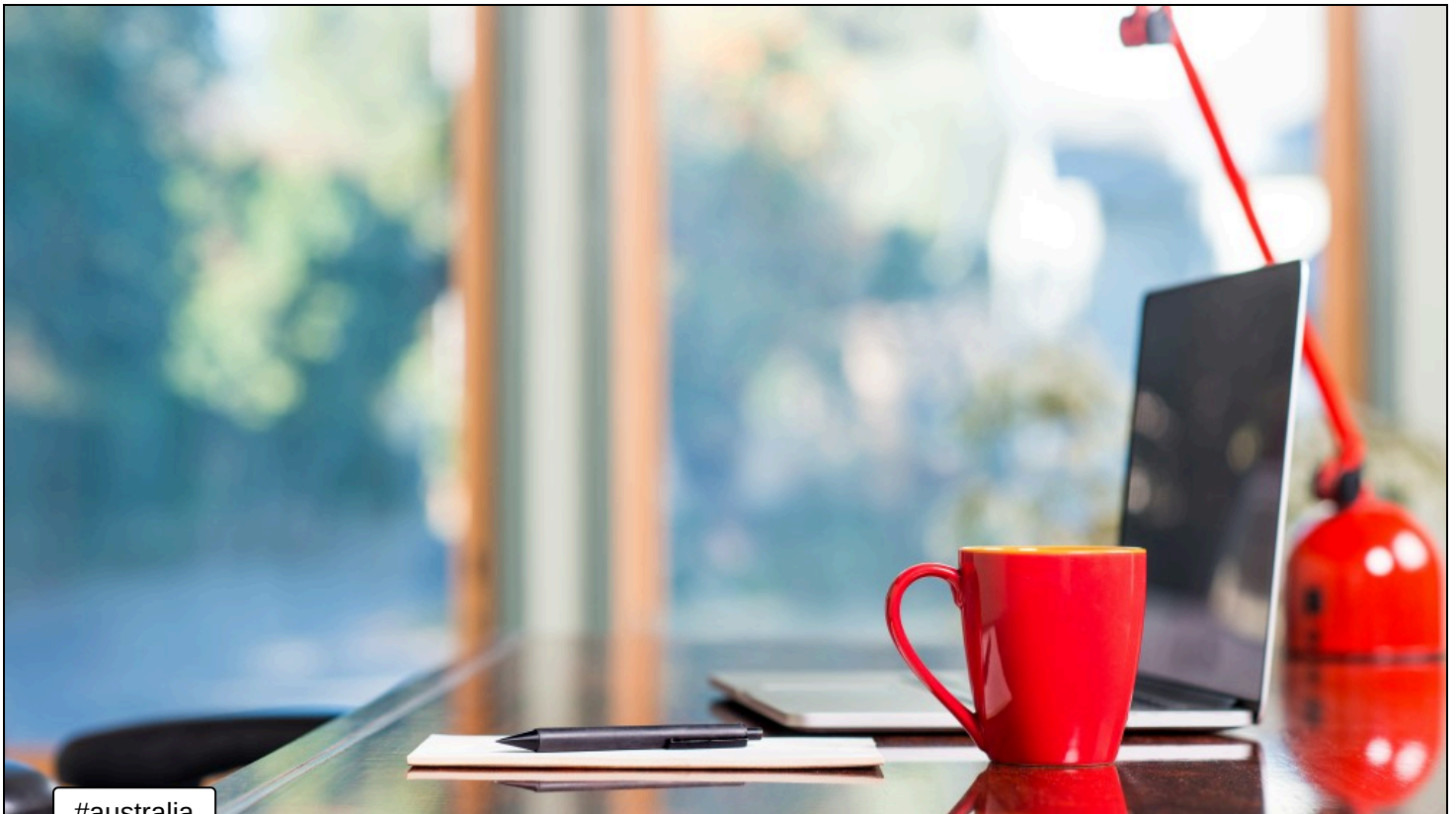


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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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Economist, Westpac

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4 May 2026

FORECAST UPDATE: THE STATES

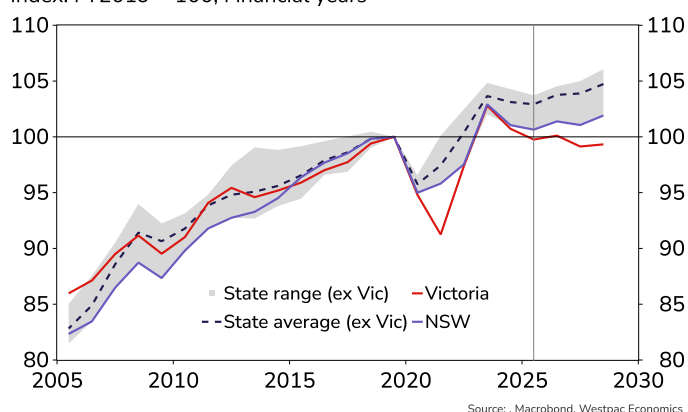
Mining resilient while consumer-led states under pressure

Key points

- After a relatively strong finish to 2025, our updated outlook points to an abrupt slowdown in the Australian economy through 2026 and into 2027 (see [here](#)). Here, we flow these aggregate changes through to the state level forecasts published in our March quarter Coast-to-Coast (see [here](#)), ahead of our June quarter Coast-to-Coast (due in late June).
- State performances are set to diverge again as national growth slows. Mining based states of Queensland and WA are expected to once again lead the pack, supported by elevated energy prices delivering sizeable income windfalls. SA is also relatively well positioned, underpinned by strength across both public and private activity.
- Consumption-led states set to slow sharply. NSW and Victoria are expected to underperform, with Victoria standing out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028.

Household consumption per capita

Index: FY2019 = 100, Financial years



- On our forecasts, consumption per capita in Victoria declines by around 3.5% cumulatively over the five years to FY2028, one of the largest and longest lasting contractions on record. However, Tasmania is expected to remain the laggard overall reflecting the state's much weaker population growth.

States to diverge as the household squeeze returns

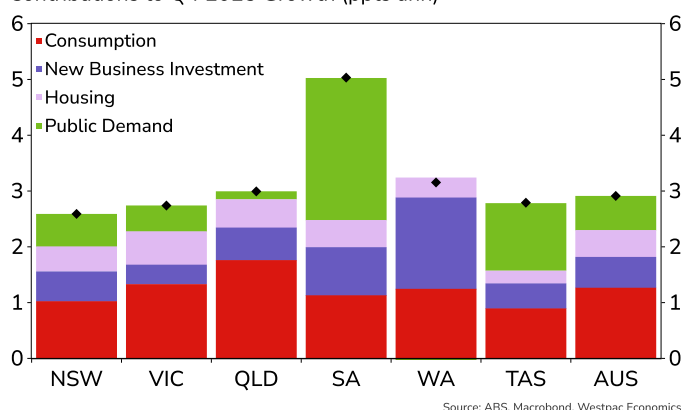
Pat Bustamante, Senior Economist
Ryan Wells, Economist

The strong finish to 2025 was reflected in a broad based lift in activity across the states, as private demand rebounded more quickly than expected. The Australian economy is now heading into a sharp slowdown, as a re-tightening in monetary conditions over recent months collides with a large global supply shock centred on energy.

This shock now appears both larger and more persistent than initially anticipated, intensifying domestic inflationary pressures. As a result, we expect the RBA to deliver two additional 25bp rate hikes beyond the widely anticipated 25bp move in May, aimed at preventing a sustained lift in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, pushing the unemployment rate towards 5%, with the trimmed mean inflation rate rising to around 4% by year end.

State Final Demand

Contributions to Q4 2025 Growth (ppts ann)



As national growth slows, state performances are set to diverge once again. Differences in industry structure, population dynamics and exposure to interest sensitive demand will reassert themselves through 2026 and into 2027.

The mining based states of **Queensland** and **WA** are expected to once again lead the pack, benefiting from elevated energy prices delivering sizeable income windfalls alongside still solid population growth. Dwelling price growth is also expected to remain firm, as strong demand continues to run up against limited supply, supporting consumption through wealth effects. **SA** is also relatively well positioned, supported by strength across both public and private activity, including public infrastructure investment and defence related spending.

By contrast, the consumer led states of **NSW** and **Victoria** are set to slow sharply, consistent with patterns seen in previous tightening cycles. This is already becoming evident, with housing market conditions deteriorating in both states, which

will weigh on household spending via negative wealth effects. Over the quarter to April 2026, house prices fell by 1.5% in Melbourne and 0.9% in NSW, compared with a national average increase of 1.6%. By contrast, strength continues in Brisbane, Adelaide and Perth, which should help support consumption through positive wealth effects (see [here](#)).

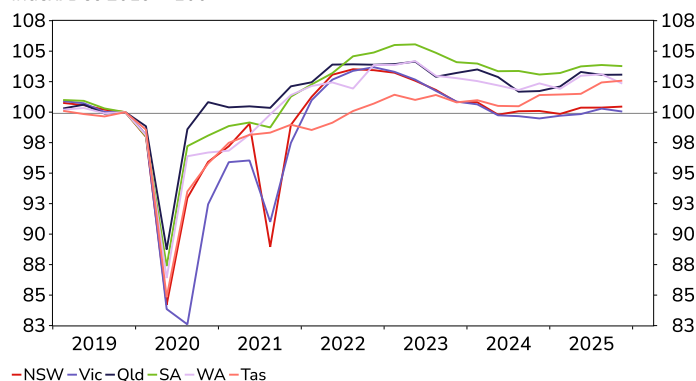
Per capita consumption in both states has largely moved sideways since 2019, underperforming the rises seen elsewhere. In stark contrast to the mining based states, population growth in NSW and Victoria is expected to outstrip gains in both GSP and consumption. On our forecasts, **consumption per capita in Victoria is set to record a cumulative decline of around 3.5% over the five years to FY2028**. The post COVID cost of living squeeze, now compounded by the recent spike in global energy prices, is delivering one of the largest and most prolonged contractions on record, extending back to the early 1990s.

Victoria stands out as the only state where consumption per capita is expected to fall below FY2019 levels by FY2028, underscoring the depth and persistence of the adjustment now underway.

However, **Tasmania** remains the laggard overall. Softer population growth is constraining momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown.

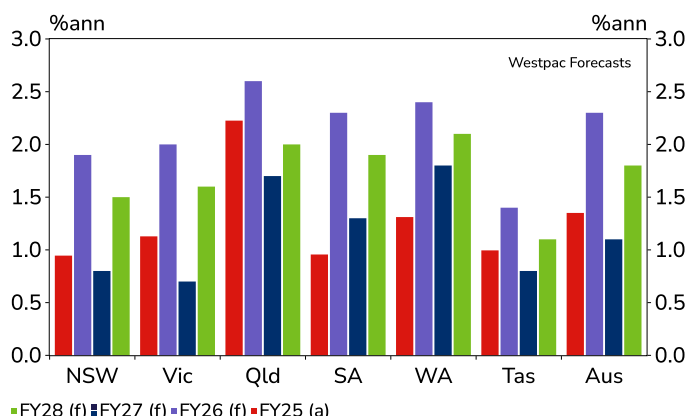
Household consumption per working age population

Index: Dec 2019 = 100



Further ahead, as inflation moderates back towards target and interest rates eventually begin to ease in 2028, household spending should recover and growth conditions gradually converge. However, this adjustment will take time, and downside risks increase the longer global supply disruptions and geopolitical tensions persist.

Gross State Product



Source: ABS, Macrobond, Westpac Economics

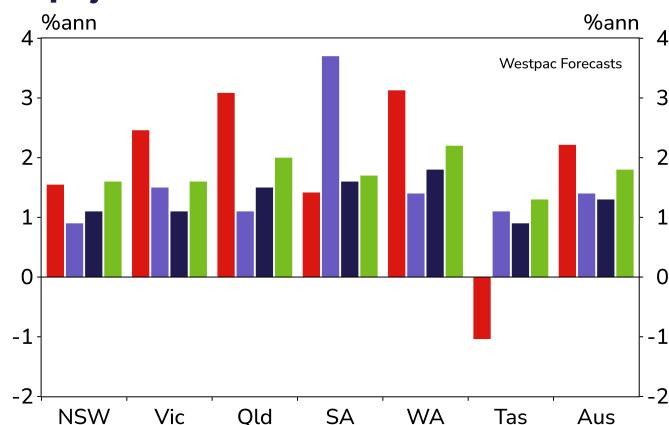
Commodity windfalls will see the mining states outperform

Mining exposure remains a clear positive, particularly as energy-related investment and exports benefit from higher global prices stemming from the conflict in the Middle East. These income windfalls should help cushion households against tighter financial conditions, keeping overall activity relatively resilient through the slowdown.

Queensland is expected to remain one of the stronger performers. GSP growth is forecast to slow from a year-average pace of 2.6%yr in FY2026 to 1.8%yr in FY2027, before picking up again to around 2.0%yr in FY2028. Consumption growth is expected to remain solid, easing only modestly from 2.5%yr in FY2026 to 2.1%yr in FY2027, before rebounding to 2.6%yr in FY2028. Momentum will be further reinforced by Olympics-related infrastructure investment and associated activity. Employment growth is forecast to average around 1.5% in FY2027 and 2.0% in FY2028.

WA is also expected to perform relatively strongly. GSP growth is forecast to moderate from around 2.4%yr in FY2026 to 1.8%yr in FY2027, before re-accelerating to 2.4%yr in FY2028. Consumption growth should remain resilient, easing from 2.8%yr in FY2026 to around 2.1%yr in FY2027, before lifting back to 2.6%yr in FY2028. As in Queensland, higher dwelling prices are expected to support demand near term through wealth effects. On this basis, employment growth is forecast at around 1.8% in FY2027 and 2.2% in FY2028.

Employment



Consumption led states to slow sharply

By contrast, the consumer-led states of NSW and Victoria are set to underperform as higher interest rates and cost of living pressures weigh directly on households.

In NSW GSP growth is forecast to slow from around 1.9% to just 0.8% in FY2027, as tighter financial conditions and elevated inflation dampen demand. The downturn is consumer led, with household consumption growth expected to fall to below 1% in FY2027 from around 2.0% in FY2026. Private investment should provide a partial offset, particularly in structural growth areas such as renewables and data centres. Higher costs will continue to place pressure on the state budget, though policy settings are likely to remain largely unchanged heading into the election early next year.

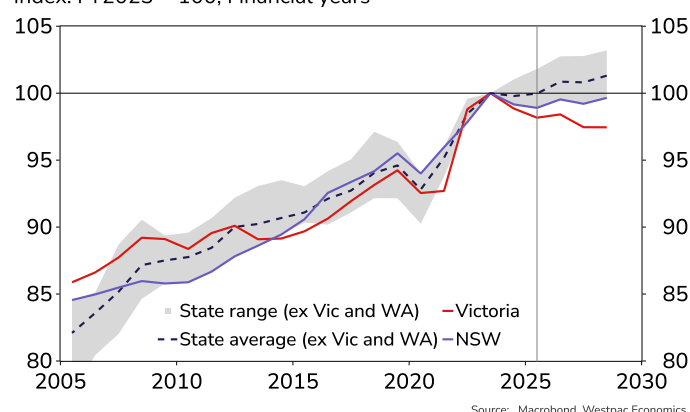
This slowdown is expected to weigh materially on labour demand. Coming off a weak base of 0.6% in FY2026, employment growth is forecast to recover only modestly, rising to 1.1% in FY2027 and 1.6% in FY2028—below the national average in each year.

In Victoria, GSP growth is expected to fall from around 2.0% in FY2026 to 0.7% in FY2027, broadly mirroring the slowdown in NSW. Consumption growth is also expected to ease sharply, from around 2.0% in FY2026 to just 0.7% in FY2027. Risks are more elevated in Victoria. Private investment has been noticeably weaker, particularly in dwelling construction, with forward indicators such as approvals lagging those in most other states (aside from Tasmania). While public demand should provide short term support ahead of the election, there is a risk that post election fiscal consolidation weighs on activity. We also expect some pause in private sector investment decisions as the November 2026 election approaches.

Employment outcomes are forecast to be like NSW in FY2027 and FY2028, though with greater downside risk, given employment growth had already begun to slow sharply even prior to the Middle East conflict.

Gross State Product per capita

Index: FY2023 = 100, Financial years



Source: Macrobond, Westpac Economics

SA continues to punch above its weight

As highlighted in our March Coast to Coast report (see [here](#)), the SA economy is firing on all cylinders. Both private and public activity have firmed, supported by a substantial pipeline of

infrastructure and defence related spending. In per capita terms, defence investment and employment are among the strongest in the country, delivering a durable lift to incomes. Housing approvals are also relatively strong on a per capita basis, pointing to ongoing demand growth. Expansion in strategic industries, particularly defence and advanced manufacturing, provides a solid medium term foundation for growth.

That said, some slowing in employment growth is expected. After an exceptionally strong 3.7% in FY2026, employment growth is forecast to ease to 1.6% in FY2027 and 1.7% in FY2028.

Tasmania to continue to be the laggard

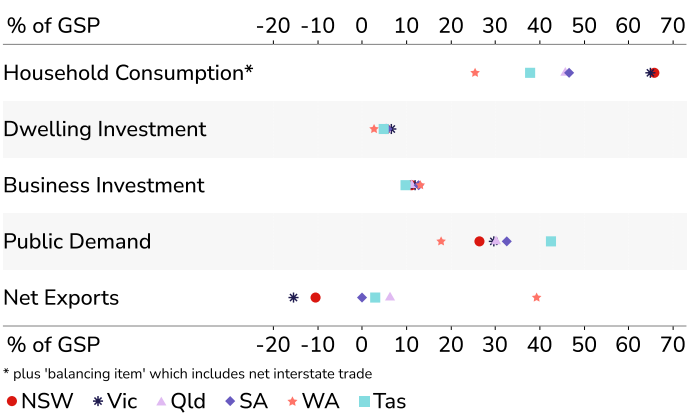
Tasmania continues to lag, with softer population growth limiting momentum in housing construction and consumer demand, leaving the state more exposed to the broader slowdown. The state also has the softest labour market and weakest consumer sentiment nationally, which is likely to weigh further on private demand. Employment growth is expected to remain subdued, easing from 1.1% in FY2026 to 0.9% in FY2027. Household consumption per working age population.

Bottom line

The period of state growth convergence seen in 2025 is over. As households are squeezed by higher rates and inflation, state outcomes will diverge sharply, led by the mining states and SA, and dragged by consumption heavy NSW and Vic. While rate cuts in 2028 should eventually stabilise conditions, the longer the global shock persists, the deeper and more uneven the adjustment across states is likely to be.

One liner: A slowing national economy, persistent inflation and higher interest rates will lead to state level divergences, with mining states resilient and the consumer-led states under pressure.

GSP Expenditure Components by State



Source: ABS, Macrobond, Westpac Economics

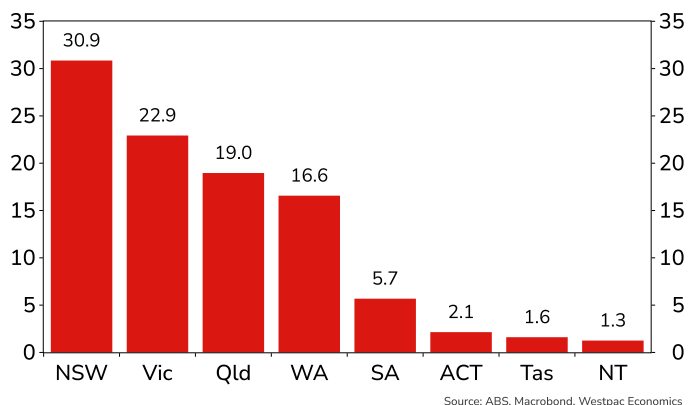
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Forecasts

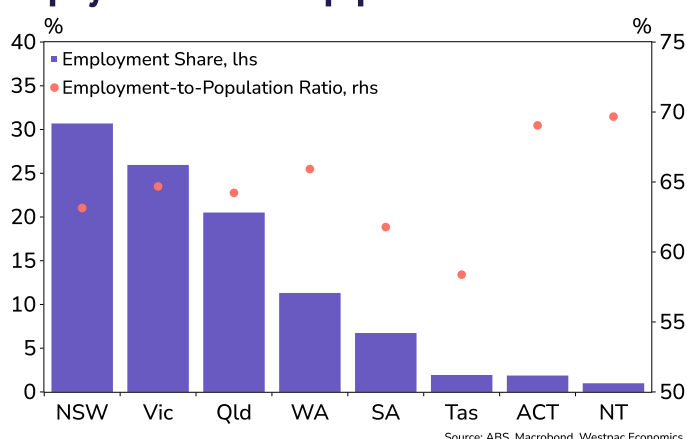
Variable	State	2024/25	2025/26	2026/27	2027/28
		Actual	Westpac f/c	Westpac f/c	Westpac f/c
GSP	Aust	1.4	2.3	1.1	1.8
year-average growth	NSW	0.9	1.9	0.8	1.5
	Vic	1.1	2.0	0.7	1.6
	Qld	2.2	2.6	1.7	2.0
	WA	1.3	2.4	1.8	2.1
	SA	1.0	2.3	1.3	1.9
	Tas	1.0	1.4	0.8	1.1
Household Consumption	Aust	1.1	2.2	1.3	2.3
year-average growth	NSW	0.8	2.0	0.8	1.9
	Vic	0.9	2.1	0.7	1.8
	Qld	1.3	2.5	2.1	2.6
	WA	2.4	2.8	2.2	2.5
	SA	0.7	1.9	1.5	2.2
	Tas	0.6	1.7	0.6	1.1
Employment	Aust	2.2	1.4	1.3	1.8
year-average growth	NSW	1.5	0.9	1.1	1.6
	Vic	2.5	1.5	1.1	1.6
	Qld	3.1	1.1	1.5	2.0
	WA	3.1	1.4	1.8	2.2
	SA	1.4	3.7	1.6	1.7
	Tas	-1.0	1.1	0.9	1.3
Population	Aust	1.6	1.5	1.4	1.4
year-average growth	NSW	1.2	1.3	1.1	1.0
	Vic	1.8	1.7	1.7	1.6
	Qld	1.9	1.7	1.6	1.6
	WA	2.4	2.1	1.8	1.7
	SA	1.1	1.2	1.3	1.2
	Tas	0.2	0.5	0.8	0.7
Dwelling Prices	Aust	8.6	3	3	–
through-the-year growth,	Sydney	6.2	1	2	–
calendar years	Melbourne	5.1	1	5	–
(2024/25 = Dec-25)	Brisbane	14.7	6	3	–
	Perth	16.7	8	5	–
	Adelaide	8.3	5	4	–
	Hobart	7.4	1	3	–

Shares of GSP

Real, Chain Volumes, 2024/25, Percentage



Employment shares and population ratios



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Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Core inflation cooling before the fuel shock

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By Justin Smirk

Senior Economist, Westpac

07:46 May 01 2026

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A short video update from the Westpac Economics team on the March CPI and the outlook for the RBA.

The March Consumer Price Index (CPI) showed a headline inflation increase of 1.1% in the month and 4.6% through the year, slightly below expectations, while core inflation remained steady at 3.3% annually with some easing momentum.

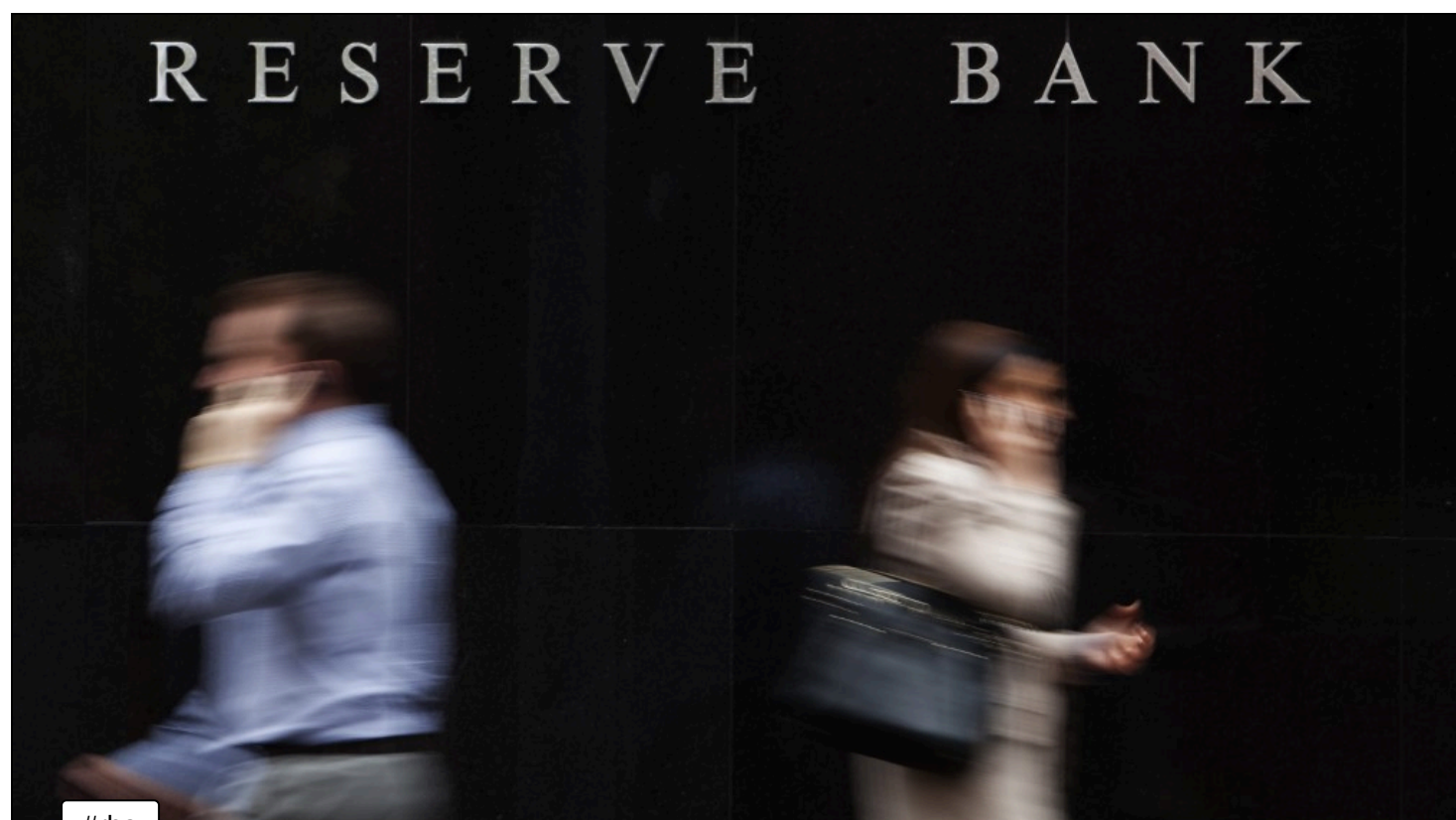
- **Fuel prices drive headline inflation:** The surge in fuel prices by 33% in March significantly boosted headline inflation, a widely anticipated development.
- **Core inflation moderates pre-crisis:** Core inflation was moderating before the Gulf crisis, with limited evidence so far of fuel price increases passing through to broader price pressures. But we expect this to change from April.
- **Quarterly inflation trends:** The quarterly CPI rose 1.4% in the March quarter, with headline inflation accelerating due to energy price shocks, while core inflation growth slowed slightly, supporting the observation of inflation moderating before recent fuel price shocks.
- **Monetary policy implications:** The Reserve Bank of Australia is expected to raise interest rates in May, with two additional hikes possible depending on how demand responds to higher prices, as core inflation is projected to peak around 4% later this year.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 265KB\)](#)

Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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Economist, Westpac

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Expansionary impulse persists as states grapple with the shock

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By Pat Bustamante

Senior Economist, Westpac

11:30 May 07 2026

Share

State budgets to deteriorate, with limited scope for further stimulus given an already expansionary national fiscal impulse. Any redistribution of the positive income shock is best delivered within the existing fiscal envelope.

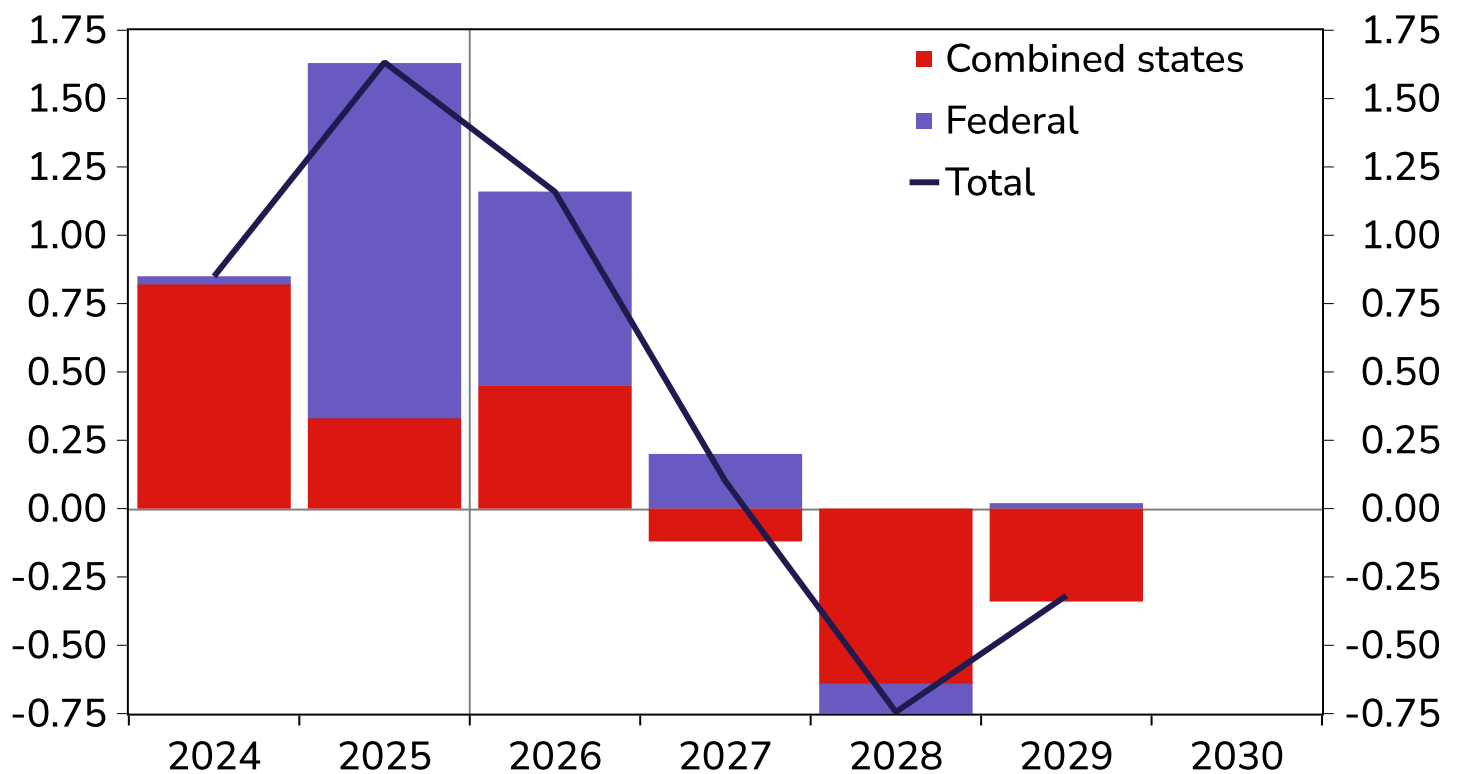


- The combined state budget position will deteriorate as the Middle East shock weighs on revenue while lifting expenses, delaying the expected fiscal recovery by two years.

- State capital spending is easing as major infrastructure projects unwind, but net interest costs are rising sharply. By FY2029, States are increasingly borrowing to service their interest bills, an outcome that is likely to sharpen the focus on the need for fiscal consolidation.
- The national fiscal impulse is slightly expansionary in FY2027, even before factoring in additional policy support expected in upcoming state and federal budgets. This follows a substantial fiscal expansion of around 3.5ppt of GDP over the three years to FY2026, comparable in scale to the GFC. However, unlike past cycles, states drove a disproportionate share of this expansion, especially early on.
- With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

Fiscal impulse

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

*Combined state balance is the cash balance for the non-financial public sector. The headline cash balance is used for the Federal balance.

Prior to the escalation of the conflict in the Middle East, state and territory governments (the 'states') were projecting a steadily improving fiscal outlook. This was underpinned by an expected recovery in private sector activity, continued strength in employment growth, and inflation easing back towards the RBA's 2.5% target.

The world has changed

For governments preparing upcoming budgets, the Middle East conflict could not have come at a worse time. Instead of a recovery in private sector activity, we now expect a sharp economic slowdown as the recent re-tightening in monetary conditions collides with a large global supply shock centred on energy.

We expect the RBA to deliver two additional 25bp rate hikes beyond the 25bp increase in May, aimed at preventing a sustained rise in inflation expectations. Against this backdrop, GDP growth is forecast to slow to just 1%yr in 2026, the unemployment rate is expected to lift toward 5%, and trimmed mean inflation is forecast to rise to around 4% by year-end.

Our updated state-based forecasts ([see here](#)) have economic activity, employment, and dwelling price growth slowing abruptly in the consumer-led states of NSW and Victoria, while conditions hold up relatively better in the mining-based economies of Queensland and WA. In NSW and Victoria, year-average growth in GSP is now expected to fall below 1% in FY2027, less than half the rate we were forecasting in December 2025 ([see here](#)), with smaller downgrades elsewhere.

As a result, employment growth is expected to slow below population growth in NSW, Victoria, and Tasmania, while remaining broadly in line with population growth in the mining states and SA. Dwelling prices in NSW and Victoria are now forecast to effectively stagnate through 2026, down from around 5% growth expected late last year. This adjustment is already underway, with prices falling over the quarter to April 2026 in both these states.

This shift in the outlook has significant implications for the states' largest tax bases, particularly payroll tax, stamp duty, and gambling taxes. While GST revenue is likely to receive a near-term boost from stronger nominal spending, this will only partially offset the broader revenue drag.

If this wasn't enough to deal with, the negative supply shock will increase the costs of delivering health, education, and infrastructure services. Based on actual and expected input price increases, we estimate infrastructure development costs of around 5% higher in FY2027 than expected prior to the conflict. While smaller than the roughly 8-10% increase in costs we estimate for dwelling construction, the impact remains material. We currently expect this to be a one-off level shift in prices, with construction cost growth expected to normalise by FY2028. However, the longer the conflict persists, the greater the risk that elevated cost growth extends beyond FY2027.

Higher inflation will also lift non-labour costs across health and education. This will feed into labour costs through cost-of-living adjustments embedded in enterprise agreements. In addition, there's a risk of further spillover as workers try to protect real wages.

The result is a clear deterioration in state fiscal positions: weaker revenue growth alongside rising expenses, even before governments consider new policy measures to support households and businesses through this adverse supply shock.

Importantly, state governments are unlikely to benefit materially from commodity price windfalls, in

contrast to the Commonwealth. Even in the mining states, stronger royalty revenues are expected to fall short of offsetting rising cost pressures. While higher energy prices will unambiguously lift national income, the distribution of these gains will be highly uneven.

State fiscal drift looks set to continue

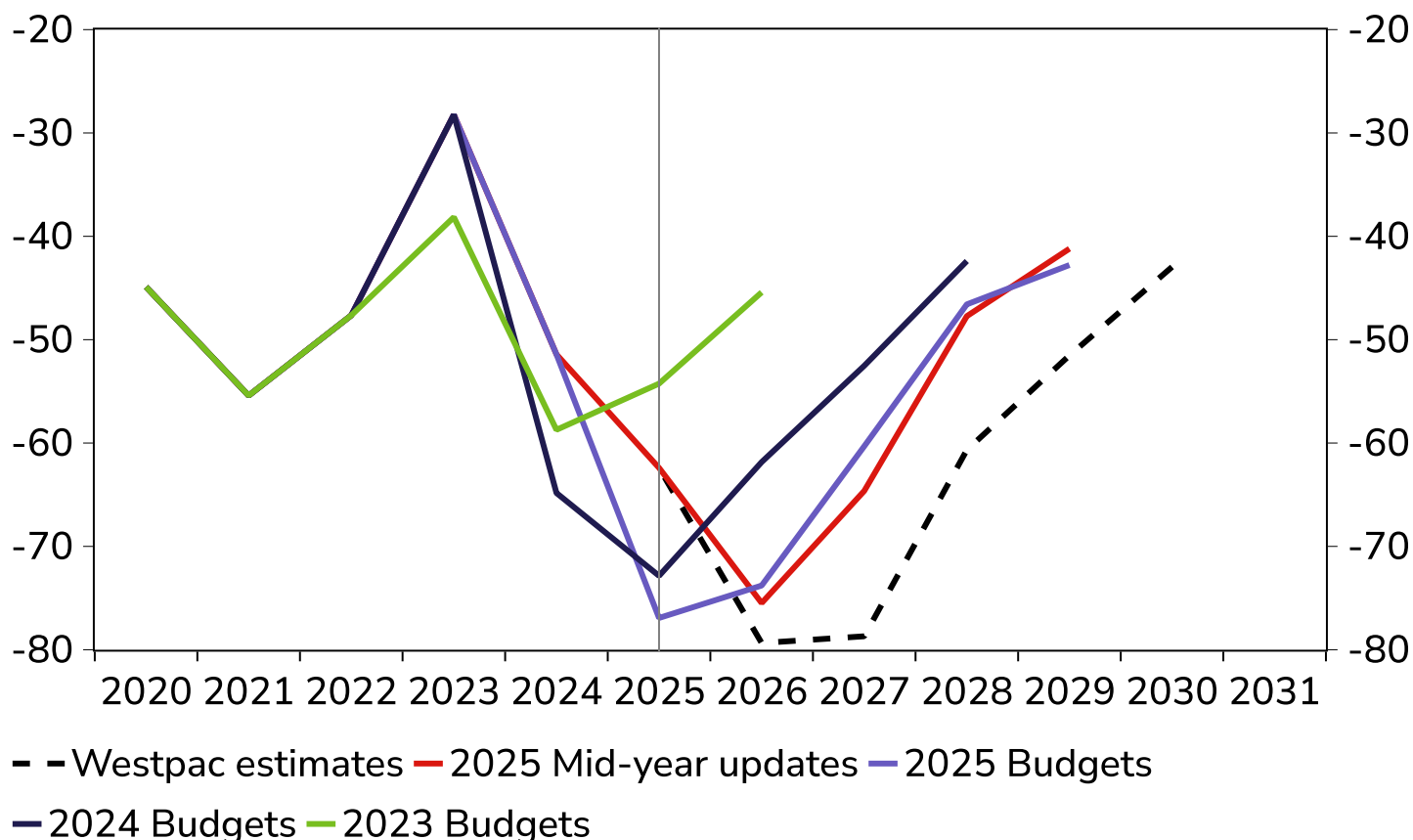
Based on Westpac Economics' outlook, and our mapping of macro parameters to fiscal outcomes, we estimate the combined state cash deficit will deteriorate by around \$50bn over the five years to FY2030.

The starting point for fiscal repair has also shifted. The turnaround in the combined cash balance is now expected from FY2028, two years later than the FY2026 timing embedded in last year's budget updates.

This excludes both recently announced and prospective policy support for households and businesses. Additional measures will place further pressure on fiscal positions. Victoria alone has announced around \$18bn in new policies, while the Federal Government has also provided support, including via the fuel excise cut.

Budget outlook across the states

Non-financial public sector, cash balance, \$billions



Source: State budget papers, Macrobond, Westpac Economics

Despite the expected deterioration, risks remain skewed to the downside.

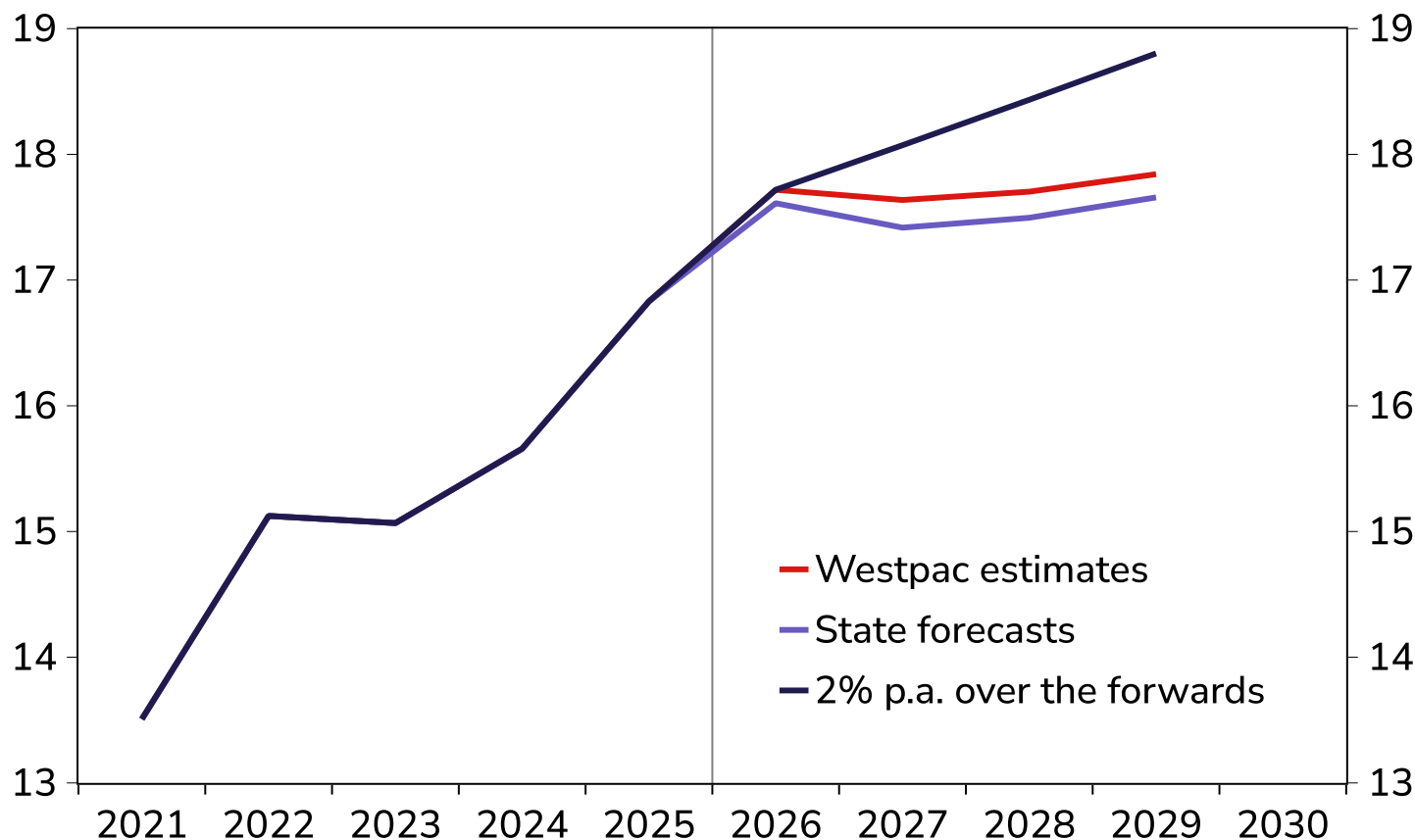
There is a degree of optimism embedded in these estimates. In part because we assume no change in

policy, recurrent spending per capita is assumed to stabilise over the forecast period, following a sharp 30% increase over the five years to FY2026. On current settings, this implies a decline in real services per capita, an outcome that appears unlikely given recent budgets have been focused on expanding public service delivery, particularly across housing, health and education.

If instead spending growth moderates only partially, to around 2.0% per annum from the 5% pace seen over the past five years, recurrent expenditure would be around \$35bn higher by FY2029. This would see the combined cash deficit widen materially, from around \$50bn to closer to \$85bn by FY2029.

Recurrent payments per capita across the states

Non-financial public sector, \$000s



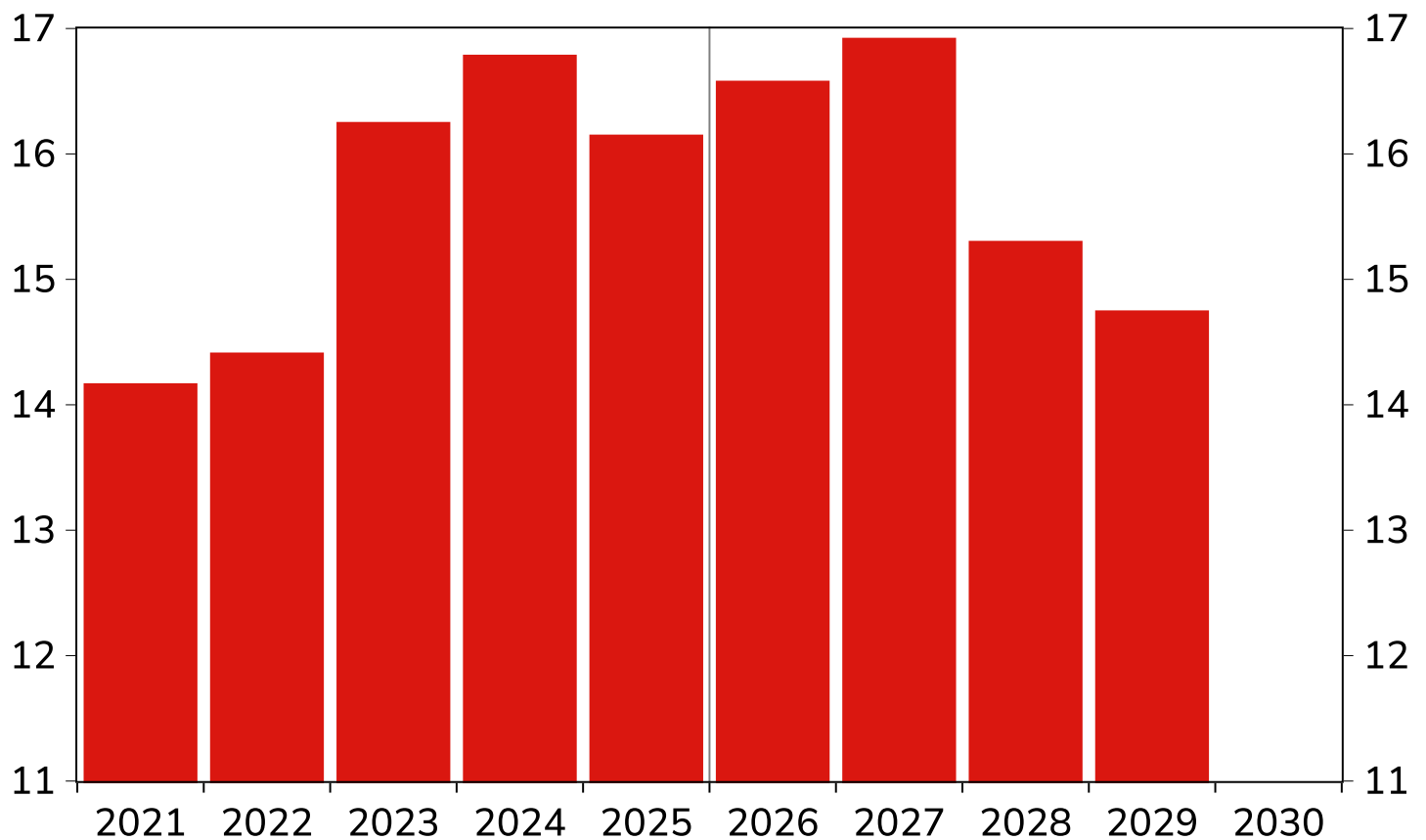
Source: State budget papers, Macrobond, Westpac Economics

The combined fiscal outlook is also shifting.

Capital spending has surged in recent years, rising from around 12% of total outflows (recurrent plus capital outlays) in FY2022 to a peak of almost 17% in FY2027. However, this share is expected to ease back to around 14.5% by FY2029 as the current pipeline of major projects rolls off.

Infrastructure investment

% share of total outlays



Source: State budget papers, Macrobond, Westpac Economics

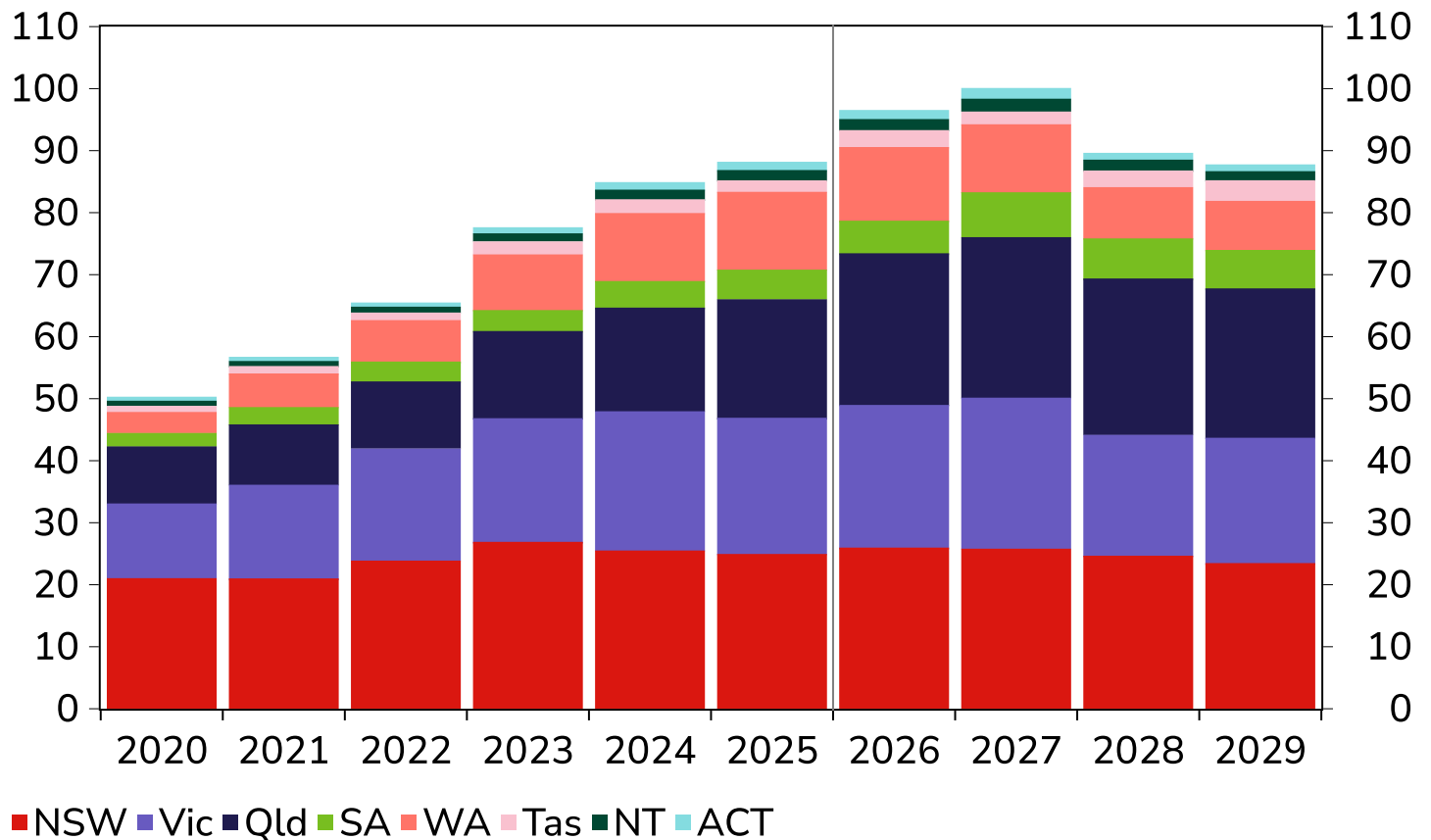
We are now at (or near) peak levels of public capital expenditure. A significant wave of transport 'mega-projects' is moving through completion. In Sydney, this includes WestConnex (largely complete), the Metro (with the Southwest line due to open in 2026 and the Western extension by 2032), and Western Sydney Airport (scheduled for completion in 2026).

In Melbourne, key projects include the Metro Tunnel (completed in late 2025) and the Airport Rail Link (targeted for 2029), alongside much longer-dated and more uncertain timelines for the Suburban Rail Loop and Geelong Fast Rail.

In contrast, Brisbane and south-east Queensland retain a more extended pipeline. Major projects, including Cross River Rail (2025–26) and Gold Coast Light Rail (2026), are complemented by a broader wave of infrastructure investment supporting activity through to the 2032 Brisbane Olympics.

Infrastructure pipeline

Non-financial public sector, \$billions



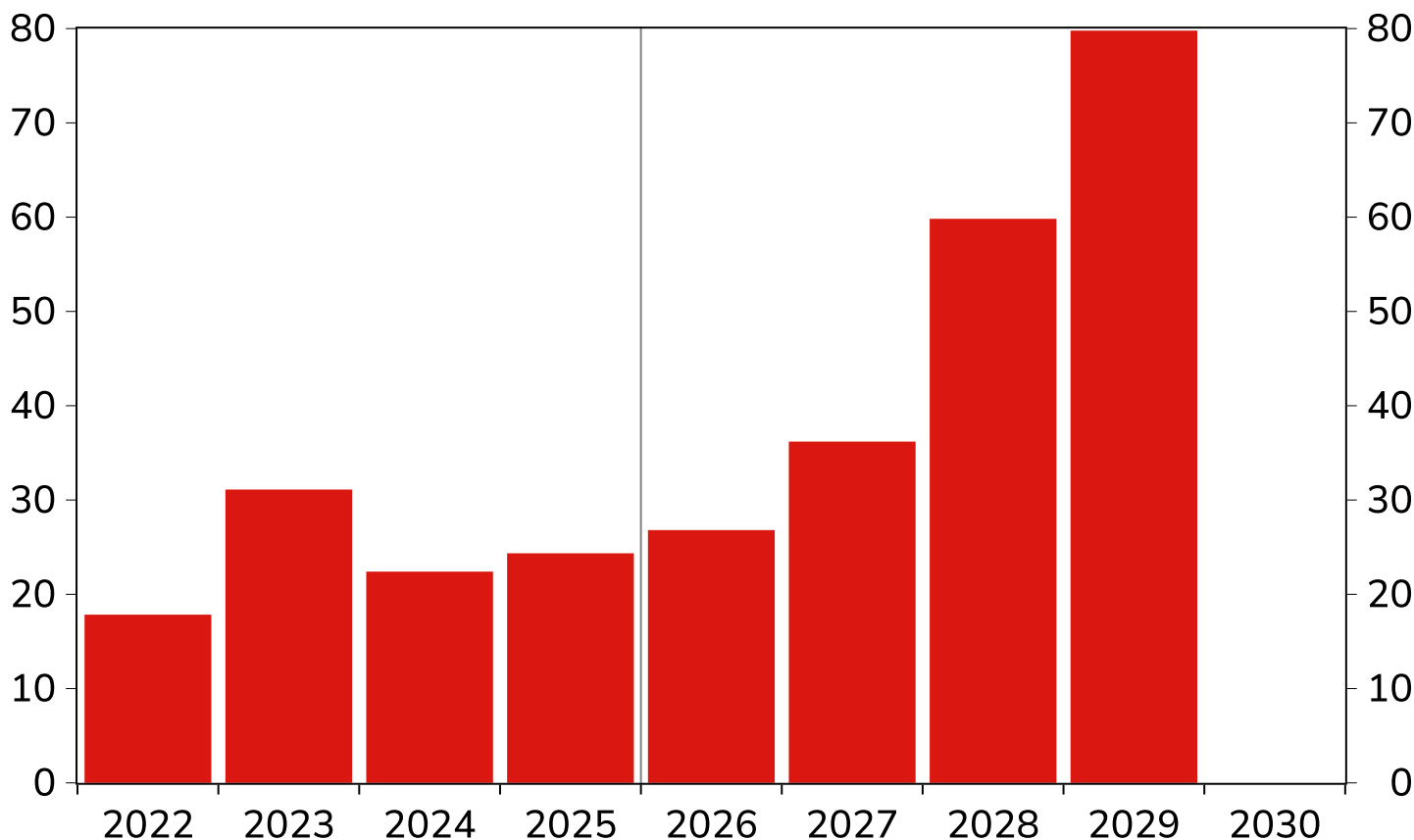
Source: State budget papers, Macrobond, Westpac Economics

At the same time, net interest costs are rising rapidly. By FY2029, we estimate that around 80% of state borrowing will be used to service interest payments, reflecting both a higher global cost of capital and a materially larger stock of debt. This is likely to sharpen the focus on the need for fiscal consolidation.

This dynamic is becoming increasingly important. A larger debt stock, combined with elevated borrowing costs, will constrain fiscal flexibility, particularly in an environment where global interest rates remain higher for longer.

Interest payments

% share of cash deficits



Source: State budget papers, Macrobond, Westpac Economics

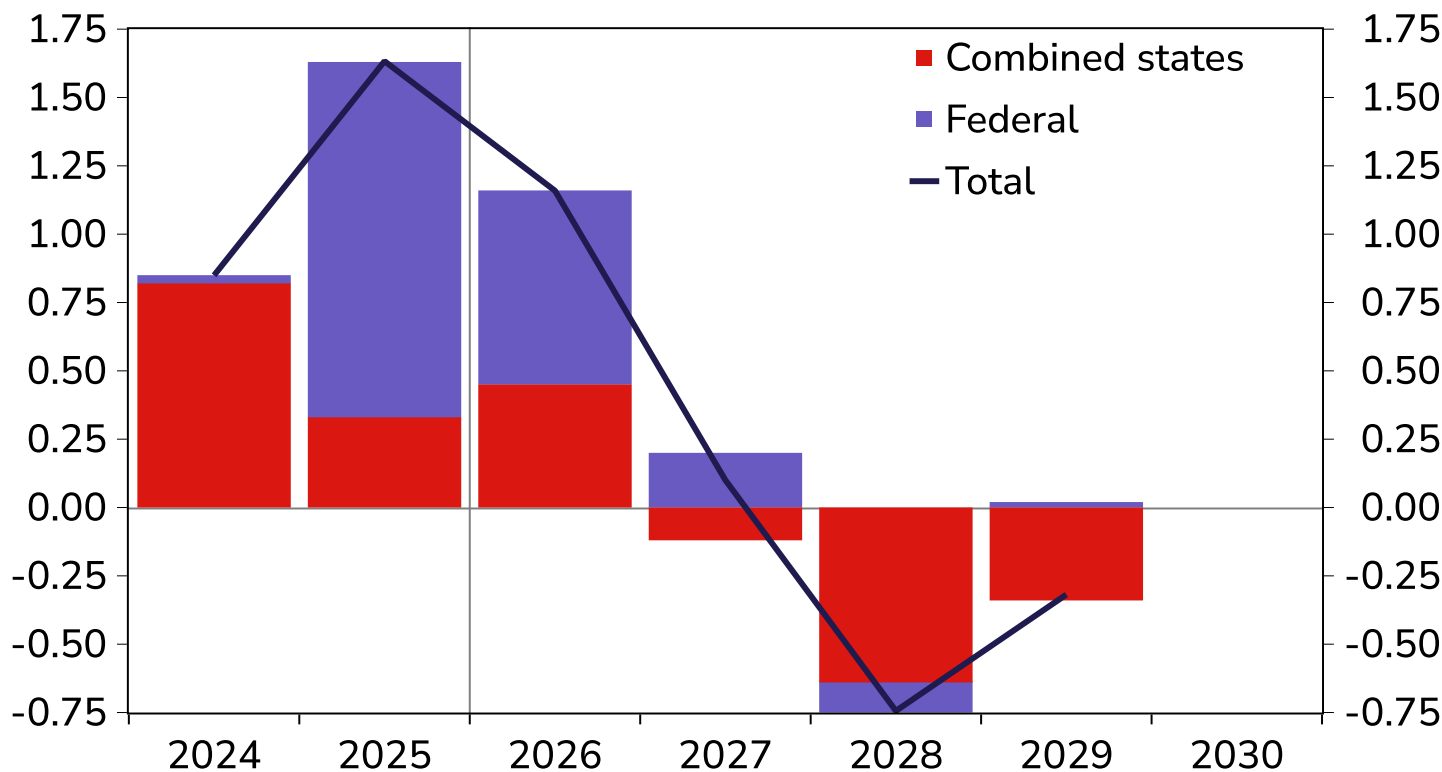
What about the national fiscal impulse? Limited room for further stimulus

The fiscal impulse measures the net contribution of government to aggregate demand. When governments are balancing their books and net outflows (consumption and investment) equals inflows (mainly tax revenue) the impulse will be flat or neutral. The change in the impulse is important when looking at the change in demand, activity, and inflationary pressures.

On our estimates, the combined fiscal impulse is slightly expansionary in FY2027. This follows an expansionary policy stance over the past three years where the national fiscal impulse was around 3.5ppts of nominal GDP, an increase comparable to the post-GFC stimulus in 2009–10.

Fiscal impulse

% of nominal GDP, Financial years.



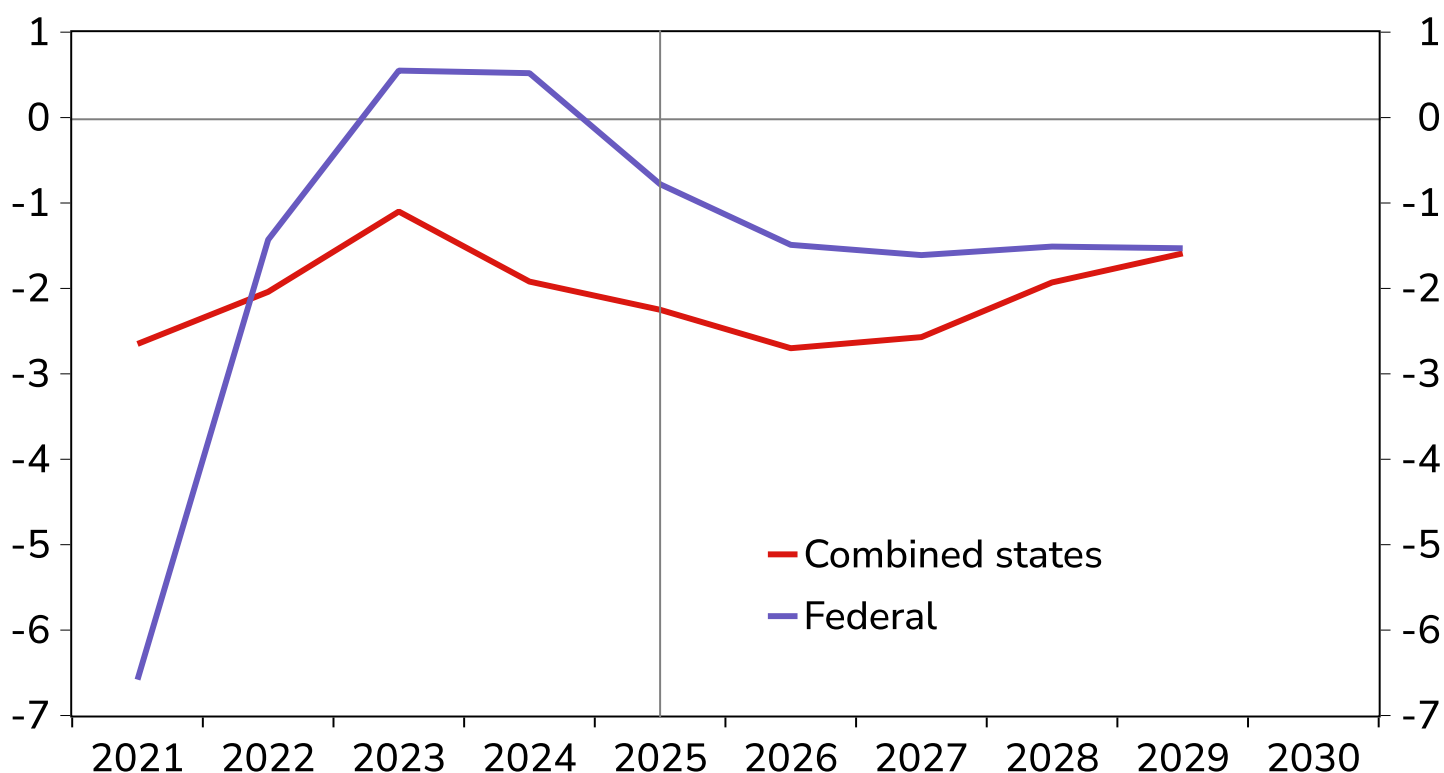
Source: Macrobond, Westpac Economics

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However, unlike the GFC, this recent expansion has been driven by the states with the combined cash deficits larger than the Federal headline cash deficit. This is unusual: historically, large fiscal expansions have typically been led by the Commonwealth, but in the current cycle it is state spending, particularly infrastructure, that has dominated the impulse.

Cash budget balances*

% of nominal GDP, Financial years.



Source: Macrobond, Westpac Economics

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Looking ahead, the slightly expansionary impulse suggests limited incremental support to demand from fiscal policy. In principle, this should help ease pressure on capacity and inflation. However, given the ongoing pipeline of policy measures and the political imperative to support households during this oil price shock, there is a clear risk that fiscal settings remain more expansionary than currently assumed.

Bottom line

The shift in the outlook leaves state budgets in a materially weaker position. A combination of softer revenue growth, rising cost pressures and an increasing interest burden is set to delay fiscal repair. With the fiscal impulse to be slightly expansionary in FY2027, there is only limited scope for additional spending. As a net energy exporter, higher energy commodity prices will unambiguously boost national income. While there is a case for governments to redistribute some of these gains, a significant net addition to the fiscal impulse risks leaving policy more expansionary than is consistent with returning inflation to target.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 265KB)

Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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Cliff Notes: policy perspectives from across the globe

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By [Elliot Clarke](#), [Illiana Jain](#), [Ryan Wells](#) & [Mantas Vanagas](#)

09:42 May 01 2026

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Key insights from the week that was.



In Australia, the [Q1 CPI](#) report provided the first official estimate of the impact on local prices of the Middle East conflict. Headline inflation accelerated sharply to 1.4% (4.1%yr) in Q1 on the back of a 33% surge in auto fuel prices in March alone. Fortunately, a large portion of this spike has since unwound following the fuel excise cut, although fuel prices remain materially above the pre-conflict level.

While there were some signs of price pressures across home-building, vehicle repair and insurance, it is too early to detect, let alone accurately assess, evidence of pass-through. That said, underlying trimmed mean inflation still rose 0.8% in Q1, with annual growth at 3.5%yr, a full percentage point above the mid-point of the target. Notably, March's data pre-dates the wide range of price increases reported anecdotally for building products and other items which came into effect in April.

Following the CPI release, Chief Economist Luci Ellis reaffirmed our call for the RBA to increase the cash rate by 25bps to 4.35% at the May policy meeting. The combination of an elevated starting point for inflation and imminent risk of pass-through will compel the RBA to act pre-emptively to contain inflation expectations. Next week's voting split, updated staff forecasts and the tone of communications will be informative on the baseline policy outlook and risks. For now, we retain our base case of another two hikes beyond May, in June and August, taking the cash rate to a peak of 4.85%.

The combination of higher inflation, slower growth and rising unemployment is also fostering a complex macroeconomic backdrop for the 2026/27 Federal Budget, due May 12. A full preview will be published next week, but our preliminary note sets out our central expectation that commodity price windfalls are likely to more than offset spending pressures and result in a net improvement in the budget's bottom line over the forward estimates.

Offshore, at the beginning of the week the Bank of Japan held its policy rate at 0.75% in a 6-3 vote. Updated forecasts highlight the risk of stagflation, with FY26 growth revised sharply lower to 0.5% (from 1.5%) and core inflation now expected to remain above 2% through to FY28. With Japanese firms increasingly willing to pass on costs, the Middle East conflict risks amplifying domestic inflationary pressures.

The BoJ remains focused on restoring the policy rate as an effective policy lever. Further hikes were signalled, but the timing left open. With policy settings still considered accommodative and a weak yen threatening import inflation, we anticipate the next hike to occur in June, though there is a risk it is delayed to July. The Financial Statements Statistics update due on 1 June will be an important release to gauge firms' response to the crisis and the implications for both inflation and activity.

In the US, the FOMC then kept the stance of policy unchanged at its April meeting. The tone of the statement was balanced, with a sanguine view on GDP growth and the labour market and inflation simply characterised as "elevated". The statement also noted that "the Committee is attentive to the risks to both sides of its dual mandate", while Chair Powell remarked in the press conference that, in his view, policy is in a good place to take time to monitor conditions, being at the "high end of neutral, perhaps mildly restrictive". Governors Hammack, Kashkari and Logan also showed greater concern over inflation than the labour market at this meeting, wanting to maintain the target range for the federal funds rate and signal that a hike was as likely as a cut on current information.

The Bank of Canada also kept its policy stance unchanged. The conflict in the Middle East and US trade policy were called out as sources of uncertainty for the global economy. But overall, the outlook for Canada's economy was viewed as little changed from January. Assuming a protracted resolution to the Middle East conflict into 2027, GDP growth is expected to strengthen through 2027-2028 and

inflation to turn back towards the 2%yr target from 3%yr in the near term, allowing the Bank of Canada to remain on hold.

Thereafter in Europe, the ECB Governing Council opted to maintain its current policy stance. The ECB acknowledged that “upside risks to inflation and downside risks to growth have intensified” and the merits of a rate hike were discussed, but developments to date were not sufficient to convince the Governing Council to take immediate action – the decision to hold was unanimous. At its previous meeting in March, the ECB presented two downside scenarios alongside its baseline. In the April press conference, President Lagarde was reluctant to discuss the details of those scenarios, noting simply that conditions are diverging from March’s baseline and the upcoming six weeks “will be the right time” to assess the economy “in order to make an informed decision”. Her comments appeared carefully chosen to signal openness to a rate increase in June. Therefore, barring any major changes in the dynamics of the Middle East conflict, we continue to believe that a 25bp policy rate hike is the most probable outcome at the next meeting.

The Bank of England’s April meeting also unfolded broadly as expected, the MPC voting 8-1 to keep the policy rate at 3.75%. Chief Economist Hew Pill was the sole dissenter, preferring “a prompt but modest hike in Bank Rate” to contain the risk of second-round inflationary effects. The policy statement maintained a hawkish bias, however, emphasising the potential impact of the energy price shock – its scale and duration – on UK inflation and the committee’s readiness to act to ensure inflation returns to the 2% target. Policy makers also showed concern over economic growth and the labour market, with slack increasing prior to the conflict.

Risks to the economic outlook were illustrated using three alternative scenarios, differentiated by oil and gas price assumptions and the persistence of second-round inflation effects. In the first two scenarios, the Brent oil price averages \$108 in Q2 2026 then decreases at different speeds. Both scenarios showed headline inflation peaking above 3.5%yr this year before easing in 2027. Importantly, the Governor emphasised that, if the economy evolves in line with these scenarios, further policy tightening may not be required – the removal of the circa 50bp of easing priced before the conflict potentially sufficient to bring inflation back to the 2% target. The committee judged that the most severe scenario – where Brent averages \$127 this quarter and remains above \$100 well into 2028 – would likely require “a forceful tightening in monetary policy”, however. The Governor declined to specify what interest rate changes this would entail, but noted the need to act quickly to minimise second-round effects. Bank Rate hikes this year are therefore not guaranteed, but with Brent Oil surging as much as 20% this week to a peak around USD126 (now USD114) as the US and Iran remained at an impasse, conditions may eventually become too close to the BoE’s most severe scenario for the MPC to ignore. We continue to expect a Bank Rate hike at the next policy meeting in June, with further tightening possible, but dependent on evolving circumstances.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 265KB\)](#)

Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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March CPI with Hormuz hit

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By Justin Smirk

Senior Economist, Westpac

08:10 April 29 2026

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Reissue of the March CPI preview published April 10.



This is a reissue of March CPI Preview (published April 10) with breakdown of March quarter estimates of CPI and Trimmed Mean along with the month of March CPI and Trimmed Mean estimates. For the first time we include a breakdown of the CPI estimates for the next two months, April and May.

Read full report  'Inflation outlook' (PDF 1MB)

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to [Middle East Crisis Update](#).
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.
- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

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Cliff Notes: Middle East conflict seemingly at an impasse

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By [Elliot Clarke](#) & [Illiana Jain](#)

10:56 April 24 2026

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Key insights from the week that was.



Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the

expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act “as the situation demands” ahead. Next week’s run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump’s pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC’s communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh’s confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain. Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 265KB\)](#)

Key themes:

- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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22 April 2026

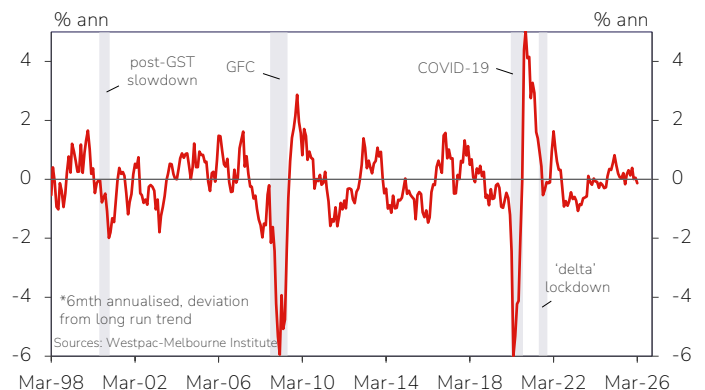
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate declines to -0.13% in March.
- First below-trend pace since August last year.
- Interest rates and global energy shock clearly impacting.

Westpac-MI Leading Index



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Leading Index momentum dips back below trend



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to -0.13% in March from $+0.05\%$ in February.

The Australian economy has lost momentum over the first few months of the year with more weakness likely to emerge in the months ahead. The March Index already points to a period of below-trend growth over the remainder of 2026. While the growth pulse is not overly weak, it is the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024.

The Leading Index growth rate has now swung from $+0.31\%$ in October last year to -0.15% currently, a 0.44ppt deterioration. The detail shows clear drags from the shifting interest rate backdrop and the global energy shock associated with the conflict in the Middle East.

Component-wise, the biggest negative shifts have come from: the Westpac–Melbourne Institute Consumer Expectations Index (a 20% drop over the last six months effectively taking 0.27ppts off the headline growth rate); a sharp sell-off in the Australian sharemarket in the March month (-0.24 ppts); and a flattening yield spread as short-term interest rates have moved higher (-0.15 ppts). Some of these declines may not be sustained though, with a notable recovery in sharemarket in the first three weeks of April. If it sustains, the move will be reflected in next month's index.

Roughly speaking, about 60% of the drag on the six month growth rate coming from these three components looks to be due to the conflict in the Middle East. All of sharemarket fall and about half of the sentiment decline since October has occurred after the conflict began. Most of the yield gap shift however can be attributed to monetary policy developments prior to the war.

Other components have provided partial offsets. Most notably, higher commodity prices (up 11.9% in Australian dollar terms over the last six months) have added 0.09ppts to the Index growth rate over the same period. Dwelling approvals have added a further 0.11ppts although this is likely being exaggerated by a very choppy monthly profile (approvals jumped 30% in February after dropping 20% through December–January). The contribution from the remaining three components has seen no net change since October.

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. The latest Leading Index update confirms that higher interest rates and the spike in fuel prices associated with the conflict in the Middle East are starting to weigh on growth momentum, albeit fairly mildly. However, the MPB's main concerns are likely to be around inflation with underlying measures already above the RBA's 2–3% target range and set to move higher as the effects of energy price rises come through. On balance we expect the risk of this feeding into a lift in inflation expectations will over-ride the downside risks to growth. As such, we expect the MPB to raise the cash rate by another 25bps in May with further moves likely in subsequent months.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Australia's Trade in Goods Account, March

#trade

#australia



By Ryan Wells

Economist, Westpac

15:15 May 07 2026

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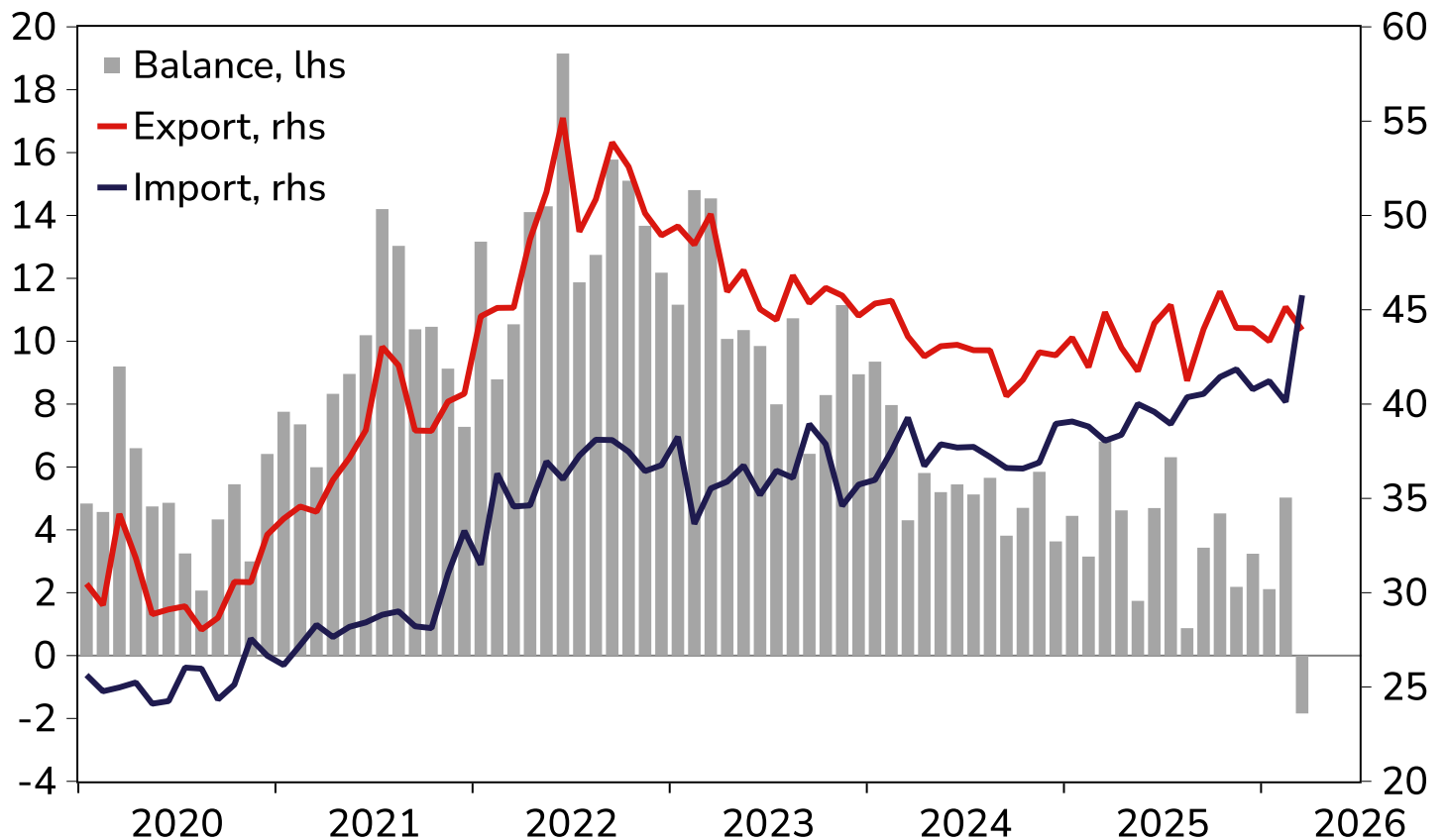
Australia's monthly goods trade balance fell into a deficit for the first time since 2017, driven by a combination of higher costs for fuel imports, continued volatility in gold trade, and most surprisingly, a truly remarkable surge in imports for data processing machines associated with AI. Trade balance: $-\$1.8\text{bn}$. Export values: $-2.7\%\text{mth}$. Import values: $+14.1\%\text{mth}$.



March's goods trade data surprised on many fronts. The headline balance collapsed from a surplus of \$5.0bn in February to a deficit of $-\$1.8\text{bn}$ March, marking the first monthly goods trade deficit since December 2017. Higher fuel costs stemming from the Middle East conflict was an important driver, but it was not the only factor at play. Most surprisingly, there was a truly remarkable surge in imports for data processing machines, often associated with the AI. Continued volatility in gold on both sides of the ledger were also a factor, alongside lower export earnings.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings disappointed in March, falling -2.7% . An important driver of this was a broad-based pull-back in rural goods exports (-11.6%) from a solid showing in February. This latest move looks to be largely volume-driven based on other sources of price data. Rural goods exports have been more volatile month-to-month, but it is operating around a solid trend that has broadly supported export earnings of late.

However, the fact that non-rural goods did not provide any material offset to this was surprising, barely eking out a gain in the month (0.3%). Across our 'Big 3' commodity exports: coal dropped -1.8% , metal ores and minerals (i.e. iron ore) fell -1.4% , while the lift in other mineral fuels (i.e. LNG) was underwhelming ($+4.6\%$).

Additional data provided by the ABS on prices and volumes for these commodities revealed some

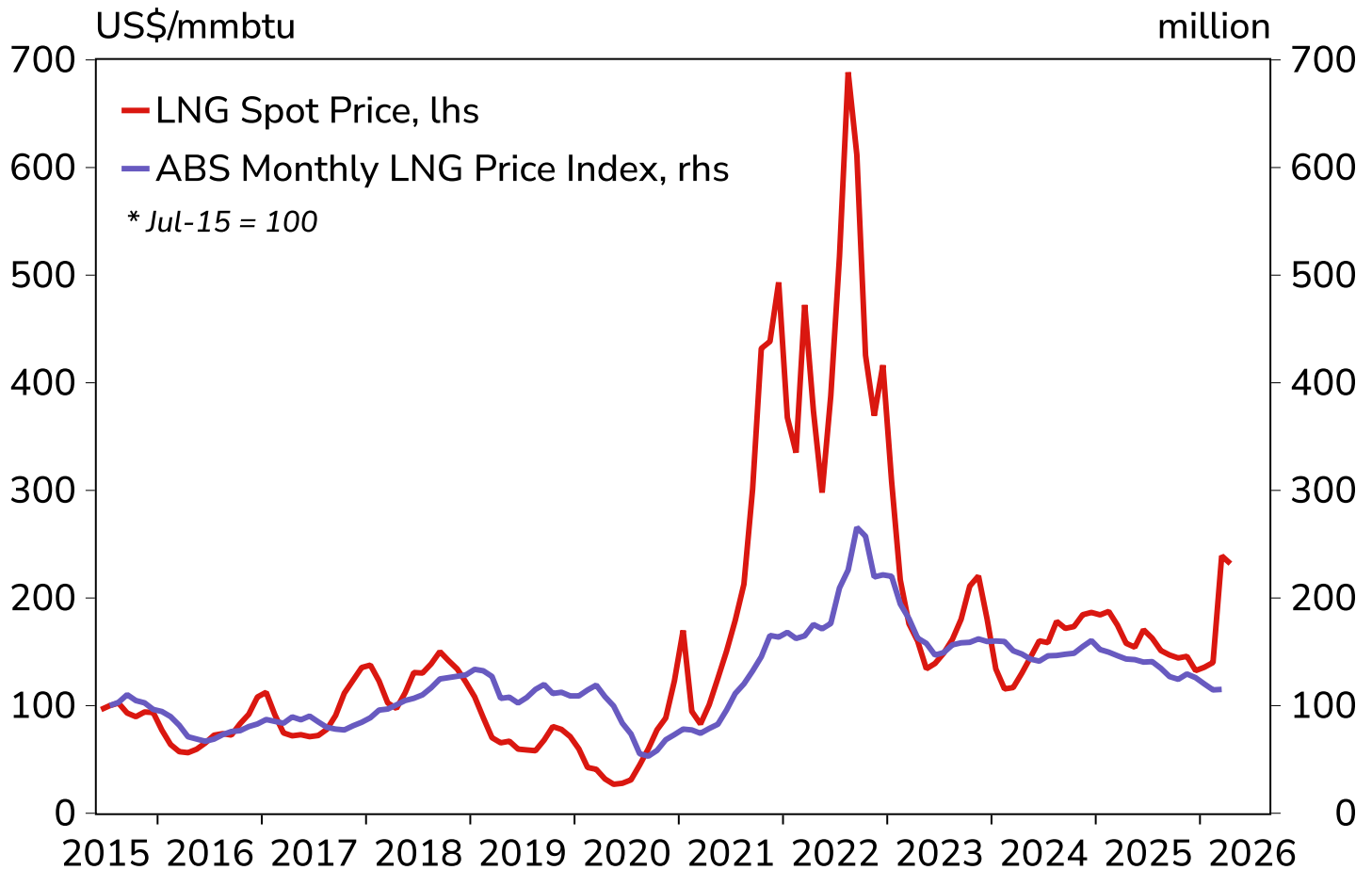
important nuances.

For LNG, export volumes lifted broadly in line with seasonal patterns in March, and interestingly, prices received was virtually flat in the month (+0.3%). Compared to this time last year, this export price index is –18.7% lower, given the broad decline in prices over 2025. This is a stark contrast to what we are observing in the LNG spot market, where prices have lifted notably since the onset of the Middle East shock.

That said, it is important to note that it typically takes a couple of months for changes in spot prices to feed through to the reported export prices in ABS trade data. The rate at which this can occur also depends on some extent to the scale of the move in prices. For example, while LNG spot prices lifted notably in March, it is nowhere near the extent of the 2022 Russia-Ukraine shock, which saw a relatively faster pass-through into export prices. Ultimately, while a significant lift to export earnings from LNG was not immediately apparent in the March data, it is reasonable to assume that we will see some increase over the coming months.

Meanwhile for iron ore, there was a seasonal lift in both export volumes and prices but it was fairly underwhelming compared to previous years. It was a similar story for coal export volumes too, although prices had a stronger showing in the month. Big swings in gold exports continue to add a layer of volatility – this time, contributing to the decline in export earnings with a –6.1% fall this month. This follow an extraordinary 42% surge over January and February, however.

LNG Prices



Source: ABS, Macrobond, Westpac Economics

Imports

The drop in export earnings was compounded by a surge in the import bill, climbing 14.1% in March, the largest monthly gain in over three years. Before discussing the story around fuel imports, though, it is important to mention that the bulk of this move came down to one line item: automatic data processing machines (ADP), which exploded a whopping \$2.9bn in March alone, a 300% increase. This likely captures many of the hardware components associated with AI, such as NVIDIA chips that can fetch US\$30-50k each. We had been consistently highlighting the strong uptrend in ADP imports over 2025 for this reason, but we are still puzzled at the sheer scale of the surge in March. This may well be a robust signal of the AI investment drive taking place on Australian shores, even if there is some noise in the mix.

Meanwhile, there was also 37.4% surge in petroleum product imports in March, reflecting higher global prices since the onset of the Middle East conflict. The ABS provided additional detail on the prices and volumes of refined petroleum imports in March:

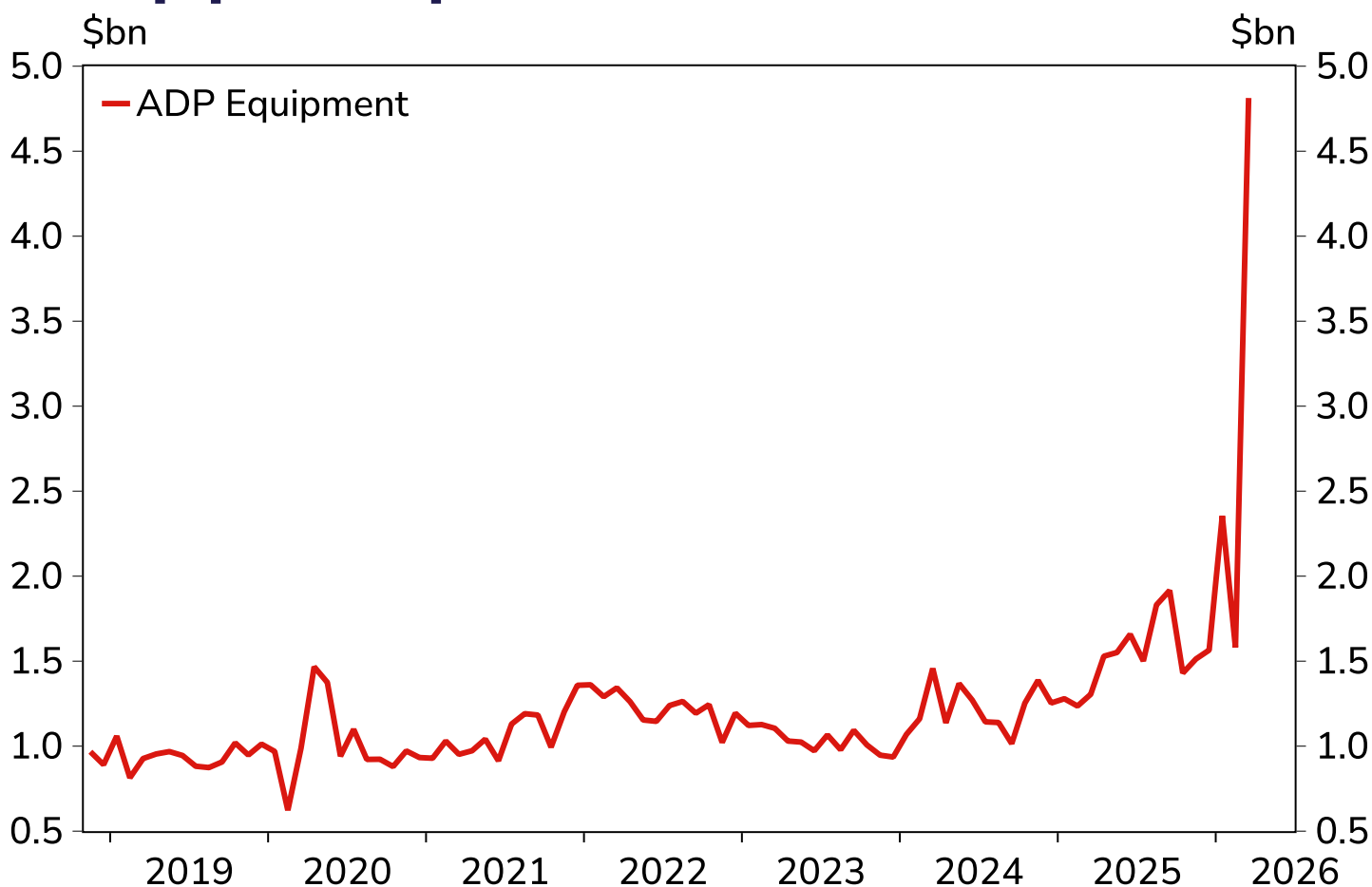
- Gasoline import prices rose 20.6%, and volumes imported rose 18.8%.
- Diesel import prices rose 42.2% and volumes imported fell -11.6%.

- Jet fuel import prices rose 42.7, and volumes imported fell –6.9%.

We are likely to continue seeing extreme volatility on this front over the coming months, as both prices fluctuate due to the conflict and volumes shift as authorities aimed to secure inventory. There is likely some lag in this data too.

Prices of and volumes for crude (unrefined) petroleum imports also bounced higher in the month but given its much smaller share in the energy import mix, it didn't have as much of an impact in aggregate, given we mostly import already refined fuel products. Extreme volatility in gold remains an important driver too, with import values for this commodity jumping 35% higher in March adding to the import bill. Consumption goods imports rose 1.2% in March, building on February's lift.

ADP Equipment Imports



Source: ABS, Macrobond, Westpac Economics

Overall, monthly data suggests that the nominal goods trade balance has narrowed by around \$4.6bn, from \$9.9bn in Q4 to \$5.3bn in Q1, driven predominately by a surge in imports, but also a weaker showing in exports. This provides a gauge on what to expect for the official reading on Australia's current account balance as far as the goods side is concerned – the main uncertainty, though, is the services balance, for which there are fewer current indicators to draw from. Additionally, large monthly swings has also made it difficult to pin-point just how much of the nominal goods trade data is simply due to price effects rather than real volumes.

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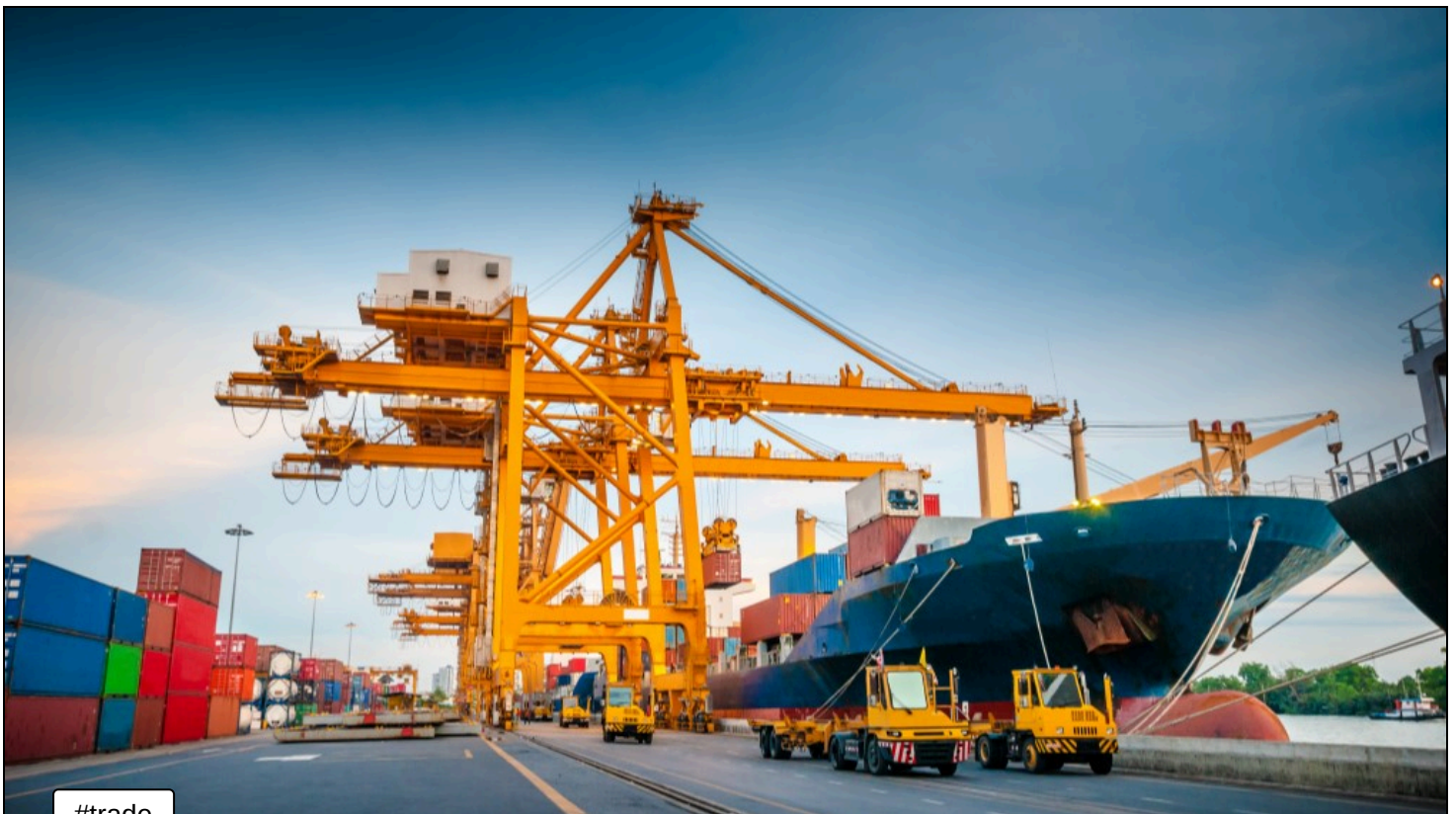


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RBA hikes in May, mixed messages for the near term

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By Luci Ellis

Chief Economist Westpac Group, Westpac

10:18 May 06 2026

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A video with Chief Economist Luci Ellis on the RBA Board decision and the economic outlook.

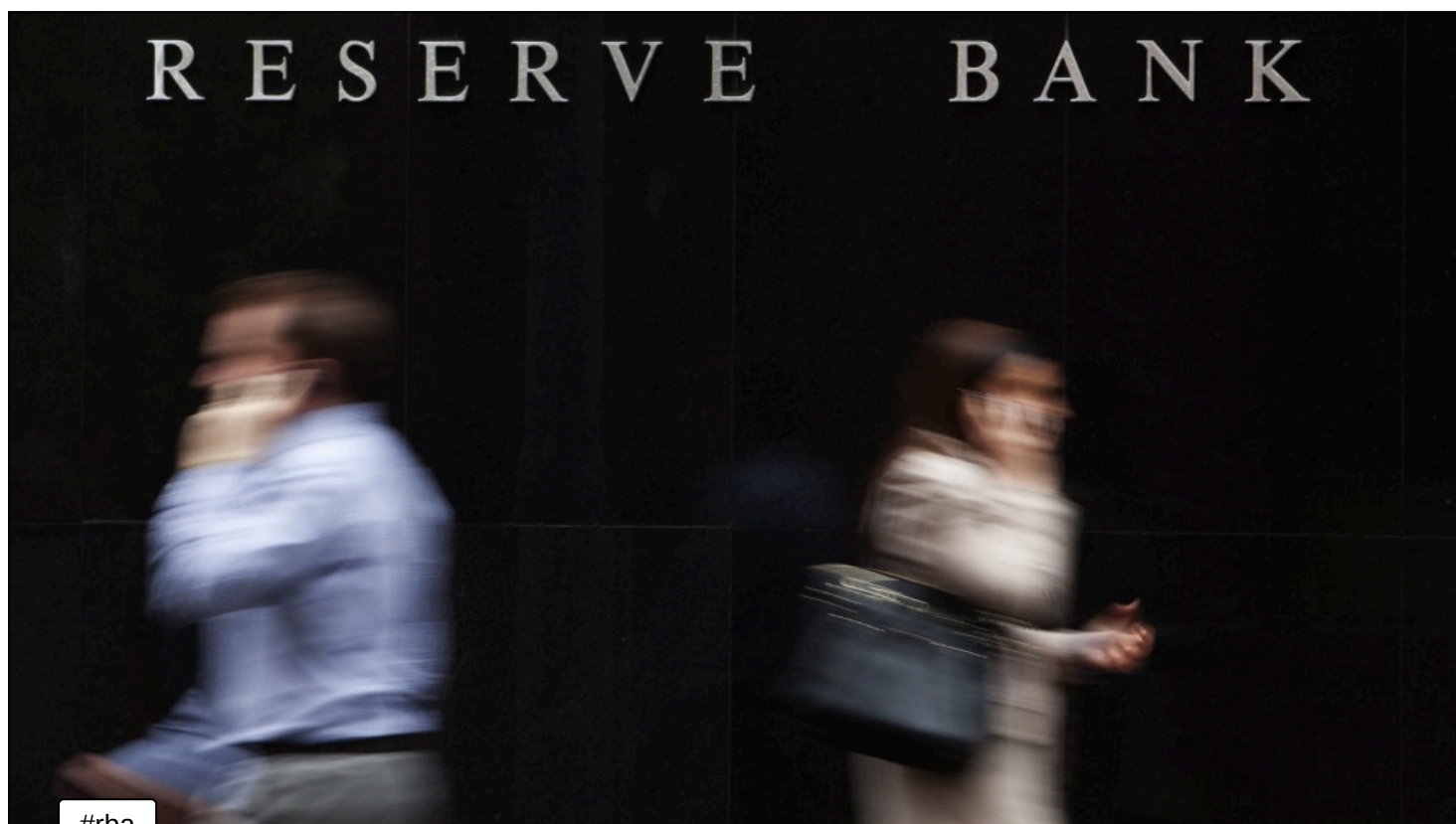
The RBA hiked for a third time in succession, as expected, to address pre-existing domestic inflation pressures, but the Governor's post-meeting comments gave the green light for firms to pass on rising costs to their own prices.

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By [Luka Belobrajdic](#)
Economist, Westpac

07:45 May 07 2026

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- Markets reacted favourably as President Trump signalled progress toward a potential agreement with Iran, including a staged reopening of the Strait of Hormuz, with further negotiations around Iran's nuclear programme to follow.
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- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
- Oil prices pulled back sharply on more constructive Middle East developments, while gold and base metals gained and iron ore rose on renewed demand following China's May Day holiday.

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March CPI – all about fuel, too early for pass through

#inflation

#australia

#rba

#economicbulletinsaustralia



By Justin Smirk

Senior Economist, Westpac

15:30 April 29 2026

Share

Headline March Quarter CPI 1.4%qtr/4.1%yr; Trimmed Mean 0.8%qtr/3.5%yr. Monthly March CPI 1.1%moth/4.6%yr, Trimmed Mean 0.3%moth/3.3%yr.



- Headline inflation being boosted by surging fuel prices.
- Core inflation was moderating before the Gulf Crisis and, at this stage, there is very limited sign of any passthrough to from higher fuel costs to broader price pressures.

- Today's inflation update locks in a May rate increase and while we expect to see two more after this, a lot will depend on just how much demand destruction we see because of higher prices.

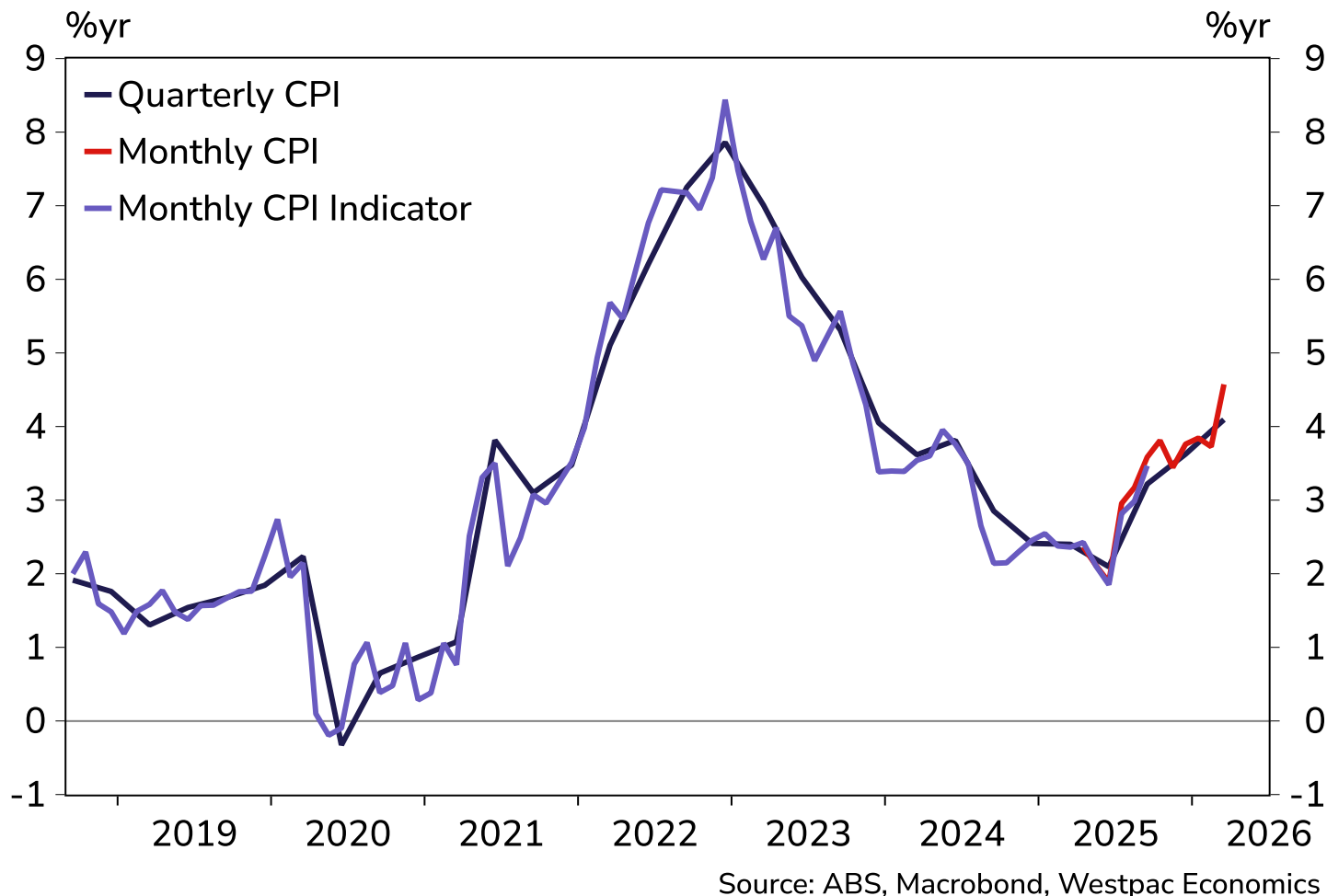
The CPI gained 1.4% in the March quarter, on par with market consensus and close to Westpac's expectation of 1.46%. The annual pace of headline inflation, at 4.1%yr, is accelerating again; it was 2.1%yr in mid-2025 lifting to 3.6%yr in December. The acceleration through 2025 was mainly the unwinding of energy rebates but in early 2026 it is the crisis in the Gulf, and resulting surge in auto fuel prices, that is driving the acceleration. However, the cost-of-living assistance and surge in auto fuel has a limited impact on core inflation and so these measures take on more critical role in assessing the current pace of inflation.

The Trimmed Mean (TM) lifted 0.8% in the March quarter. Westpac and the market expected 0.9% (Westpac 0.93%). However, in our preview we highlighted that calculating the quarterly TM based on historical survey timing, which the ABS is doing given the short history for a number of series, pointed to a small downside risk to our estimate. The annual pace lifted very modestly from 3.4%yr to 3.5%yr.

The monthly trimmed mean increased 0.3%moth, which held the annual pace flat at 3.3%yr for the fourth consecutive month; the six-month annualised pace eased back a touch to 3.5%yr from 3.9%yr in December. It is worth noting that at this point in time the annual pace of the monthly CPI is tracking under that of the quarterly CPI.

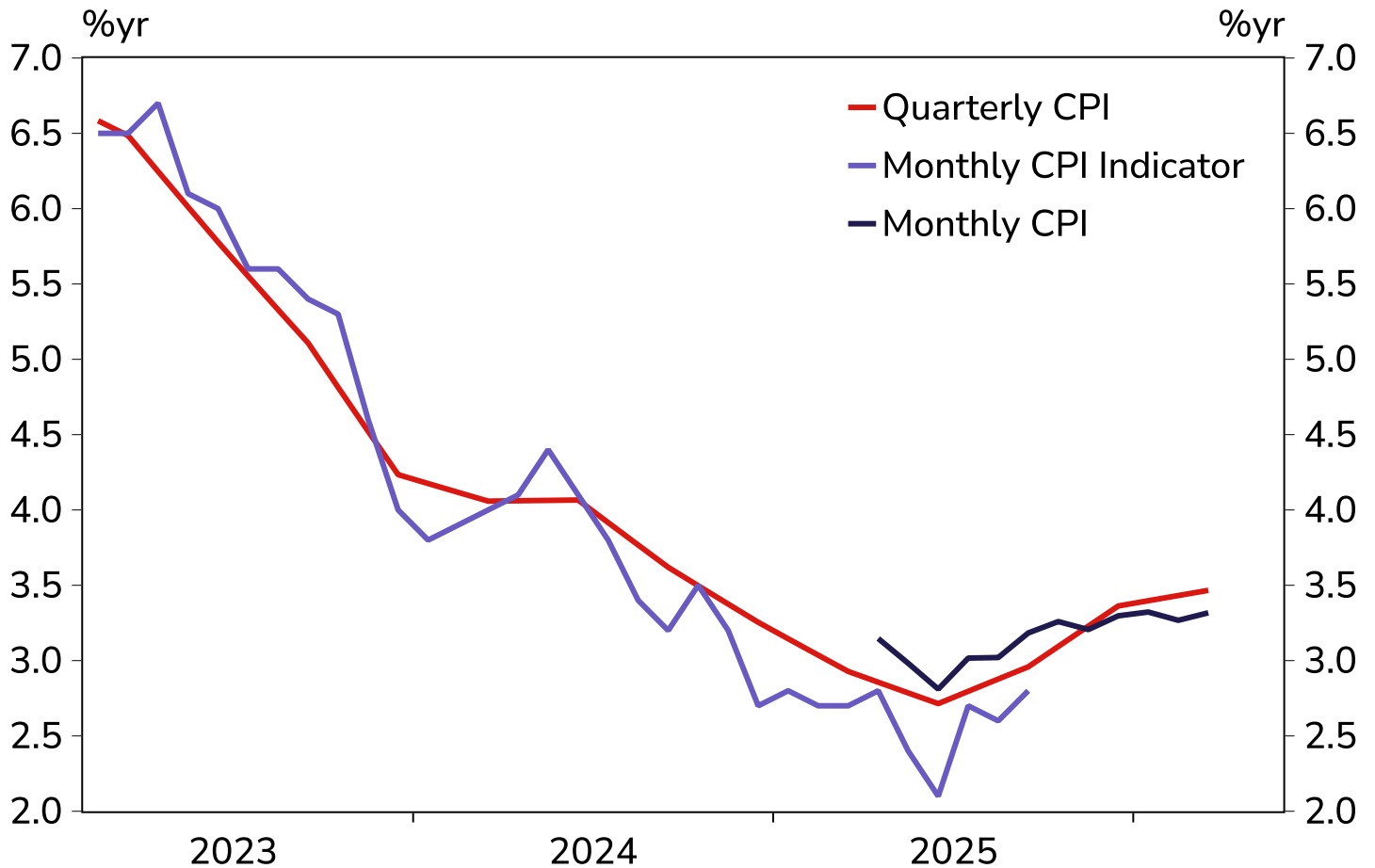
Prior to the Gulf Crisis, the momentum in core inflation had been moderating.

Headline Inflation



The headline Monthly CPI lifted 1.1% in March to be up 4.6% in the year. This was quite a bit softer than our estimate of 1.3%_{mt}/4.7%_{yr}. Worthy of note was that auto fuel was softer than expected, lifting 32.8% vs. 36.4% expected. More concerning to the outlook for core inflation was that dwelling prices lifted 0.5% in the month compared to our expectation for a more modest 0.2% increase. The ABS did note this increase in the annual pace was due to project home builders raising base prices to pass through higher labour and materials costs over the year but made no comment on the monthly increase.

Trimmed Mean Inflation

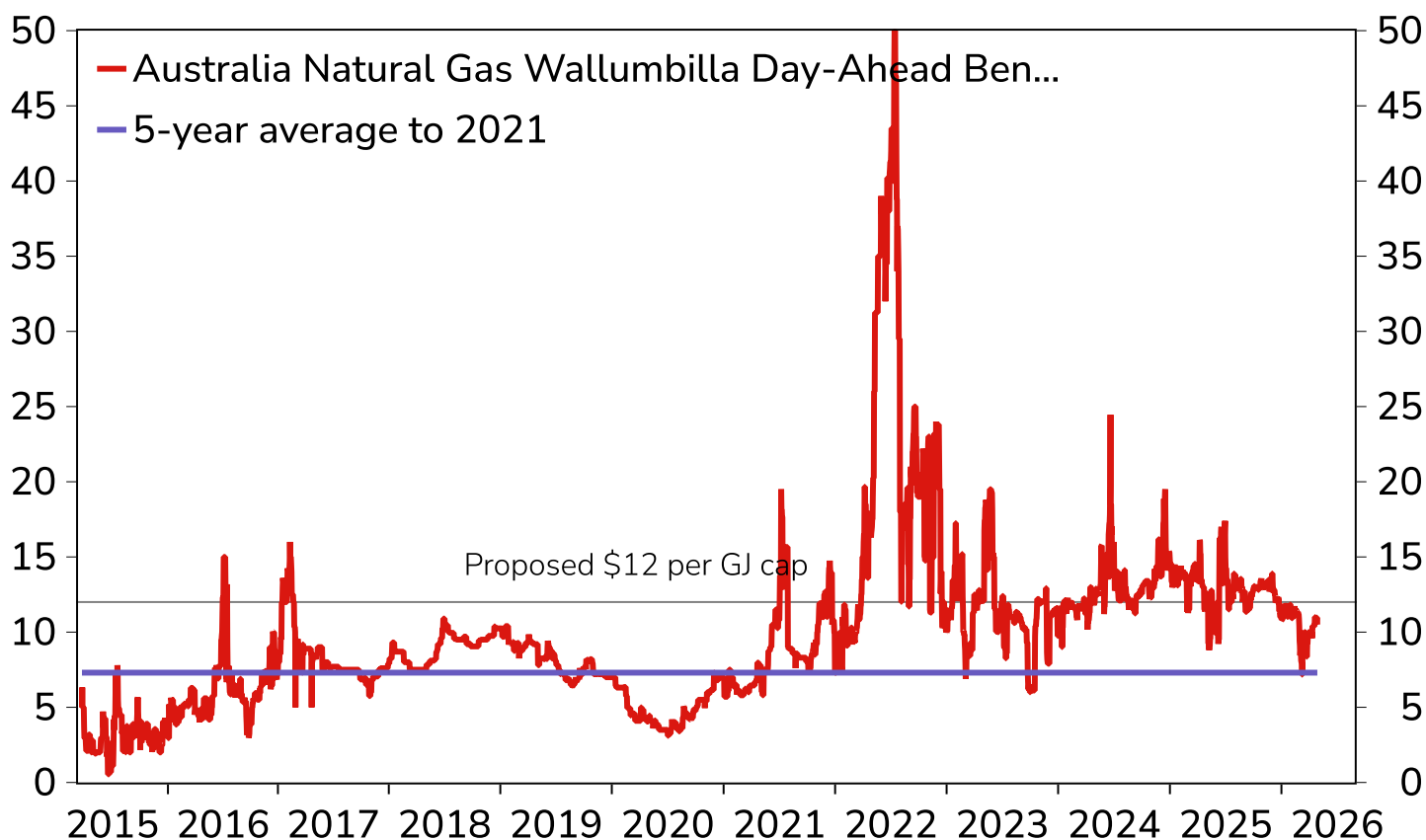


Source: ABS, Macrobond, Westpac Economics

For the RBA, as noted by Westpac's Chief Economist Luci Ellis in "**RBA May hike locked in**", there was some scattered signs of pass-through to other prices, even though March was very early days for this to be evident and most likely it is business taking the opportunity to raise prices in front of looming cost increases. However, it was not widespread and as we covered before, electricity prices have benefited from Australian local gas prices separating themselves from global LNG prices (the local price is currently around \$10/GJ so under the government's proposed \$12/GJ cap) and the rising share of renewables supported by storage which has seen lower than average summer electricity prices.

Wholesale Natural Gas

Wallumbilla Benchmark Price, \$/GJ



Source: , Macrobond, Westpac Economics

Nevertheless, we still expect the RBA to raise the cash rate at their May meeting. Given recent communication from the Bank has characterised the supply shock as ‘further exacerbating existing capacity pressures’ with future demand destruction just a possibility, we see two further interest rate hikes after May. It is true that the Trimmed Mean for the March quarter was on the RBA forecast of 3.5%yr but to achieve their estimate of 3.7%yr for the June quarter we will have to see a step down in the quarterly pace of 0.8%, a bridge too far we think given the current shock we are experiencing. Our current forecast for the June quarter Trimmed Mean is 1.0%qtr.

We are preparing a more detailed bulletin outlining any revisions to our inflation profile once we have processed all the quarterly and monthly data. But we can note that for the March quarter market services ex volatile inflation surprised with a flat print in the quarter with only a very modest lift in the annual pace to 3.4%yr from 3.3%yr. We are expecting it to pick up from here but due to modest wage outcomes, and better productivity in the market sector, we see this acceleration being capped around 4%yr in the second half of 2026, tracking the lift in Trimmed Mean inflation.

Below is the table comparing the quarterly details with our published estimates. We will cover the reasons for the small variations in our review of the monthly CPI as that is where the differences lie.

CPI forecasts		Mar-26		Mar-26	
Item		Actual	contrib	forecast	contrib
		% qtr		% qtr	
Food		1.0	0.18	1.0	0.17
of which, fruit & vegetables		1.7	0.03	1.9	0.04
Alcohol & tobacco		1.3	0.09	1.1	0.08
of which, Tobacco		1.1	0.02	1.2	0.02
Clothing & footwear		2.3	0.07	1.6	0.05
Housing		2.9	0.65	3.0	0.64
of which, Rents		0.9	0.06	1.0	0.07
of which, House purchases		0.9	0.07	0.8	0.06
of which, Utilities		12.1	0.55	12.2	0.55
H/hold contents & services		-0.3	-0.02	-0.3	-0.02
Health		2.2	0.15	2.3	0.15
of which, Pharmaceuticals		3.6	0.03	2.9	0.03
Transportation		2.0	0.23	2.2	0.25
of which , car prices		1.0	0.03	0.9	0.03
of which, auto fuel		5.2	0.18	5.9	0.20
Communication		0.0	0.00	-0.2	0.00
Recreation		-1.3	-0.16	-1.0	-0.13
of which, audio visual & computing		1.1	0.02	1.6	0.03
of which, holiday travel		-3.8	-0.23	-3.2	-0.19
Education		3.0	0.14	4.3	0.21
Financial & insurance services		1.0	0.06	0.9	0.05
CPI: All groups		1.4	–	1.5	–
CPI: All groups % year		4.1	–	4.2	–

Monthly March CPI in more detail.

The Israel/US assault on Iran began in the morning of the 28th of February with most of the price and the resulting jump in auto fuel prices above \$2/l occurred in the week ending the 8th of March. As such the March CPI would have been very early days for much pass-through to be evident. As noted in earlier bulletins we have recorded price increases for building products, but these did not take effect until 1st April.

Nevertheless, the March CPI did show some scattered signs of pass-through to other prices. Home building and vehicle repair costs, along with downstream insurance inflation, all picked up in the month. Services related to audio-visual, computing and telecommunications also increased in the month,

which for telecommunications went against the run we have seen in recent months. There were some promising signs in softer monthly prices of appliances and some other household goods which we will be closely watching to see if they are reversed in the months ahead.

CPI Item	Qtr CPI	Monthly CPI Indicator			WBC fcs
	Mar-26 % qtr	Jan-26 % mth	Feb-26 % mth	Mar-26 % mth	Mar-26 % mth
Food	1.0	0.5	-0.1	0.7	0.6
of which, bread & cereals	0.4	0.2	-1.2	0.3	0.9
of which, meat & seafood	1.3	0.2	0.5	0.5	0.3
of which, dairy & related products	0.3	-0.4	-0.6	0.8	0.9
of which, fruit & vegetables	1.7	0.8	0.0	2.6	2.8
of which, food products nec	1.1	1.1	-1.1	0.1	0.0
of which, non-alcohol beverages	1.3	0.6	0.7	1.1	0.5
Alcohol & tobacco	1.3	0.9	0.2	0.8	0.3
of which, Alcohol	1.4	1.3	0.1	0.7	-0.2
of which, Tobacco	1.1	-0.1	0.4	1.1	1.4
Clothing & footwear	2.3	2.9	2.6	-1.9	-4.2
of which, garments	1.6	2.2	2.9	-2.5	-3.7
Housing	2.9	2.2	0.3	0.2	0.2
of which, Rents	0.9	0.3	0.4	0.2	0.4
of which, House purchases	0.9	0.4	0.1	0.5	0.2
of which, Electricity	21.9	18.5	1.0	0.0	0.0
of which, Gas & other fuels	1.0	0.0	-0.1	0.0	-0.1
H/hold contents & services	-0.3	-3.6	3.9	-0.2	-0.3
Health	2.2	2.7	0.1	-0.2	-0.1
Transportation	2.0	-0.7	-0.7	9.2	9.7
of which, auto fuel	5.2	-3.2	-3.4	32.8	36.4
Communication	0.0	-0.1	0.2	0.5	-0.1
Recreation	-1.3	-3.4	-3.0	-0.7	0.2
of which, holiday travel	-3.8	-7.6	-6.3	-1.4	0.7
Education	3.0	0.0	4.5	0.0	0.0
Financial & insurance services	1.0	0.3	0.1	0.8	0.4
CPI: All groups %qtr/%mth	1.4	0.4	0.0	1.1	1.3

In terms of downside surprises in March, the largest was for auto fuel at 32.8% vs 36.4% expected. We expect fuel to be flat in April with prices falling through May due to the delayed impact of the excise cut and lower crude oil prices in monthly averages. If the excise cut is reversed on July 1, as currently planned, then auto fuel is set to surge 17% through the month of July.

Also, holiday travel was softer, -1.4% vs. 0.7% expected, on the back of a -2.2% decline in domestic travel.

Most other item outcomes were either close to our estimates or stronger. Housing overall was on par with our 0.2% estimate with a more modest than expected 0.2% increase in rents being offset by a 0.5% increase in dwelling costs. With rising inputs cost for construction this may be an earlier sign we should be expecting a stronger lift in dwelling prices in the months ahead.

Clothing & footwear (−1.9%) did not fall as much as expected (−4.2%) with garments having a smaller than expected seasonal fall (−2.5%) while footwear fell −1.9% and accessories & clothing services fell −0.6%. It does appear that the gold boost to accessories through jewellery may have come to an end with a reported −0.6% in March.

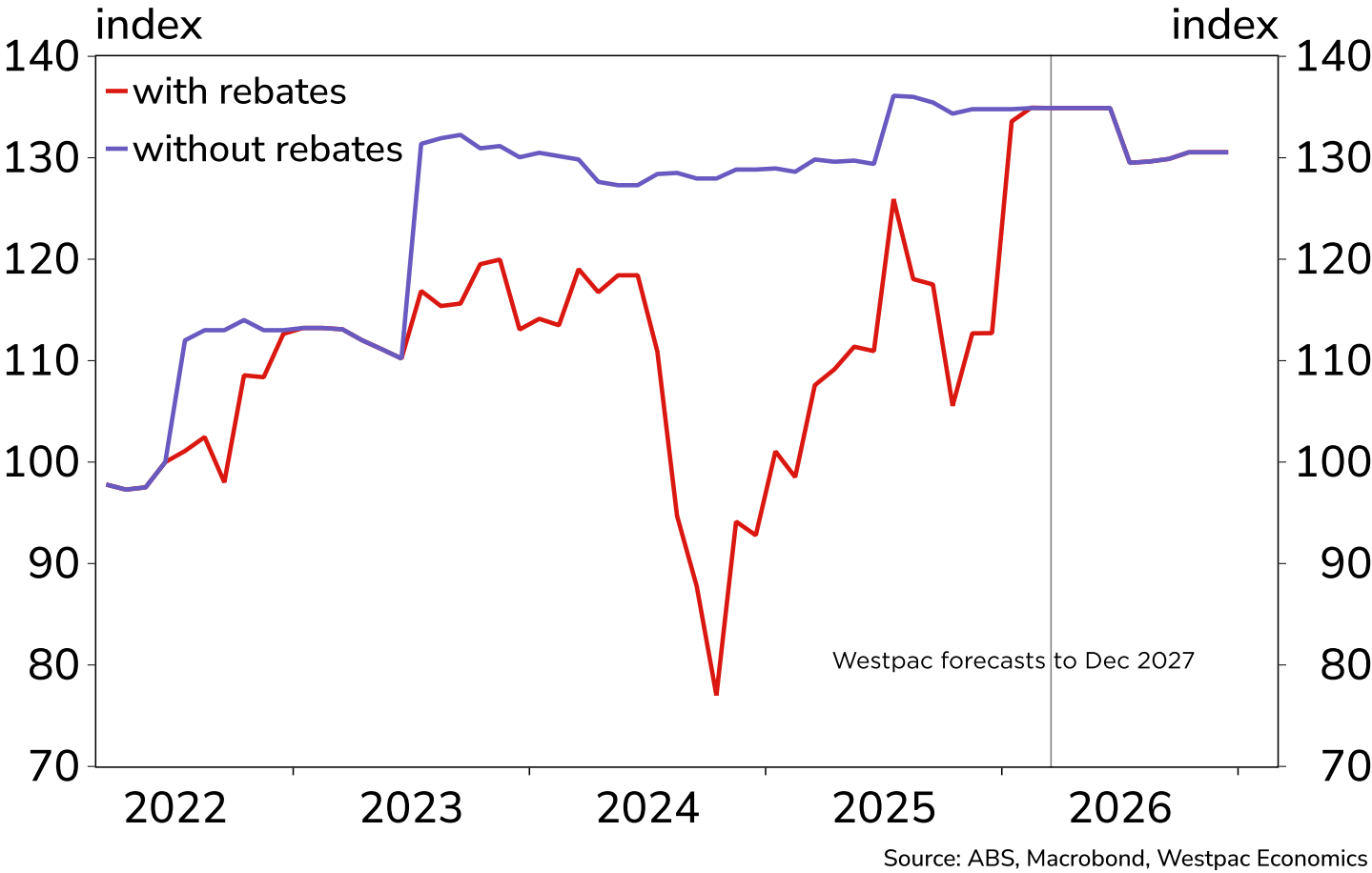
We also did not see the usual seasonal fall in alcohol (0.7% vs. −0.2% expected) which offset a softer than expected rise in tobacco (1.1% vs. 1.4%).

Communication prices lifted 0.5% in the month when we expected a small fall (−0.1%) due to an outsized 3.6% increase in postal services, the largest monthly increase since the 4.2% increase in July 2024.

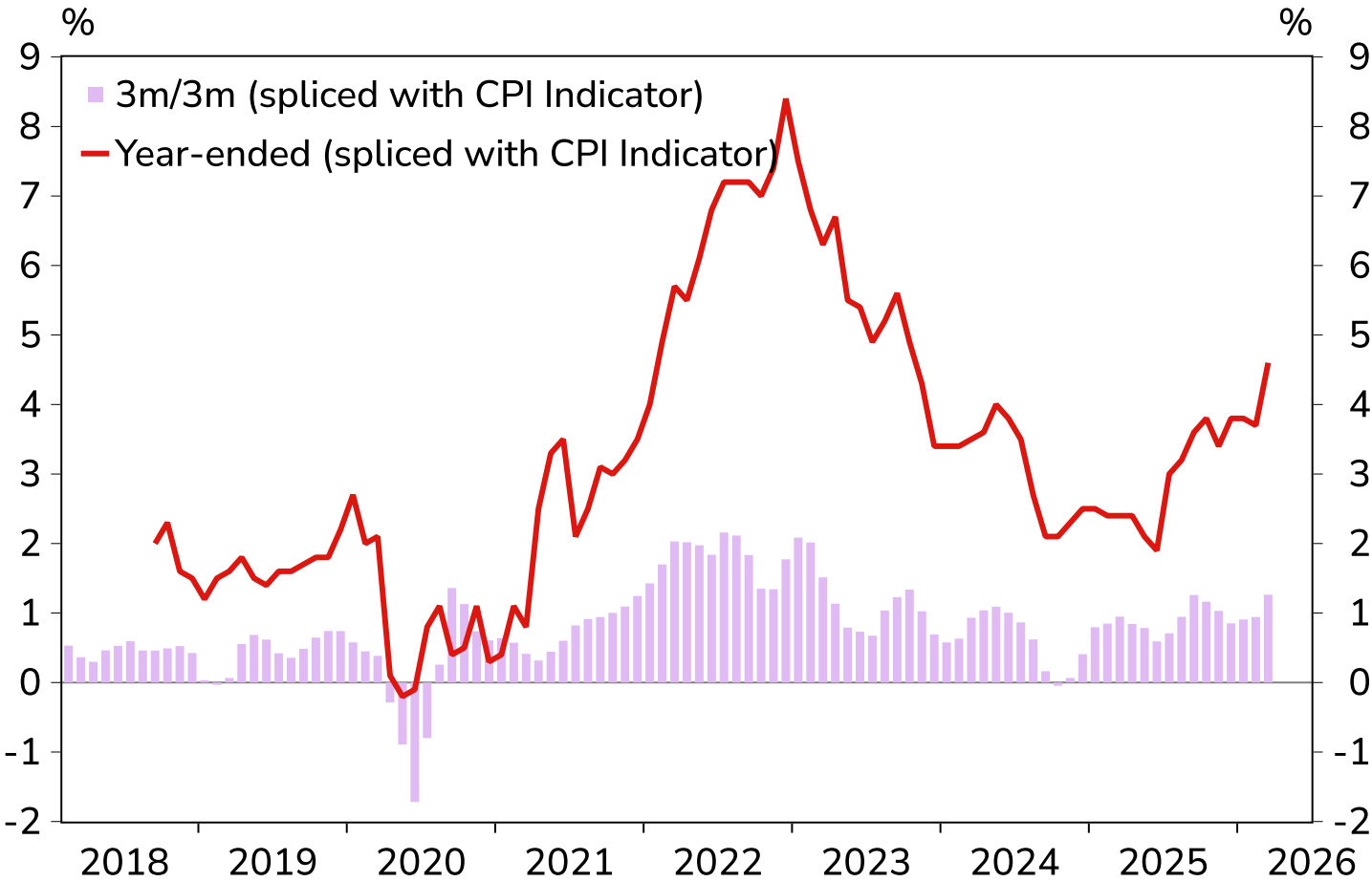
With the rise in construction costs we will be keeping a close eye on insurance premiums. Insurance surprised us with a 0.7% increase in March following hot on the heels of a 1.4% increase in January and a 0.4% increase in February. Combined with a 0.9% increase in deposit & loan facilities and a 0.8% increase in other financial services, insurance & other financial services lifted 0.8% vs. 0.4% expected.

These small but reasonably broad upside surprises is something we will be watching closely in the months ahead to see if they are early signs of pass-through from higher fuel costs as well as opportunistic price increases give the current backdrop.

Electricity forecast as currently published



Monthly CPI inflation (s.a.)



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- Equity markets strengthened on improved Middle East sentiment, with the ASX 200 recording its strongest performance in nearly a month.
- US bond markets rallied as oil prices eased, while political uncertainty around UK local elections saw UK yields reverse lower on the day.
- The USD weakened, with the AUD rising to a multi-year high of 0.7278 during the session.
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Australia and NZ Weekly 4 May 2026

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Economic Calendar

May 2026



MON	TUE	WED	THU	FRI
				1 AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar prev 2.7% (8:45am) JAPAN Tokyo CPI Apr y/y exp 1.7% prev 1.4% (9:30am) UNITED KINGDOM Nationwide House Prices Apr exp -0.3% prev 0.9% (4:00pm) UNITED STATES ISM Manufacturing Apr exp 53.1 prev 52.7 (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F)
4 AUSTRALIA MI Inflation Apr y/y prev 4.3% (11:00am) ANZ-Indeed Job Ads Apr prev -3.1% (11:30am) Dwelling Approvals Mar exp -5.0% prev 29.7% (11:30am) EURO ZONE S&P Global Manufacturing PMI Apr (F) prev 47.4 (6:00pm) Sentix Investor Confidence May prev -19.2 (6:30pm) UNITED STATES Factory Orders Mar exp -0.1% prev 0.0% (12:00am) Durable Goods Orders Mar (F) (12:00am) Fedspeak - Williams (2:50am)	5 AUSTRALIA Household Spending Indicator Mar exp 2.0% prev 0.3% (1:30pm) RBA Policy Decision exp 4.35% prev 4.10% (2:30pm) UNITED STATES Trade Balance Mar exp -\$59.7bn prev -\$57.3bn (10:30pm) S&P Global Services PMI Apr (F) prev 51.3 (11:45pm) ISM Services Apr exp 53.9 prev 54.0 (12:00am) New Home Sales Mar prev -17.6% (12:00am) JOLTS Job Openings Mar exp 6700k prev 6882k (12:00am)	6 CHINA RatingDog Services PMI Apr prev 52.1 (11:45am) EURO ZONE S&P Global Services PMI Apr (F) prev 47.4 (6:00pm) PPI Mar y/y prev -3.0% (7:00pm) NEW ZEALAND Household Labour Force Survey Q1 (8:45am) Employment exp -0.1% prev 0.4% Unemployment Rate exp 5.4% prev 5.4% Priv. Wages Ord. Time exp 0.4% prev 0.5% UNITED KINGDOM S&P Global Services PMI Apr (F) prev 52.0 (6:30pm) UNITED STATES ADP Employment Change Apr prev 62k (10:15pm) Fedspeak - Musalem (11:30pm) Fedspeak - Goolsbee (3:00am)	7 AUSTRALIA Goods Trade Balance Mar exp \$3.9bn prev \$5.7bn (11:30am) CHINA Foreign Reserves Apr prev US\$3342.1bn EURO ZONE Ger. Factory Orders Mar (4:00pm) Retail Sales Mar prev -0.2% (7:00pm) UNITED STATES Construction Spending Mar prev -0.3% (12:00am) NY Fed 1-Yr Inflation Expectations Apr y/y prev 3.42% (1:00am) Fedspeak - Hammack (4:05am) Consumer Credit Mar exp \$12.5bn prev \$9.5bn (5:00am) Fedspeak - Williams (5:30am) GLOBAL ECB & BoE Conference - Various Speakers	8 CHINA Trade Balance Apr prev US\$51.13bn (Sat 9 May) Credit & M2 Data Apr (9-15 May) New Loans ytd prev CNY8600bn M2 Money Supply y/y prev 8.5% EURO ZONE Ger. Industrial Production Mar prev -0.3% (4:00pm) UNITED STATES Employment Report Apr (10:30pm) Nonfarm Payrolls Chg exp 63k prev 178k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.2% UoM Consumer Sentiment May (P) exp 48.8 prev 49.8 (12:00am) Fedspeak - Goolsbee (9:30am Sat 9 May) GLOBAL ECB & BoE Conference - Various Speakers

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
11 CHINA CPI Apr y/y prev 1.0% (11:30am) PPI Apr y/y prev 0.5% (11:30am) UNITED STATES Existing Home Sales Apr prev -3.6% (12:00am)	12 AUSTRALIA Westpac-MI Consumer Sentiment May prev 80.1 (10:30am) NAB Business Survey Apr (11:30am) Conditions prev 6 Confidence prev -29 EURO ZONE EU ZEW Expectations May prev -20.4 (7:00pm) JAPAN Household Spending Mar y/y prev -1.8% (9:30am) UNITED STATES NFIB Small Business Optimism Apr prev 95.8 (8:00pm) CPI Apr prev 0.9% (10:30pm) Fedspeak – Goolsbee (3:00am)	13 AUSTRALIA WPI Q1 (11:30am) q/q exp 0.8% prev 0.8% y/y exp 3.3% prev 3.4% Housing Finance Approvals Q1 (11:30am) Total exp prev 9.5% Owner-Occupier prev 10.6% Investor prev 7.9% EURO ZONE GDP Q1 (S) (7:00pm) Industrial Production Mar prev 0.4% (7:00pm) JAPAN Current Account Mar prev ¥3932.7bn (9:50am) NEW ZEALAND RBNZ 2Yr Inflation Expectation Q2 y/y prev 2.37% (1:00pm) UNITED STATES PPI Apr prev 0.5% (10:30pm)	14 AUSTRALIA MI Consumer Inflation Expectations May y/y prev 5.9% (11:00am) NEW ZEALAND Net Migration Mar prev 3970 (8:45am) UNITED KINGDOM GDP Q1 prev 0.1% (4:00pm) UNITED STATES Import Price Index Apr prev 0.8% (10:30pm) Retail Sales Apr prev 1.7% (10:30pm) Business Inventories Mar prev 0.4% (12:00am) Fedspeak – Hammack (3:00am)	15 CHINA Current Account Balance Q1 (P) prev US\$243.8bn NEW ZEALAND BusinessNZ Mfg PMI Apr prev 53.2 (8:30am) Selected Price Indices Apr (8:45am) UNITED STATES NY Empire Manufacturing Index May prev 11 (10:30pm) Industrial Production Apr prev -0.5% (11:15pm)
18 CHINA Activity Data Apr ytd y/y (12:00pm) Retail Sales prev 2.4% Industrial Production prev 6.1% Fixed Asset Investment prev 1.7% NEW ZEALAND Performance Services Index Apr prev 46.0 (8:30am) UNITED KINGDOM Rightmove House Prices May prev 0.8% (9:01am) UNITED STATES NAHB Housing Market Index May prev 34 (12:00am)	19 AUSTRALIA RBA's Hunter – Speech (9:30am) RBA May Meeting Minutes (11:30am) EURO ZONE Trade Balance Mar prev €7.0bn (7:00pm) JAPAN GDP Q1 (P) prev 0.3% (9:50am) Industrial Production Mar (F) prev -0.5% (2:30pm) NEW ZEALAND PPI Q1 prev 0.1% (8:45am) Retail Card Spending Apr prev 0.7% (8:45am) UNITED KINGDOM ILO Unemployment Rate Mar prev 4.9% (4:00pm) UNITED STATES Pending Home Sales Apr prev 1.5% (12:00am) Fedspeak – Paulson (9:00am)	20 AUSTRALIA Westpac-MI Leading Index Apr ann'd prev -0.13% (10:30am) EURO ZONE CPI Apr (F) (7:00pm) UNITED KINGDOM CPI Apr y/y prev 3.3% (4:00pm) UNITED STATES FOMC April Meeting Minutes (4:00am)	21 AUSTRALIA Labour Force Survey Apr (11:30am) Employment Change exp 10k prev 17.9k Unemployment Rate exp 4.3% prev 4.3% Participation Rate exp 66.8% prev 66.8% EURO ZONE EC Consumer Confidence May (P) prev -20.6 (12:00am) JAPAN Core Machinery Orders Mar prev 13.6% (9:50am) NEW ZEALAND Trade Balance Apr prev NZ\$698mn (8:45am) UNITED STATES Philadelphia Fed Manufacturing Index May prev 26.7 (10:30pm) Housing Starts Apr prev 10.8% (10:30pm) Building Permits Apr prev -10.8% (10:30pm) Kansas City Fed Manufacturing Index May prev 10 (1:00am) GLOBAL S&P Global PMIs May (P) Manufacturing Services	22 EURO ZONE Ger. IFO Business Climate Survey May prev 84.4 (6:00pm) JAPAN CPI Apr y/y prev 1.5% (9:30am) NEW ZEALAND Retail Sales Volumes Q1 prev 0.9% (8:45am) UNITED KINGDOM GfK Consumer Sentiment May prev -25 (9:01am) Retail Sales Apr prev 0.7% (4:00pm) UNITED STATES UoM Consumer Sentiment May (F) (12:00am)

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Economic Calendar



May 2026

MON	TUE	WED	THU	FRI
25	26	27	28	29
UNITED STATES Chicago Fed National Activity Index Apr prev -0.2 (10:30pm)	UNITED STATES FHFA House Prices Mar prev 0.0% (11:00pm) S&P CoreLogic CS House Prices Mar prev -0.05% (11:00pm) Conf. Board Consumer Confidence Index May prev 92.8 (12:00am) Dallas Fed Manufacturing Index May prev -2.3 (12:30am)	AUSTRALIA RBA Board Member – Speech (11:00am) CPI Apr (11:30am) Headline m/m exp 1.1% prev 1.1% Headline y/y exp 5.0% prev 4.6% Construction Work Done Q1 exp 0.5% prev -0.1% (11:30am) CHINA Industrial Profits Apr y/y prev 15.8% (11:30am) NEW ZEALAND ANZ Business Confidence May prev -10.6 (10:00am) RBNZ Policy Decision exp 2.25% prev 2.25% (12:00pm) UNITED STATES Richmond Fed Manufacturing Index May prev 3 (12:00am)	AUSTRALIA Private Capital Expenditure Q1 exp 0.3% prev 0.4% (11:30am) EURO ZONE EC Economic Confidence May prev 93.0 (7:00pm) EC Consumer Confidence May (F) (7:00pm) NEW ZEALAND Employment Indicator Apr prev 0.3% (8:45am) UNITED STATES Personal Income Apr (10:30pm) Personal Spending Apr (10:30pm) PCE Deflator Apr (10:30pm) Durable Goods Orders Apr (P) (10:30pm) GDP Q1 (S) (10:30pm) New Home Sales Apr (12:00am)	AUSTRALIA Private Sector Credit Apr prev 0.7% (11:30am) CHINA Manufacturing PMI May (11:30amSun 31 May) Non-manufacturing PMI May (11:30amSun 31 May) EURO ZONE CPI May (10:00pm) JAPAN Tokyo CPI May (9:30am) Jobless Rate Apr (9:30am) Industrial Production Apr (P) (9:50am) NEW ZEALAND ANZ Consumer Confidence May (8:00am) UNITED STATES Wholesale Inventories Apr (P) (10:30pm) Chicago PMI May (11:45pm)

Corporate Directory

Westpac Economics / Australia

Luci Ellis
Chief Economist
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Kelly Eckhold
NZ Chief Economist
E: kelly.eckhold@westpac.com.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.com.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.com.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.com.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.com.nz

Westpac Economics / Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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Week beginning 27 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: It Depends on What You are Trying to Achieve.

The Week That Was: Middle East conflict seemingly at an impasse.

Focus on New Zealand: A matter of balance.

For the week ahead:

Australia: ANZAC Day public holiday, Q1 CPI, Cotality home value index, private credit.

New Zealand: ANZAC Day public holiday, employment indicator, ANZ business and consumer confidence.

Japan: BoJ policy decision, industrial production, jobless rate.

Euro area: ECB policy decision, CPI, GDP, unemployment rate.

UK: BoE policy decision.

United States: FOMC policy decision, PCE deflator, personal income and spending, ISM manufacturing.

Canada: BoC Policy decision.

Information contained in this report current as at 24 April 2026.

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It Depends on What You are Trying to Achieve



Luci Ellis
Chief Economist, Westpac Group

- **Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.**
- **Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.**
- **There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. “Boost revenue” is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.**

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim “never let a good crisis go to waste” and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while [revenue windfalls from higher commodity prices](#) are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that “people expect more from government nowadays” and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government's effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is [not true in Australia and most other advanced economies outside North America](#).

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts)

must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia's actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the [simplified version we suggested in 2023](#), where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA's inflation target – regardless of actual inflation over the holding period.

“Speculation about tax reform in the upcoming federal budget abounds.”

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%/yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has [previously shown](#), the size of government in Australia has increased ►

substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

Forecast changes

- A full update to our forecasts was published in our Market Outlook publication on April 17.

Cliff Notes: Middle East conflict seemingly at an impasse

Elliot Clarke, Head of International Economics
Illiana Jain, Economist

Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act "as the situation demands" ahead. Next week's run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump's pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC's communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh's confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve

and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain.

Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

[Our latest Market Outlook](#) provides an in-depth view of the outlook for the US, Europe, China and global financial markets.

A matter of balance



Satish Ranchhod
Senior Economist

The conflict in the Middle East has cast a long shadow across the New Zealand economy, with a softening in demand, rising costs and winding back of plans for hiring. Inflation is already at elevated levels and it's set to take a large step higher over the next few months. All of this leaves the RBNZ with a particularly challenging balancing act. But while there are questions about how quickly the RBNZ will adjust the OCR, the direction of those movements will be upwards.

Curtain raiser

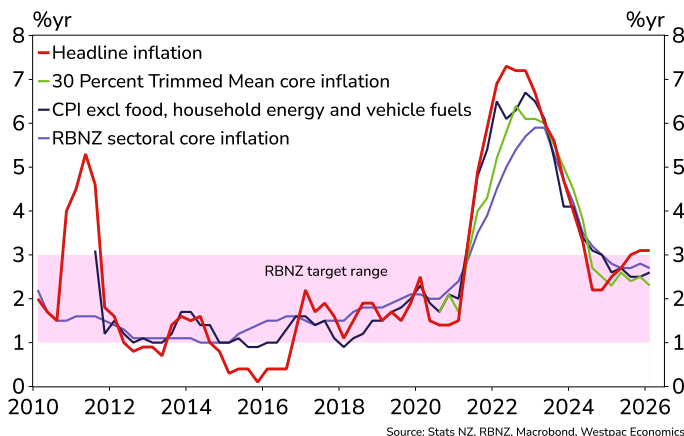
The latest CPI report showed that, even before the full impact of the recent oil price shock has been felt, [New Zealand inflation](#) was running hotter than we or the RBNZ expected. Consumer prices rose 0.9% in the March quarter. That saw the annual inflation rate remaining unchanged at 3.1%, above both our forecast and the RBNZ's April expectations.

The March quarter did see a large seasonal increase in food prices (1.5%). More important, however, were the large increases in transport costs. The sharp rise in global oil prices since late February left petrol prices up 3.5% over the quarter, with diesel prices up 11%. Notably, we also saw the early stages of spillovers from those high fuel prices into other costs, with domestic airfares up 9% over the quarter.

Looking under the surface, the various measures of core inflation provided some mixed messages on how strong the underlying inflation pulse has been. Some closely-watched measures of core inflation remain elevated. For instance, CPI ex-fuel and food came in at 3.0%yr (vs 2.9% previously). Similarly, the RBNZ's sectoral measure of core inflation held firm at 2.7%yr in the March quarter. However, other measures of core inflation, such as the trimmed mean and weighted median measures or those measures that exclude government charges, have been softer.

While not every measure of core inflation is running red hot, what stands out is that inflation in New Zealand hasn't fallen to 'low' levels over the past year. That's despite weak growth and a soft labour market. Part of the reason for that is because we have continued to see large increases in administered costs (like council rates and electricity charges) that aren't very responsive to changes in interest rates. But we are also seeing pressures in some other areas. This lingering firmness in overall inflation is significant for the RBNZ, highlighting the limited headroom they had even before the recent oil price shock.

Consumer prices and core inflation



The worst is yet to come

The March quarter inflation result was really just the curtain raiser. Inflation is set to rise sharply through the middle part of this year as the full impact of recent oil price rises ripples through the economy. We also expect to see continued firmness in administered prices, like council rates and electricity charges.

However, the outlook for inflation is much cloudier when we look at price pressures in more cyclical parts of the economy. That was highlighted in the latest [Quarterly Survey of Business Opinion](#), and in our own [recent discussions with businesses across the country](#).

Businesses have highlighted significant pressure on operating costs. And that pressure has not been limited to fuel and transport prices, with more widespread disruptions to supply chains. In some cases, like in the building sector, the reported increases in materials costs have been large.

At the same time, businesses have reported that much of the firming in economic momentum that we saw in the early part of the year has now been derailed. Economic confidence has dropped sharply over the past month, and the dampening impacts of the Middle East conflict on demand are becoming more visible. We've already seen tourist operators reporting an increase in cancelled bookings, and businesses across the country are reporting softness in discretionary spending as households grapple with rising costs for essentials.

Looking ahead, businesses across the economy are bracing themselves for softer trading conditions over the next few months. That's seen them winding back their plans for capex and hiring.

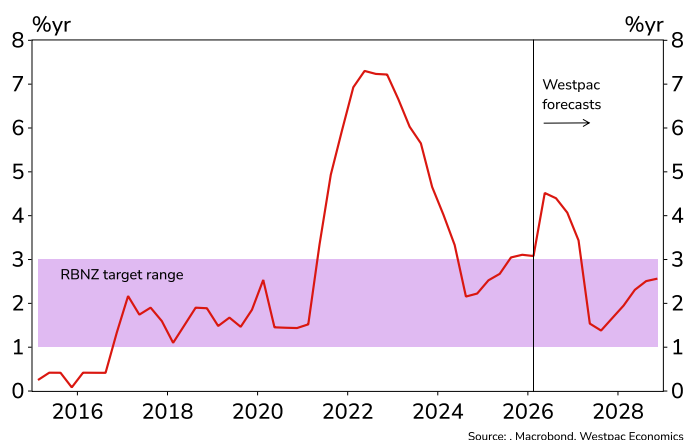
That softness in demand is raising questions about whether businesses can pass increases in operating costs through to output prices. At this stage, that passthrough has not been complete, with many businesses reporting increased pressure on margins. But that can't continue indefinitely. Many businesses have already seen their margins being squeezed for several years now, and they are now facing further (and in some cases very large) increases in operating costs. Against that backdrop, while softness in demand might limit the extent of output price rises over the coming months, inflation still looks set to take a sizeable step higher.

Putting that mix of soft demand and significant increases in operating costs together, we now expect that inflation will rise to 4.5% in mid-2026 (up from our previous forecast for 4.3%yr). Further ahead, inflation is expected to ease only gradually, slowing to 4.1% by the end of this year.

Headline inflation is expected to slow materially over 2027 as the impact of earlier oil price increases dissipates. However, core inflation is expected to remain elevated this year, and is expected to ease back towards the mid-point of the RBNZ's target band only gradually over 2027, rather than falling to low levels.

The outlook for inflation remains murky, particularly beyond the current quarter. Crucially, the outlook will be highly dependent on the evolution of tensions in the Middle East and the related (potentially large) moves in oil prices. But even if tensions in the Middle East were to dissipate quickly, the associated disruptions to supply chains and pressure on operating costs would still take some time to ease.

CPI inflation forecasts



Balancing act

All of this leaves the RBNZ with a particularly challenging balancing act. The RBNZ can't offset the rise in oil prices that's already occurred by hiking the OCR now. However, business surveys are pointing to a broadening lift in price pressures, and the RBNZ can't ignore the risk that the current oil-related rise in operating costs evolves into a more widespread and protracted lift in inflation. The past few years have shown just how corrosive and long-lasting the effects of high inflation can be for the economy, and the RBNZ is loath to see those sorts of pressures taking hold again.

Earlier interest rate hikes might help limit the risk that we see a more sustained rise in inflation. However, the RBNZ is also very mindful that higher interest rates now would weigh on economic activity at a time when the labour market is already soft.

This isn't an easy trade-off for the RBNZ. Balancing those concerns, we expect that the RBNZ will begin a series of increases in the Official Cash Rate from September, earlier than they previously signalled in their last published forecasts from February (which pre-dated the Middle East conflict). We expect the OCR will rise from the current low of 2.25% to 3.50% in early 2027. While that would be a relatively fast rise in the OCR, it would only take the OCR back around 'neutral' levels from the RBNZ's perspective at a time when inflation has been persistently above 3%.

Further ahead, the outlook is less certain. As a result, we expect that interest rates will continue to rise, but at a more gradual pace.

Market pricing for the OCR has been pulled forward in recent weeks and is now consistent with the first hike coming in July. We certainly wouldn't rule out an earlier start to the tightening cycle, given the significant rise in cost pressures. However, we think the RBNZ will prefer to wait to see how pricing behaviour in the economy is shaping up. While we will have a number of business surveys and monthly prices updates by the time of the July policy meeting, we won't have the full June quarter CPI report until after that meeting. (In contrast to the monthly price updates from Stats NZ, the quarterly CPI report has broader coverage including a range of discretionary spending categories. That update will help to illustrate how the balance between higher costs and softer demand is evolving in terms of overall pricing pressures.) The RBNZ will also want to see how spending and the labour market are evolving, both of which will be important for determining how persistent the strength in inflation will be.

Fiscal pressures

The other news of note this week was Moody's decision to attach a negative outlook to New Zealand's sovereign credit rating. The current top-tier "Aaa" rating – shared with just ten other countries – has been in place since October 2002 and is a notch higher than the rating currently assigned by both Standard and Poor's and Fitch (the latter also moved its rating to a negative outlook last month). It is worth noting that Moody's

base model assigns a rating one notch lower, with the current Aaa rating reflecting a one-notch uplift based on an assessment that the recent weakening of fiscal metrics would improve over time. This week's action clearly indicates that Moody's are considering removing that uplift. Specifically, Moody's stated: "The negative outlook reflects our assessment that risks to New Zealand's fiscal trajectory have increased..." due to "...the potential for a combination of tighter monetary policy, slower short-term growth and increased debt servicing costs".

Following this ratings action, the Minister of Finance, Nicola Willis, held a press briefing at which she also outlined some economic scenarios that the Treasury had produced during its preparations for the upcoming Budget on 28 May. Willis stated that the ratings action reinforced the Government's decision to resist the temptation to "splash the cash" in reaction to the current oil shock. Importantly, she reaffirmed that the operating allowance for new initiatives in the upcoming Budget will be held at a relatively frugal \$2.4bn. This will necessitate savings and reprioritisations to fund the targeted relief that the Government has already provided to lower income workers and some other groups, as well as the other pressures on operating spending that flow from higher fuel prices.

Unsurprisingly, the information presented by Willis showed that an upgrade to the outlook for growth and employment had been the base case prior to the Middle East conflict. More surprisingly, the least severe post-war scenario presented – one based on crude oil remaining around \$110/bbl in the near-term – was associated with a growth outlook that was similar to that presented in the Half-Year update in December. This scenario, which Willis seemed to indicate might be most representative of the current outlook, would likely still lead to a modest deterioration in the near-term fiscal outlook due to increases in spending that sit outside the spending allowance, such as benefit costs (which are indexed to the CPI) and debt servicing. However, it would probably not generate a repeat of the very large upgrades to the borrowing programme that have been seen at various times in recent years.

We will publish our preview of Budget 2026 after we have seen the Government's financial accounts for April (released 12 May). Willis indicated that the Treasury had finalised its economic forecasts this week and that Cabinet would make final Budget decisions in around a fortnight.

AUS: Q1 Headline CPI (%qtr)

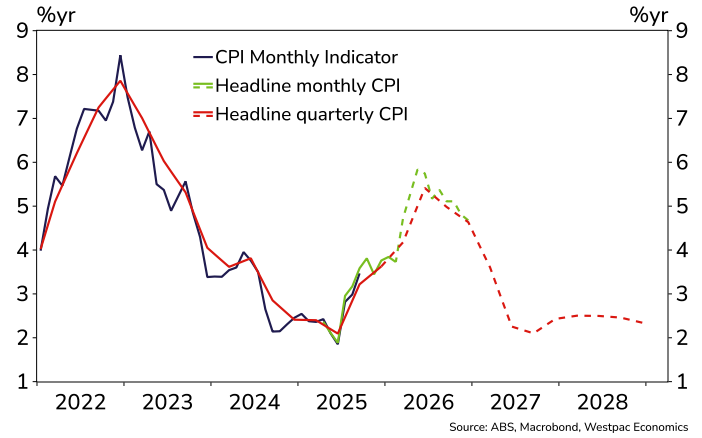
Apr 29, Last: 0.6, Westpac f/c: 1.5
Market f/c: 1.4, Range: 1.1 to 1.6

Westpac is estimating a 1.5%qtr/4.2%yr gain in the March quarter CPI. At two decimal places our estimate is a solid 1.48% so we see the risks as balanced.

The Middle East conflict is the largest energy shock since the oil crises of the 1970s/80s. It started February 28 so its impact was only felt through March, mostly via auto fuel. As such we expect a much broader impact in the June quarter and through the second half of the year. For more details on the scenario underpinning these projections, and our latest thoughts on the risks, please refer to the [April Market Outlook](#).

For a detailed breakdown of our June quarter estimates, and the monthly estimates to May, see our [Inflation Outlook Bulletin](#).

Headline inflation in three series



AUS: Q1 Trimmed Mean CPI (%qtr)

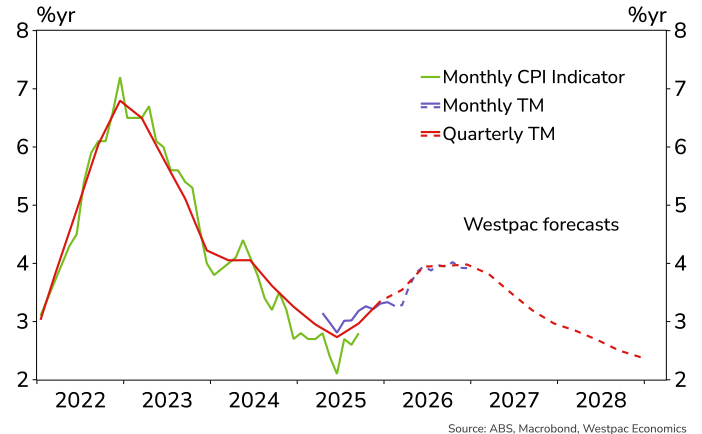
Apr 29, Last: 0.9, Westpac f/c: 0.9
Market f/c: 0.9, Range: 0.8 to 1.0

Core inflation is not immune to the Middle East Crisis. While the impact is likely to be more significant through the second half of the year we are expecting a 0.93% increase in the March quarter, matching the 0.90% December quarter gain. The annual pace is expected to lift modestly to 3.5%yr from 3.4%yr.

The March quarter is a prelude to the step up in the pace with a 1.0% increase in the June and September quarters and the annual pace peaking at 4.0%yr in the second half of the year.

The ABS are [publishing](#) the quarterly underlying inflation measures consistent with the historical price collection frequency. Replicating this process represents a small downside risk to our estimate.

Trimmed Mean inflation in three series



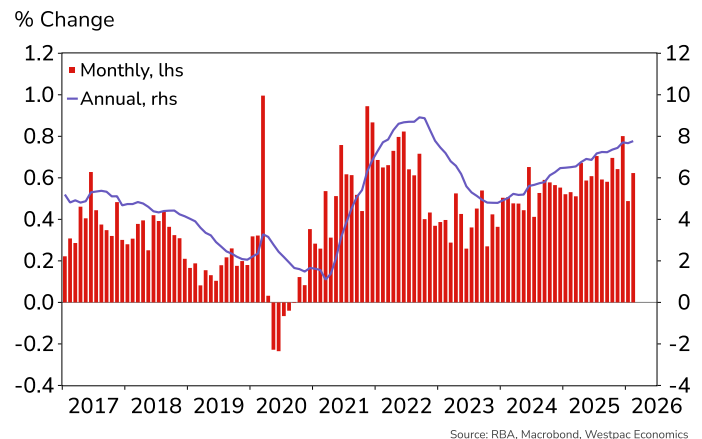
AUS: Mar Private Sector Credit (%mth)

Apr 30, Last: 0.6 Westpac f/c: 0.5
Market f/c: 0.6, Range: 0.5 to 0.7

Private sector credit rose 0.8% mth in December, eased to 0.5% mth in January, and then steadied at 0.6% mth in February, in line with the two-year average.

For March, headline growth is expected to moderate to 0.5% mth. The effects of the RBA's cash rate increases in February and March are likely to emerge with a lag, although interest rate expectations rose earlier. In addition, the global energy price shock associated with the war in the Middle East is placing further pressure on household budgets and disrupting business activity. With both consumer sentiment and business confidence falling sharply in March, credit growth is likely to face increasing downward pressure, amid heightened economic uncertainty.

Private Sector Credit Growth



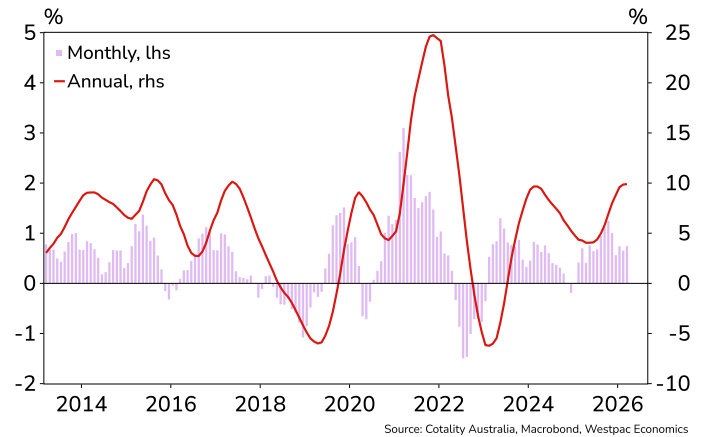
AUS: Apr Cotality Home Value Index (%mth)

May 1, Last: 0.6, Westpac f/c: 0.3

The Cotality home value index rose 0.6% in March, following similar gains over the previous three months, annual growth holding broadly steady at 9.3%yr. The detail continued to show slight price declines in Sydney and Melbourne, where turnover also looks to be pulling back, but relatively strong price gains in Brisbane, Adelaide and Perth where turnover remains firmer.

The daily measure points to a slower 0.3% rise for the April month with slightly more pronounced declines in Sydney and Melbourne and price gains moderating a touch in the mid-sized capitals.

Cotality home value index

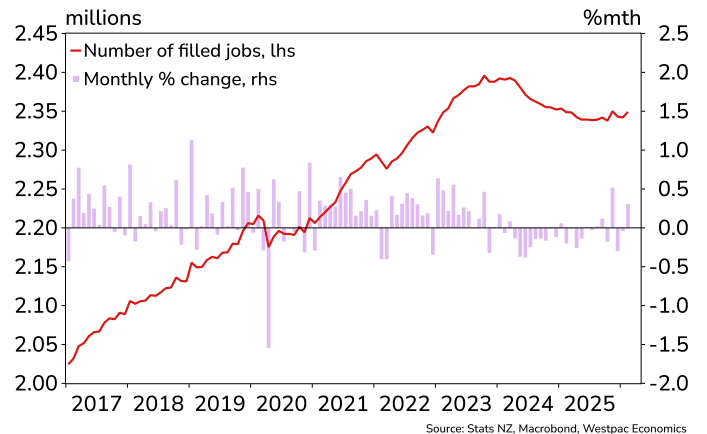


NZ: Mar Monthly Employment Indicator (%mth)

Apr 28, Last: 0.3, Westpac f/c: flat

The February MEI added to the evidence that the New Zealand economy was regaining momentum prior to the Iran war. The number of filled jobs rose by 0.3%, although this is likely to be revised down a little in subsequent releases; the broader picture is one of a stabilisation in jobs in recent months after declining through 2024-25. The weekly snapshots provided by Stats NZ are now running about in line with a year ago, which suggests a flattish outcome for the March month. We'll be watching these figures closely for any signs that the uncertainty stemming from the Iran war is prompting businesses to put off hiring decisions.

Monthly Employment Indicator

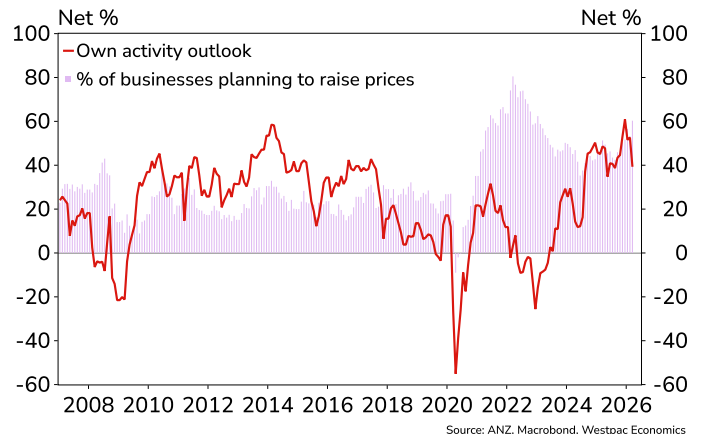


NZ: Apr ANZ Business Confidence (index)

Apr 30, Last: 32.5

The first business survey since the beginning of the Iran war saw a sharp drop in confidence, with late-March responses turning significantly weaker than earlier ones as the gravity of the situation became clearer. That sets the stage for an April survey that's likely to look quite ugly on the whole, even if there is some improvement within the month as the 8 April ceasefire helped to bring fuel prices down from their highs. Firms' inflation expectations and pricing intentions are likely to take a further step up, but the measures of wage growth and hiring intentions will also be an important consideration as to whether we see a sustained rise in inflation beyond the initial spike.

Business confidence high prior to Iran conflict

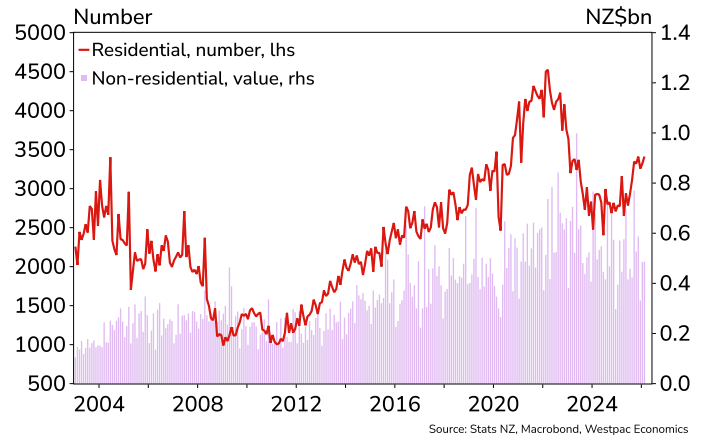


NZ: Mar Building Consents (%mth)

May 1, Last: 2.7, Westpac f/c: flat

Since late 2025, dwelling consent numbers have taken a step higher, and we expect that issuance will remain firm in March. That would see annual consent numbers climbing to around 37,800 – its highest level since 2023. Developers have been bringing new projects to market, supported by last year's reductions in interest costs and the earlier easing in cost pressures. However, those gains pre-date the recent conflict in the Middle East. Builders are now reporting significant increases in materials costs and pressure on interest rates is mounting. That's likely to see fewer new projects coming to market over the coming months, and some planned work may not proceed. Commercial consent numbers have been mixed across segments to date. But across all segments, the risks are now tilted towards greater caution in businesses' plans for capex in the near term.

Building consents picking up



US: FOMC Policy Decision (%)

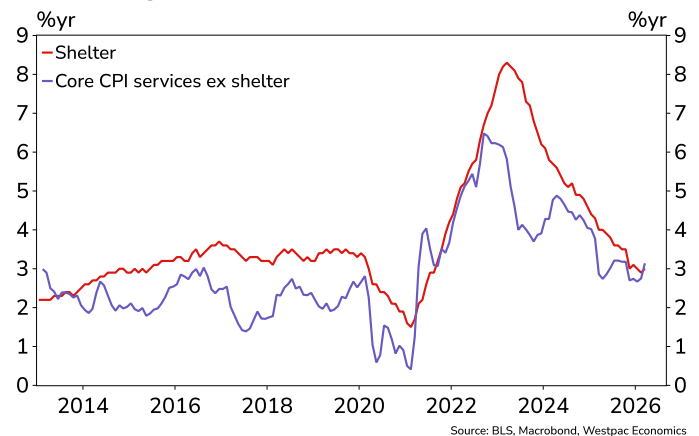
Apr 28-29, Last: 3.625, Market f/c: 3.625, Westpac f/c: 3.625

The FOMC received a reprieve from downside risks to the economy over the past month as nonfarm payrolls growth turned up after an extended period of weakness.

The deceleration in GDP growth evident in Q4 and expected in Q1 notwithstanding (see below), the focus of FOMC risk analysis is likely to be the threat of elevated inflation. The latest CPI report was favourable, with inflationary pressures concentrated in energy prices and core inflation benign. However, if a deal between the US and Iran is not forthcoming, this situation could change rapidly.

We expect the Committee to note concerns over passthrough, but to hold a balanced view overall, waiting for data to show the evolution of risks in coming months.

Passthrough risk the near-term concern



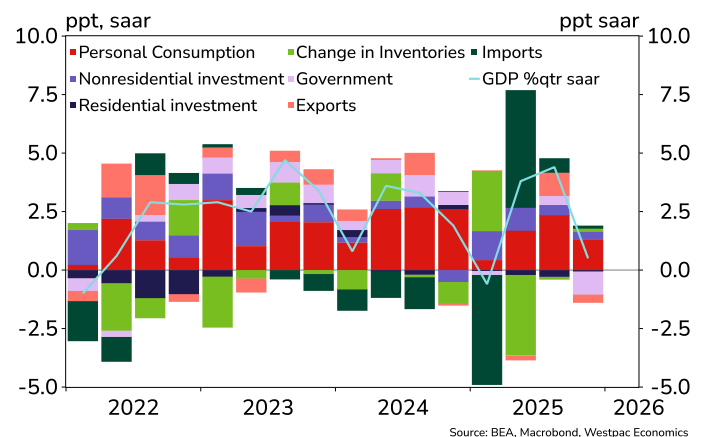
US: Q1 GDP (%ann'd)

Apr 30, Last: 0.5, Market f/c: 2.0, Westpac f/c: 1.0

US GDP decelerated abruptly at the end of 2025 following strong growth through mid year, and under the weight of the Federal Government shutdown and tariff uncertainty. Partially available for Q1 2026 point to another poor result as the new year begins.

In part this looks to be due to net exports subtracting materially from growth in the three months to March. Though housing investment seems to be contracting, and household consumption and business investment growth is below trend. With consumer sentiment at record lows, US GDP growth is susceptible to remaining below trend through Q2 and Q3, potentially seeing additional slack build in the labour market.

United States contributions to GDP



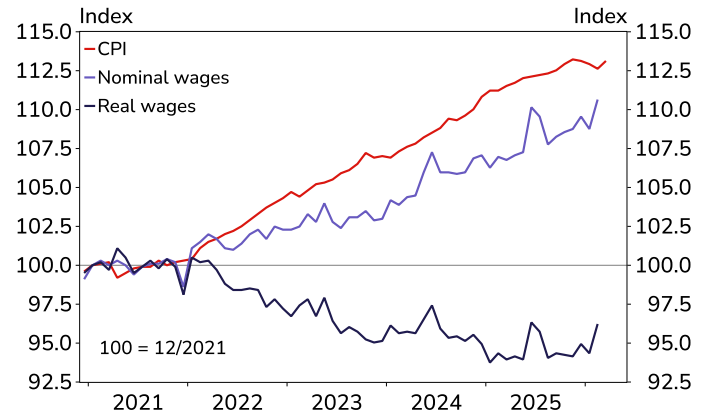
Japan: BoJ Policy Decision (%)

Apr 27, Last: 0.75, Market f/c: 0.75, Westpac f/c: 0.75

We anticipate the Bank of Japan will remain on hold at its April meeting but signal that further rate rises are on the horizon. A fresh set of forecasts should show inflation is on track to be higher given higher costs of energy and still elevated food prices.

The Policy Board is focused on creating the right conditions for domestically-driven inflation. They will want to be patient to ensure financial conditions remain sufficiently accommodative for the corporate sector to continue to raise wages and invest while balancing the impact a weak yen has on domestic inflation. We continue to anticipate a June hike.

Real wage gains still key for BoJ



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 27						
Aus	ANZAC Day	–	–	–	–	Public holiday in lieu for NSW, ACT, WA. Markets still open.
NZ	ANZAC Day	–	–	–	–	Public holiday in lieu. Markets closed.
US	Apr Dallas Fed Manufacturing	index	–0.2	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
Tue 28						
NZ	Mar Employment Indicator	%mth	0.3	–	flat	Jobs market was stabilising prior to Iran conflict.
Jpn	Mar Jobless Rate	%	2.6	2.6	–	Labour market is softening marginally.
	Apr BoJ Policy Decision	%	0.75	0.75	0.75	Assessing outlook for now, but rate hike on the table in June.
US	Feb S&P/CS Home Price Index	%mth	0.16	–	–	Stabilising but on fragile footing as confidence falters.
	Apr Richmond Fed Manufacturing	index	0	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
	Apr Conf. Board Consumer Confidence	index	91.8	89.3	–	To retest recent lows as consumers feel effects from conflict.
Wed 29						
Aus	Mar Monthly CPI	%ann	3.7	4.8	4.7	A 35% increase in auto fuel lifts the CPI 1.3% in the month...
	Q1 CPI	%qtr	0.6	1.4	1.5	... lifting the auto fuel contribution to 0.3ppt for the quarter...
	Q1 Trimmed Mean CPI	%qtr	0.9	0.9	0.9	... while underlying inflation momentum remains solid.
Eur	Apr Economic Confidence	index	96.6	95.8	–	At risk of slumping, after nudging sideways for three years.
US	Mar Durable Goods Orders	%mth	–1.3	0.5	–	Investment pulse was already slowing prior to US-Iran.
	Mar Housing Starts	%mth	7.2	–	–	Cost pressures will challenge homebuilding sector ...
	Mar Building Permits	%mth	–4.7	–	–	... and potentially make some projects less viable.
	Apr FOMC Policy Decision	%	3.625	3.625	3.625	On hold this year, absent a deterioration in the labour market.
Can	Apr BoC Policy Decision	%	2.25	–	–	Prolonged pause as downside risks to activity are assessed.
Thu 30						
Aus	Mar Private Sector Credit	%mth	0.6	0.6	0.5	Economic uncertainty to add downward pressure.
	Q1 Export Price Index	%qtr	3.2	–	–	Terms of trade set to deteriorate as commodity price lift ...
	Q1 Import Price Index	%qtr	0.9	–	–	... will be in the shadows of a fuel import price surge.
NZ	Apr ANZ Business Confidence	index	32.5	–	–	The April survey will bear the full brunt of the Iran conflict.
Jpn	Mar Industrial Production	%mth	–2.0	1.1	–	Factory output was on a more solid footing early this year.
Chn	Apr NBS Manufacturing PMI	index	50.4	50.1	–	Wash-up after Lunar New Year was more constructive ...
	Apr NBS Non-Manufacturing PMI	index	50.1	49.9	–	... mirroring activity data pointing to good health in early 2026.
	Apr RatingDog Manufacturing PMI	index	50.8	51.0	–	Opportunities for export-orientated firms in green technology.
Eur	Apr CPI	%ann	2.5	2.9	–	Preliminary read won't offer great detail on breadth.
	Q1 GDP	%qtr	0.2	0.2	–	Growth coming from a relatively soft starting point.
	Mar Unemployment Rate	%	6.2	6.2	–	Labour market still in relatively good health.
	Apr ECB Policy Decision (Deposit Rate)	%	2.00	2.00	2.00	Some degree of tightening warranted, but later this year.
UK	Apr BoE Policy Decision	%	3.75	–	3.75	Abrupt shift from cutting to pausing, and hikes later on.
US	Mar PCE Deflator	%mth	0.4	0.7	–	Inflation pressures were already present in the US, which ...
	Mar Personal Income	%mth	–0.1	0.4	–	... with a softer labour market, weighs on real incomes ...
	Mar Personal Spending	%mth	0.5	0.9	–	... forcing consumers to dip into savings or pull-back spending.
	Initial Jobless Claims	000s	214	–	–	No major signs of job losses, although job creation is weak ...
	Q1 Employment Cost Index	%qtr	0.7	0.8	–	... as evinced by the gradual easing in wages growth.
	Q1 GDP	%ann'd	0.5	2.0	–	Growth pulse entering 2026 on a weak footing.
Fri 01						
Aus	Apr Cotality Home Value Index	%mth	0.6	–	–	
	Q1 PPI	%qtr	0.8	–	–	Breadth of upstream price pressures in focus.
NZ	Apr ANZ Consumer Confidence	index	91.3	–	–	Cost of living pressures weighing on confidence.
	Mar Building Permits	%mth	2.7	–	flat	Monthly consent numbers firm ahead of Middle East conflict.
Jpn	Apr Tokyo CPI	%ann	1.4	1.6	–	Core measure will guide on pass-through of oil price shock.
US	Apr ISM Manufacturing	index	52.7	53.3	–	Long-awaited signs of growth at risk of being short-lived.
World	Apr S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, UK, US.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (24 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.36	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.69	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.33	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.60	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.51	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.72	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	40	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (24 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7121	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5856	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.75	158	156	154	152	150	148	146	144	142
EUR/USD	1.1679	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3460	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8364	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2173	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Quarter-average.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	2.2	3.1	4.1	1.7

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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Week beginning 27 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: It Depends on What You are Trying to Achieve.

The Week That Was: Middle East conflict seemingly at an impasse.

Focus on New Zealand: A matter of balance.

For the week ahead:

Australia: ANZAC Day public holiday, Q1 CPI, Cotality home value index, private credit.

New Zealand: ANZAC Day public holiday, employment indicator, ANZ business and consumer confidence.

Japan: BoJ policy decision, industrial production, jobless rate.

Euro area: ECB policy decision, CPI, GDP, unemployment rate.

UK: BoE policy decision.

United States: FOMC policy decision, PCE deflator, personal income and spending, ISM manufacturing.

Canada: BoC Policy decision.

Information contained in this report current as at 24 April 2026.

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It Depends on What You are Trying to Achieve



Luci Ellis
Chief Economist, Westpac Group

- **Pre-budget speculation has tended to start from the presumption that more revenue is needed. The justification is sometimes the perceived need to fund spending priorities that are assumed – perhaps erroneously – to be rising. In other quarters, minimising the deficit or government debt appears to be the objective. Whatever the objective, it should be scrutinised not assumed.**
- **Speculation about changes to the capital gains tax (CGT) regime highlight the potential to increase revenue, but there is no guarantee of this. For example, switching back to the pre-1999 regime or the simplified version of it we have previously suggested will only boost revenue if asset price growth exceeds 5%.**
- **There are many possible objectives that fiscal systems – tax and spending – can address, often different objectives in different parts of the system. “Boost revenue” is not the only possible goal, and tweaking the tax system is not the only solution to a policy objective.**

Speculation is building as budget night approaches. While the government must deal with the immediate issues in front of it stemming from the Middle East conflict, many observers are focused on the maxim “never let a good crisis go to waste” and hoping for broader reforms – usually the same ones they were advocating before the conflict erupted. The question of what the budget should do rests, however, on the deeper question of what problems the government is trying to solve.

For example, recent discussion has been focused on an assumed need for extra revenue. Tax reforms are dissected for how much more they might raise, while [revenue windfalls from higher commodity prices](#) are downplayed. Underlying this view are other presumptions – seemingly widespread across different levels of government and the bureaucracy – that “people expect more from government nowadays” and that governments should strive to meet those expectations. Absent from these discussions are the questions of whether the government's effort and resources are being deployed effectively, and whether it can stop doing some things altogether.

A related presumption underlying the search for more revenue is the belief that population ageing is shrinking the workforce, even though this is [not true in Australia and most other advanced economies outside North America](#).

A separate pathway to the search for more revenue comes from a different premise: that the federal fiscal position is weak and large revenue measures (and/or spending cuts)

must be found to reduce the deficit significantly. It is good to have strong public finances. It keeps government borrowing costs low and leaves plenty of space to spend in a crisis. Yet the presumption that government finances are parlous and in need of repair sits oddly with Australia's actual federal fiscal position, which is stronger than many of its peers.

Take the recent speculation about removing the CGT discount. It has been touted as a revenue-raising measure, but there is no guarantee of this. One could consider moving back to the pre-1999 system of adjusting the gain for growth in CPI and applying the full marginal rate to the remainder. Alternatively, one could consider the [simplified version we suggested in 2023](#), where the adjustment is 2.5% per year the asset is held – the midpoint of the RBA's inflation target – regardless of actual inflation over the holding period.

“Speculation about tax reform in the upcoming federal budget abounds.”

Applying a full marginal rate to an adjusted return still taxes mobile capital more lightly than other income, as economic theory would suggest. It has an advantage over the current system of not privileging capital gains-producing assets over income-producing assets at the margin. Because assets that can be leveraged are especially advantaged by the current system, switching back to the pre-1999 system or our simplified alternative would also promote financial stability. It would increase the effective tax rate on capital gains during booms in real asset prices, and our simplified proposal would also lean against periods of high CPI inflation.

What it will not do, though, is necessarily boost revenue. If asset prices rise by less than 5% per year, revenue is lower. For example, a 4% rise, less 2.5% deduction, means tax is paid on 1½% of capital gains. The current system of half the marginal rate on the full gain would be the equivalent of taxing 2% of gains if asset prices rose 4%/yr. Revenue is only higher than the current scheme if asset prices rise by more than 5%. And even in that case, the increase in revenue might only be small once people have adjusted to the change and the other possible design decisions associated with it, such as grandfathering and limits on the number and type of assets eligible for the discount.

Absent from the current discourse is any discussion of the proper role and size of government, or the level of government that is best placed to take on the functions required. As Westpac Economics colleague Pat Bustamante has [previously shown](#), the size of government in Australia has increased ►

substantially over the past decade. When private demand indirectly induced by public spending is included (think legal work for construction companies working on public infrastructure projects), the footprint of public demand has risen from 27% to 35% of GDP over the past decade.

Much of this expansion is desirable. We should want to care for disabled and elderly Australians properly and have high-quality childcare available at an affordable price. That takes resources, and private markets alone are unlikely to deliver enough of these services. Likewise, with population growth running around 1½%, both pre-pandemic and currently, we will always need more public infrastructure. Both types of spending also have positive spillovers. Social care spending allows those who were providing informal care to enter paid employment. And done well, infrastructure spending can boost skills and productivity and open up new opportunities through better logistics.

The question of what should or will happen in the budget boils down to which of the many possible objectives government wants to prioritise. Is it addressing the growing income tax burden in a system of fixed tax brackets, or minimising the deficit, or making the tax system more responsive to the economic cycle, or providing more services to meet the public's expectations, or doing so more efficiently? What about national and economic security? The budget is a complex beast and different design decisions can address different objectives. This is not like monetary policy, where there is only one instrument and at most two objectives, inflation and full employment, which are in any case correlated at least some of the time.

Global economic and geopolitical developments pose challenges, while new technology and an expanding, ageing workforce create opportunities. We should not assume that tweaking the tax system is the answer to every issue. Your fiscal priorities should relate to your public policy objectives.

Forecast changes

- A full update to our forecasts was published in our Market Outlook publication on April 17.

Cliff Notes: Middle East conflict seemingly at an impasse

Elliot Clarke, Head of International Economics
Illiana Jain, Economist

Regarding the Middle East conflict, the week began with the expectation of a second round of in-person talks between the US and Iran. The start of the negotiations was initially pushed from Tuesday to Wednesday; but President Trump then announced on Truth Social that the meeting had been postponed at the request of Pakistani and Iranian officials to allow time for a "unified proposal" to be developed to be put to the US. Thankfully, having been stretched by both sides at the weekend, the expiring two-week ceasefire was extended indefinitely.

Since Wednesday, there has been no concrete evidence of progress towards a deal, the Iranians seemingly refusing to come to the table while the US' blockade remains in place, and the US refusing to end the blockade until a deal is agreed. Both sides have halted and seized ships within their area of operations, but this has not triggered a ceasefire breach – although it must be noted that President Trump overnight ordered the US Navy to strike any vessel laying mines in the Strait of Hormuz, making clear the risk of further military conflict.

With no clear way out of the stalemate, or timeline for formal talks, the price of Brent oil has rebounded back to around USD106 having (very briefly) fallen as low as USD86 late last week. The longer the impasse persists, the greater the chance of a sustained period of high oil prices and refinery margins, with all costs eventually met by businesses and households across the world.

Central banks remain focused on the degree and persistence of price passthrough to domestic consumer inflation, the risk being that inflation persists well above target into 2027 on second-round effects and an uplift in inflation expectations. ECB President Lagarde this week noted that the staff currently view conditions in the Euro Area as between their baseline and adverse projections from the last meeting, and will act "as the situation demands" ahead. Next week's run of central bank meetings across the northern hemisphere will provide a more detailed view on the balance of risks and the implications for monetary policy across the developed world.

In the US meanwhile, President Trump's pick for the next FOMC Chair, Kevin Warsh, appeared before the Senate Banking Committee as part of the confirmation process. Warsh again made clear he believes several aspects of the FOMC's communications and processes should change, but also showed a clear commitment to central bank independence. The next steps in Warsh's confirmation remains highly uncertain, with Republican Senator Tillis refusing to approve the appointment at the Committee stage until the Department of Justice close their investigation into the Federal Reserve

and Chair Powell. If Senator Tillis holds out until year end, the Administration may face an additional challenge in 2027 as their Senate majority is at risk in the mid-term election. Chair Powell will remain in place in the interim, giving the FOMC continuity and capacity to manage the US economy.

On data front this week, US retail sales rose 1.7% in March, beating expectations. The control group, which feeds into GDP, also surprised to the upside, 0.7%. For the quarter overall, however, the consumer pulse has been weak, and record-low confidence points to downside risks for Q2. The outlook for US business investment is also increasingly uncertain.

Across the pond, the UK unemployment rate fell from 5.2% in January to 4.9% in February, though this reflected a decline in participation. Despite the softer labour market print, wages still rose 3.8%yr in February. A spike in energy prices also saw inflation rise 0.7% in March and 3.3% over the year. While the headlines focus on energy prices, sticky services inflation also remains an issue for the UK, 4.5%yr.

[Our latest Market Outlook](#) provides an in-depth view of the outlook for the US, Europe, China and global financial markets.

A matter of balance



Satish Ranchhod
Senior Economist

The conflict in the Middle East has cast a long shadow across the New Zealand economy, with a softening in demand, rising costs and winding back of plans for hiring. Inflation is already at elevated levels and it's set to take a large step higher over the next few months. All of this leaves the RBNZ with a particularly challenging balancing act. But while there are questions about how quickly the RBNZ will adjust the OCR, the direction of those movements will be upwards.

Curtain raiser

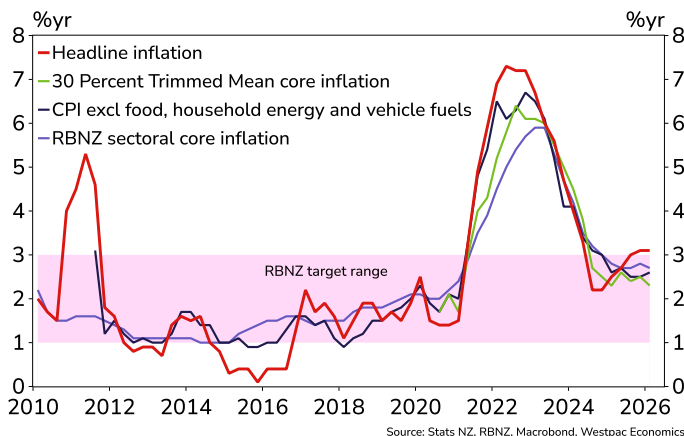
The latest CPI report showed that, even before the full impact of the recent oil price shock has been felt, [New Zealand inflation](#) was running hotter than we or the RBNZ expected. Consumer prices rose 0.9% in the March quarter. That saw the annual inflation rate remaining unchanged at 3.1%, above both our forecast and the RBNZ's April expectations.

The March quarter did see a large seasonal increase in food prices (1.5%). More important, however, were the large increases in transport costs. The sharp rise in global oil prices since late February left petrol prices up 3.5% over the quarter, with diesel prices up 11%. Notably, we also saw the early stages of spillovers from those high fuel prices into other costs, with domestic airfares up 9% over the quarter.

Looking under the surface, the various measures of core inflation provided some mixed messages on how strong the underlying inflation pulse has been. Some closely-watched measures of core inflation remain elevated. For instance, CPI ex-fuel and food came in at 3.0%yr (vs 2.9% previously). Similarly, the RBNZ's sectoral measure of core inflation held firm at 2.7%yr in the March quarter. However, other measures of core inflation, such as the trimmed mean and weighted median measures or those measures that exclude government charges, have been softer.

While not every measure of core inflation is running red hot, what stands out is that inflation in New Zealand hasn't fallen to 'low' levels over the past year. That's despite weak growth and a soft labour market. Part of the reason for that is because we have continued to see large increases in administered costs (like council rates and electricity charges) that aren't very responsive to changes in interest rates. But we are also seeing pressures in some other areas. This lingering firmness in overall inflation is significant for the RBNZ, highlighting the limited headroom they had even before the recent oil price shock.

Consumer prices and core inflation



The worst is yet to come

The March quarter inflation result was really just the curtain raiser. Inflation is set to rise sharply through the middle part of this year as the full impact of recent oil price rises ripples through the economy. We also expect to see continued firmness in administered prices, like council rates and electricity charges.

However, the outlook for inflation is much cloudier when we look at price pressures in more cyclical parts of the economy. That was highlighted in the latest [Quarterly Survey of Business Opinion](#), and in our own [recent discussions with businesses across the country](#).

Businesses have highlighted significant pressure on operating costs. And that pressure has not been limited to fuel and transport prices, with more widespread disruptions to supply chains. In some cases, like in the building sector, the reported increases in materials costs have been large.

At the same time, businesses have reported that much of the firming in economic momentum that we saw in the early part of the year has now been derailed. Economic confidence has dropped sharply over the past month, and the dampening impacts of the Middle East conflict on demand are becoming more visible. We've already seen tourist operators reporting an increase in cancelled bookings, and businesses across the country are reporting softness in discretionary spending as households grapple with rising costs for essentials.

Looking ahead, businesses across the economy are bracing themselves for softer trading conditions over the next few months. That's seen them winding back their plans for capex and hiring.

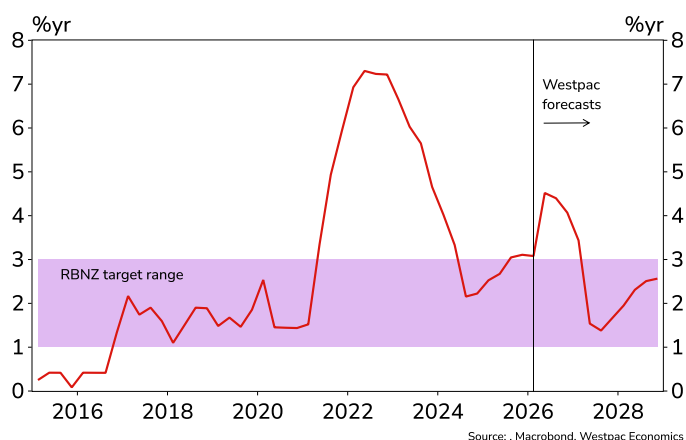
That softness in demand is raising questions about whether businesses can pass increases in operating costs through to output prices. At this stage, that passthrough has not been complete, with many businesses reporting increased pressure on margins. But that can't continue indefinitely. Many businesses have already seen their margins being squeezed for several years now, and they are now facing further (and in some cases very large) increases in operating costs. Against that backdrop, while softness in demand might limit the extent of output price rises over the coming months, inflation still looks set to take a sizeable step higher.

Putting that mix of soft demand and significant increases in operating costs together, we now expect that inflation will rise to 4.5% in mid-2026 (up from our previous forecast for 4.3%yr). Further ahead, inflation is expected to ease only gradually, slowing to 4.1% by the end of this year.

Headline inflation is expected to slow materially over 2027 as the impact of earlier oil price increases dissipates. However, core inflation is expected to remain elevated this year, and is expected to ease back towards the mid-point of the RBNZ's target band only gradually over 2027, rather than falling to low levels.

The outlook for inflation remains murky, particularly beyond the current quarter. Crucially, the outlook will be highly dependent on the evolution of tensions in the Middle East and the related (potentially large) moves in oil prices. But even if tensions in the Middle East were to dissipate quickly, the associated disruptions to supply chains and pressure on operating costs would still take some time to ease.

CPI inflation forecasts



Balancing act

All of this leaves the RBNZ with a particularly challenging balancing act. The RBNZ can't offset the rise in oil prices that's already occurred by hiking the OCR now. However, business surveys are pointing to a broadening lift in price pressures, and the RBNZ can't ignore the risk that the current oil-related rise in operating costs evolves into a more widespread and protracted lift in inflation. The past few years have shown just how corrosive and long-lasting the effects of high inflation can be for the economy, and the RBNZ is loath to see those sorts of pressures taking hold again.

Earlier interest rate hikes might help limit the risk that we see a more sustained rise in inflation. However, the RBNZ is also very mindful that higher interest rates now would weigh on economic activity at a time when the labour market is already soft.

This isn't an easy trade-off for the RBNZ. Balancing those concerns, we expect that the RBNZ will begin a series of increases in the Official Cash Rate from September, earlier than they previously signalled in their last published forecasts from February (which pre-dated the Middle East conflict). We expect the OCR will rise from the current low of 2.25% to 3.50% in early 2027. While that would be a relatively fast rise in the OCR, it would only take the OCR back around 'neutral' levels from the RBNZ's perspective at a time when inflation has been persistently above 3%.

Further ahead, the outlook is less certain. As a result, we expect that interest rates will continue to rise, but at a more gradual pace.

Market pricing for the OCR has been pulled forward in recent weeks and is now consistent with the first hike coming in July. We certainly wouldn't rule out an earlier start to the tightening cycle, given the significant rise in cost pressures. However, we think the RBNZ will prefer to wait to see how pricing behaviour in the economy is shaping up. While we will have a number of business surveys and monthly prices updates by the time of the July policy meeting, we won't have the full June quarter CPI report until after that meeting. (In contrast to the monthly price updates from Stats NZ, the quarterly CPI report has broader coverage including a range of discretionary spending categories. That update will help to illustrate how the balance between higher costs and softer demand is evolving in terms of overall pricing pressures.) The RBNZ will also want to see how spending and the labour market are evolving, both of which will be important for determining how persistent the strength in inflation will be.

Fiscal pressures

The other news of note this week was Moody's decision to attach a negative outlook to New Zealand's sovereign credit rating. The current top-tier "Aaa" rating – shared with just ten other countries – has been in place since October 2002 and is a notch higher than the rating currently assigned by both Standard and Poor's and Fitch (the latter also moved its rating to a negative outlook last month). It is worth noting that Moody's

base model assigns a rating one notch lower, with the current Aaa rating reflecting a one-notch uplift based on an assessment that the recent weakening of fiscal metrics would improve over time. This week's action clearly indicates that Moody's are considering removing that uplift. Specifically, Moody's stated: "The negative outlook reflects our assessment that risks to New Zealand's fiscal trajectory have increased..." due to "...the potential for a combination of tighter monetary policy, slower short-term growth and increased debt servicing costs".

Following this ratings action, the Minister of Finance, Nicola Willis, held a press briefing at which she also outlined some economic scenarios that the Treasury had produced during its preparations for the upcoming Budget on 28 May. Willis stated that the ratings action reinforced the Government's decision to resist the temptation to "splash the cash" in reaction to the current oil shock. Importantly, she reaffirmed that the operating allowance for new initiatives in the upcoming Budget will be held at a relatively frugal \$2.4bn. This will necessitate savings and reprioritisations to fund the targeted relief that the Government has already provided to lower income workers and some other groups, as well as the other pressures on operating spending that flow from higher fuel prices.

Unsurprisingly, the information presented by Willis showed that an upgrade to the outlook for growth and employment had been the base case prior to the Middle East conflict. More surprisingly, the least severe post-war scenario presented – one based on crude oil remaining around \$110/bbl in the near-term – was associated with a growth outlook that was similar to that presented in the Half-Year update in December. This scenario, which Willis seemed to indicate might be most representative of the current outlook, would likely still lead to a modest deterioration in the near-term fiscal outlook due to increases in spending that sit outside the spending allowance, such as benefit costs (which are indexed to the CPI) and debt servicing. However, it would probably not generate a repeat of the very large upgrades to the borrowing programme that have been seen at various times in recent years.

We will publish our preview of Budget 2026 after we have seen the Government's financial accounts for April (released 12 May). Willis indicated that the Treasury had finalised its economic forecasts this week and that Cabinet would make final Budget decisions in around a fortnight.

AUS: Q1 Headline CPI (%qtr)

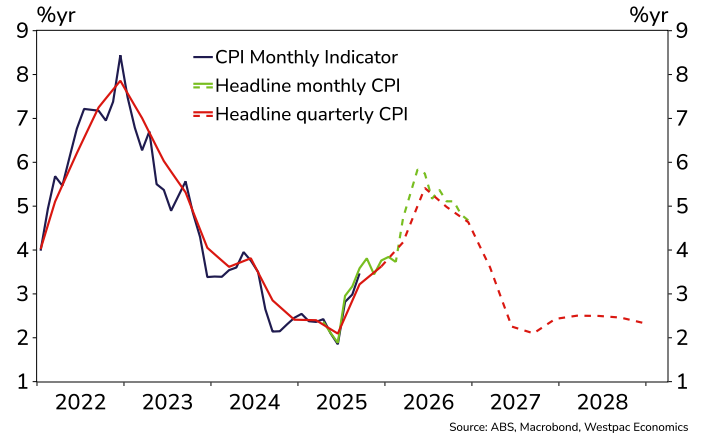
Apr 29, Last: 0.6, Westpac f/c: 1.5
Market f/c: 1.4, Range: 1.1 to 1.6

Westpac is estimating a 1.5%qtr/4.2%yr gain in the March quarter CPI. At two decimal places our estimate is a solid 1.48% so we see the risks as balanced.

The Middle East conflict is the largest energy shock since the oil crises of the 1970s/80s. It started February 28 so its impact was only felt through March, mostly via auto fuel. As such we expect a much broader impact in the June quarter and through the second half of the year. For more details on the scenario underpinning these projections, and our latest thoughts on the risks, please refer to the [April Market Outlook](#).

For a detailed breakdown of our June quarter estimates, and the monthly estimates to May, see our [Inflation Outlook Bulletin](#).

Headline inflation in three series



AUS: Q1 Trimmed Mean CPI (%qtr)

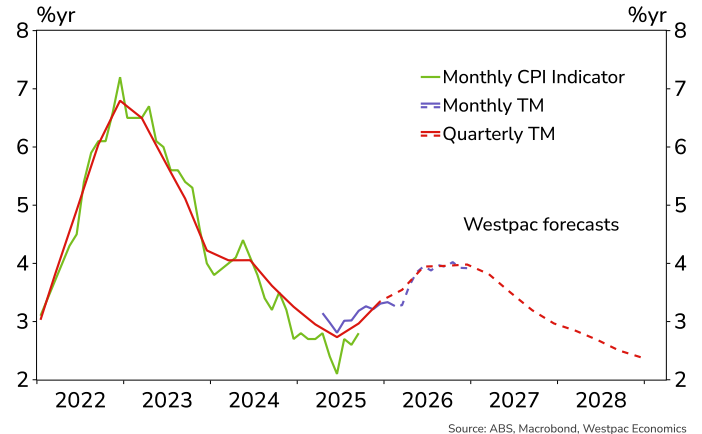
Apr 29, Last: 0.9, Westpac f/c: 0.9
Market f/c: 0.9, Range: 0.8 to 1.0

Core inflation is not immune to the Middle East Crisis. While the impact is likely to be more significant through the second half of the year we are expecting a 0.93% increase in the March quarter, matching the 0.90% December quarter gain. The annual pace is expected to lift modestly to 3.5%yr from 3.4%yr.

The March quarter is a prelude to the step up in the pace with a 1.0% increase in the June and September quarters and the annual pace peaking at 4.0%yr in the second half of the year.

The ABS are [publishing](#) the quarterly underlying inflation measures consistent with the historical price collection frequency. Replicating this process represents a small downside risk to our estimate.

Trimmed Mean inflation in three series



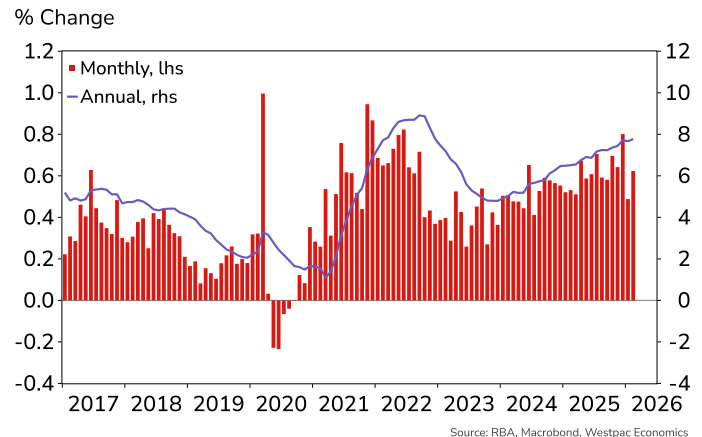
AUS: Mar Private Sector Credit (%mth)

Apr 30, Last: 0.6 Westpac f/c: 0.5
Market f/c: 0.6, Range: 0.5 to 0.7

Private sector credit rose 0.8% mth in December, eased to 0.5% mth in January, and then steadied at 0.6% mth in February, in line with the two-year average.

For March, headline growth is expected to moderate to 0.5% mth. The effects of the RBA's cash rate increases in February and March are likely to emerge with a lag, although interest rate expectations rose earlier. In addition, the global energy price shock associated with the war in the Middle East is placing further pressure on household budgets and disrupting business activity. With both consumer sentiment and business confidence falling sharply in March, credit growth is likely to face increasing downward pressure, amid heightened economic uncertainty.

Private Sector Credit Growth



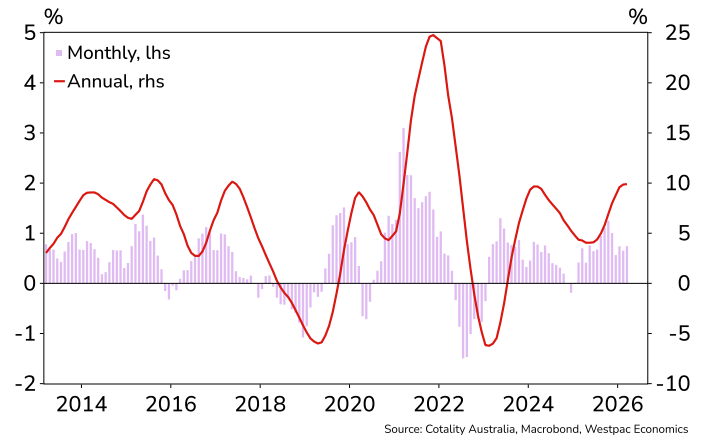
AUS: Apr Cotality Home Value Index (%mth)

May 1, Last: 0.6, Westpac f/c: 0.3

The Cotality home value index rose 0.6% in March, following similar gains over the previous three months, annual growth holding broadly steady at 9.3%yr. The detail continued to show slight price declines in Sydney and Melbourne, where turnover also looks to be pulling back, but relatively strong price gains in Brisbane, Adelaide and Perth where turnover remains firmer.

The daily measure points to a slower 0.3% rise for the April month with slightly more pronounced declines in Sydney and Melbourne and price gains moderating a touch in the mid-sized capitals.

Cotality home value index

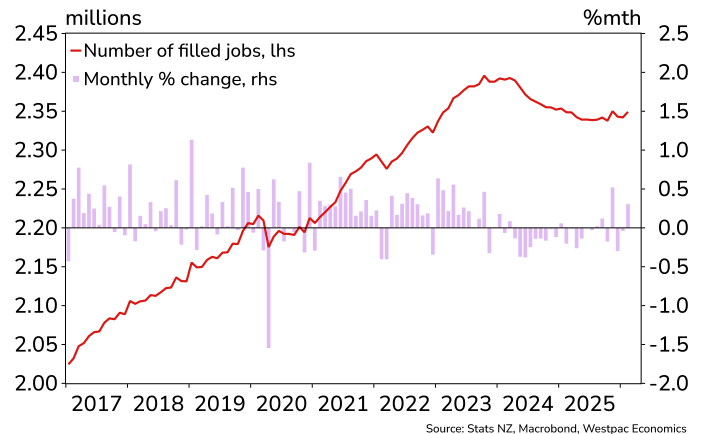


NZ: Mar Monthly Employment Indicator (%mth)

Apr 28, Last: 0.3, Westpac f/c: flat

The February MEI added to the evidence that the New Zealand economy was regaining momentum prior to the Iran war. The number of filled jobs rose by 0.3%, although this is likely to be revised down a little in subsequent releases; the broader picture is one of a stabilisation in jobs in recent months after declining through 2024-25. The weekly snapshots provided by Stats NZ are now running about in line with a year ago, which suggests a flattish outcome for the March month. We'll be watching these figures closely for any signs that the uncertainty stemming from the Iran war is prompting businesses to put off hiring decisions.

Monthly Employment Indicator

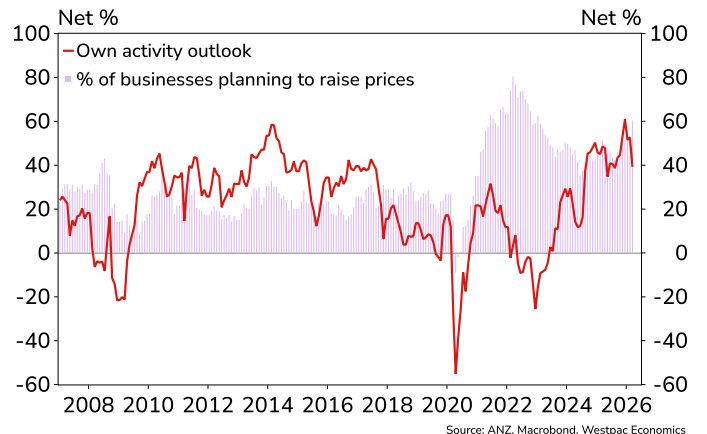


NZ: Apr ANZ Business Confidence (index)

Apr 30, Last: 32.5

The first business survey since the beginning of the Iran war saw a sharp drop in confidence, with late-March responses turning significantly weaker than earlier ones as the gravity of the situation became clearer. That sets the stage for an April survey that's likely to look quite ugly on the whole, even if there is some improvement within the month as the 8 April ceasefire helped to bring fuel prices down from their highs. Firms' inflation expectations and pricing intentions are likely to take a further step up, but the measures of wage growth and hiring intentions will also be an important consideration as to whether we see a sustained rise in inflation beyond the initial spike.

Business confidence high prior to Iran conflict

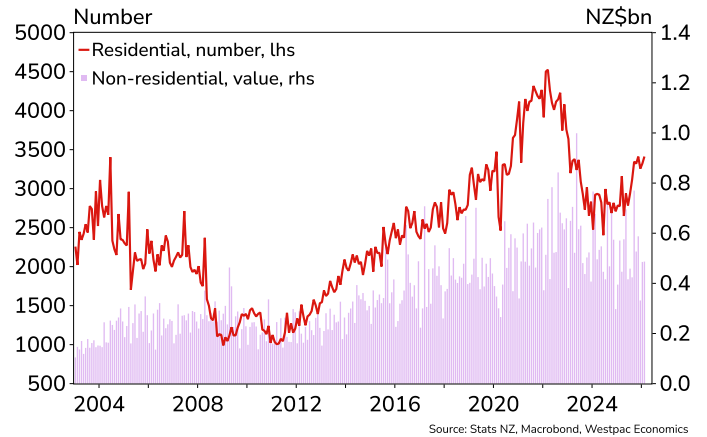


NZ: Mar Building Consents (%mth)

May 1, Last: 2.7, Westpac f/c: flat

Since late 2025, dwelling consent numbers have taken a step higher, and we expect that issuance will remain firm in March. That would see annual consent numbers climbing to around 37,800 – its highest level since 2023. Developers have been bringing new projects to market, supported by last year's reductions in interest costs and the earlier easing in cost pressures. However, those gains pre-date the recent conflict in the Middle East. Builders are now reporting significant increases in materials costs and pressure on interest rates is mounting. That's likely to see fewer new projects coming to market over the coming months, and some planned work may not proceed. Commercial consent numbers have been mixed across segments to date. But across all segments, the risks are now tilted towards greater caution in businesses' plans for capex in the near term.

Building consents picking up



US: FOMC Policy Decision (%)

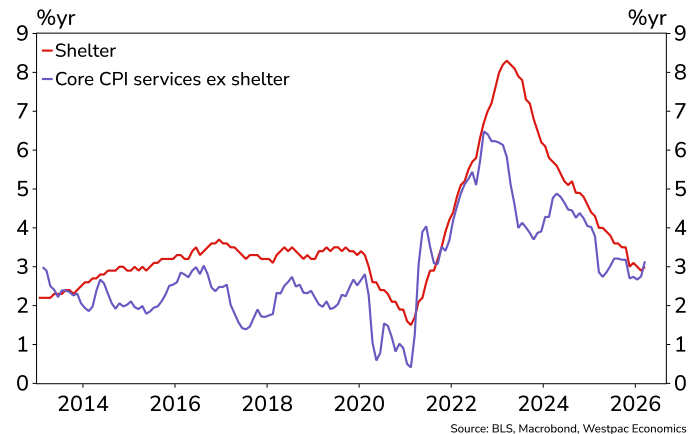
Apr 28-29, Last: 3.625, Market f/c: 3.625, Westpac f/c: 3.625

The FOMC received a reprieve from downside risks to the economy over the past month as nonfarm payrolls growth turned up after an extended period of weakness.

The deceleration in GDP growth evident in Q4 and expected in Q1 notwithstanding (see below), the focus of FOMC risk analysis is likely to be the threat of elevated inflation. The latest CPI report was favourable, with inflationary pressures concentrated in energy prices and core inflation benign. However, if a deal between the US and Iran is not forthcoming, this situation could change rapidly.

We expect the Committee to note concerns over passthrough, but to hold a balanced view overall, waiting for data to show the evolution of risks in coming months.

Passthrough risk the near-term concern



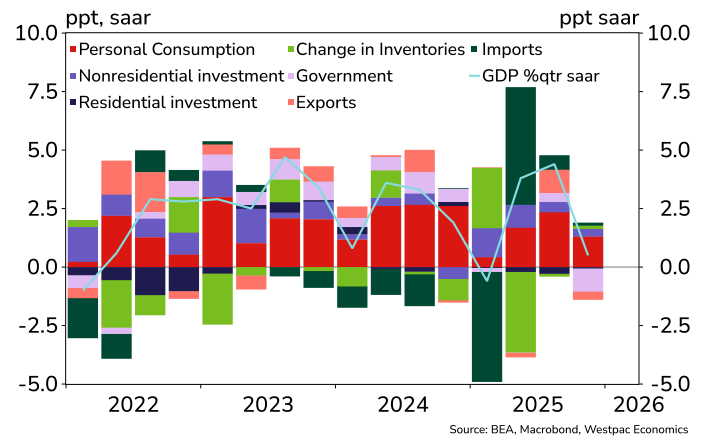
US: Q1 GDP (%ann'd)

Apr 30, Last: 0.5, Market f/c: 2.0, Westpac f/c: 1.0

US GDP decelerated abruptly at the end of 2025 following strong growth through mid year, and under the weight of the Federal Government shutdown and tariff uncertainty. Partially available for Q1 2026 point to another poor result as the new year begins.

In part this looks to be due to net exports subtracting materially from growth in the three months to March. Though housing investment seems to be contracting, and household consumption and business investment growth is below trend. With consumer sentiment at record lows, US GDP growth is susceptible to remaining below trend through Q2 and Q3, potentially seeing additional slack build in the labour market.

United States contributions to GDP



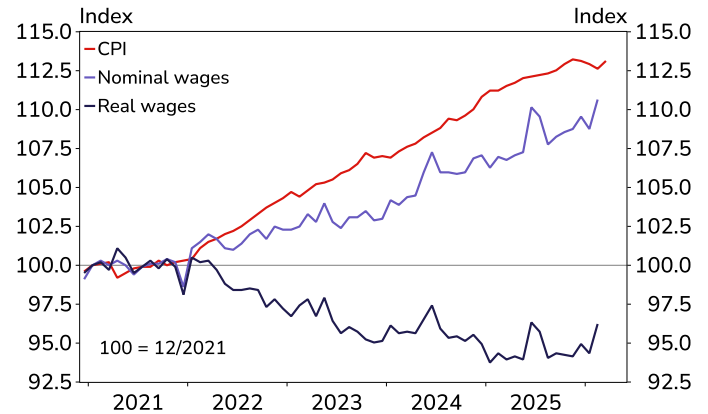
Japan: BoJ Policy Decision (%)

Apr 27, Last: 0.75, Market f/c: 0.75, Westpac f/c: 0.75

We anticipate the Bank of Japan will remain on hold at its April meeting but signal that further rate rises are on the horizon. A fresh set of forecasts should show inflation is on track to be higher given higher costs of energy and still elevated food prices.

The Policy Board is focused on creating the right conditions for domestically-driven inflation. They will want to be patient to ensure financial conditions remain sufficiently accommodative for the corporate sector to continue to raise wages and invest while balancing the impact a weak yen has on domestic inflation. We continue to anticipate a June hike.

Real wage gains still key for BoJ



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 27						
Aus	ANZAC Day	–	–	–	–	Public holiday in lieu for NSW, ACT, WA. Markets still open.
NZ	ANZAC Day	–	–	–	–	Public holiday in lieu. Markets closed.
US	Apr Dallas Fed Manufacturing	index	–0.2	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
Tue 28						
NZ	Mar Employment Indicator	%mth	0.3	–	flat	Jobs market was stabilising prior to Iran conflict.
Jpn	Mar Jobless Rate	%	2.6	2.6	–	Labour market is softening marginally.
	Apr BoJ Policy Decision	%	0.75	0.75	0.75	Assessing outlook for now, but rate hike on the table in June.
US	Feb S&P/CS Home Price Index	%mth	0.16	–	–	Stabilising but on fragile footing as confidence falters.
	Apr Richmond Fed Manufacturing	index	0	–	–	Volatile, but pointed to neutral conditions before Iran impacts.
	Apr Conf. Board Consumer Confidence	index	91.8	89.3	–	To retest recent lows as consumers feel effects from conflict.
Wed 29						
Aus	Mar Monthly CPI	%ann	3.7	4.8	4.7	A 35% increase in auto fuel lifts the CPI 1.3% in the month...
	Q1 CPI	%qtr	0.6	1.4	1.5	... lifting the auto fuel contribution to 0.3ppt for the quarter...
	Q1 Trimmed Mean CPI	%qtr	0.9	0.9	0.9	... while underlying inflation momentum remains solid.
Eur	Apr Economic Confidence	index	96.6	95.8	–	At risk of slumping, after nudging sideways for three years.
US	Mar Durable Goods Orders	%mth	–1.3	0.5	–	Investment pulse was already slowing prior to US-Iran.
	Mar Housing Starts	%mth	7.2	–	–	Cost pressures will challenge homebuilding sector ...
	Mar Building Permits	%mth	–4.7	–	–	... and potentially make some projects less viable.
	Apr FOMC Policy Decision	%	3.625	3.625	3.625	On hold this year, absent a deterioration in the labour market.
Can	Apr BoC Policy Decision	%	2.25	–	–	Prolonged pause as downside risks to activity are assessed.
Thu 30						
Aus	Mar Private Sector Credit	%mth	0.6	0.6	0.5	Economic uncertainty to add downward pressure.
	Q1 Export Price Index	%qtr	3.2	–	–	Terms of trade set to deteriorate as commodity price lift ...
	Q1 Import Price Index	%qtr	0.9	–	–	... will be in the shadows of a fuel import price surge.
NZ	Apr ANZ Business Confidence	index	32.5	–	–	The April survey will bear the full brunt of the Iran conflict.
Jpn	Mar Industrial Production	%mth	–2.0	1.1	–	Factory output was on a more solid footing early this year.
Chn	Apr NBS Manufacturing PMI	index	50.4	50.1	–	Wash-up after Lunar New Year was more constructive ...
	Apr NBS Non-Manufacturing PMI	index	50.1	49.9	–	... mirroring activity data pointing to good health in early 2026.
	Apr RatingDog Manufacturing PMI	index	50.8	51.0	–	Opportunities for export-orientated firms in green technology.
Eur	Apr CPI	%ann	2.5	2.9	–	Preliminary read won't offer great detail on breadth.
	Q1 GDP	%qtr	0.2	0.2	–	Growth coming from a relatively soft starting point.
	Mar Unemployment Rate	%	6.2	6.2	–	Labour market still in relatively good health.
	Apr ECB Policy Decision (Deposit Rate)	%	2.00	2.00	2.00	Some degree of tightening warranted, but later this year.
UK	Apr BoE Policy Decision	%	3.75	–	3.75	Abrupt shift from cutting to pausing, and hikes later on.
US	Mar PCE Deflator	%mth	0.4	0.7	–	Inflation pressures were already present in the US, which ...
	Mar Personal Income	%mth	–0.1	0.4	–	... with a softer labour market, weighs on real incomes ...
	Mar Personal Spending	%mth	0.5	0.9	–	... forcing consumers to dip into savings or pull-back spending.
	Initial Jobless Claims	000s	214	–	–	No major signs of job losses, although job creation is weak ...
	Q1 Employment Cost Index	%qtr	0.7	0.8	–	... as evinced by the gradual easing in wages growth.
	Q1 GDP	%ann'd	0.5	2.0	–	Growth pulse entering 2026 on a weak footing.
Fri 01						
Aus	Apr Cotality Home Value Index	%mth	0.6	–	–	
	Q1 PPI	%qtr	0.8	–	–	Breadth of upstream price pressures in focus.
NZ	Apr ANZ Consumer Confidence	index	91.3	–	–	Cost of living pressures weighing on confidence.
	Mar Building Permits	%mth	2.7	–	flat	Monthly consent numbers firm ahead of Middle East conflict.
Jpn	Apr Tokyo CPI	%ann	1.4	1.6	–	Core measure will guide on pass-through of oil price shock.
US	Apr ISM Manufacturing	index	52.7	53.3	–	Long-awaited signs of growth at risk of being short-lived.
World	Apr S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, UK, US.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (24 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.36	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.69	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.00	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.33	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.60	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.51	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.72	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	40	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (24 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7121	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5856	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.75	158	156	154	152	150	148	146	144	142
EUR/USD	1.1679	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3460	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8364	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2173	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

* Quarter-average.

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.9	1.9	0.9	0.3	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	3.1	4.5	4.4	4.1	3.4	1.5	2.2	3.1	4.1	1.7

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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